

Independent Auditor's Report

To the Members of Pine Labs Limited (formerly known as Pine Labs Private Limited)

Report on the Audit of the Standalone Financial Statements

Opinion

We have audited the standalone financial statements of Pine Labs Limited (formerly known as Pine Labs Private Limited) (the "Company") which comprise the standalone balance sheet as at 31 March 2025, and the standalone statement of profit and loss (including other comprehensive income), standalone statement of changes in equity and standalone statement of cash flows for the year then ended, and notes to the standalone financial statements, including material accounting policies and other explanatory information.

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid standalone financial statements give the information required by the Companies Act, 2013 ("Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31 March 2025, and its profit and other comprehensive income, changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under Section 143(10) of the Act. Our responsibilities under those SAs are further described in the *Auditor's Responsibilities for the Audit of the Standalone Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the standalone financial statements under the provisions of the Act and the Rules thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion on the standalone financial statements.

Management's and Board of Director's Responsibilities for the Standalone Financial Statements

The Company's Management and Board of Directors are responsible for the matters stated in Section 134(5) of the Act with respect to the preparation of these standalone financial statements that give a true and fair view of the state of affairs, profit/ loss and other comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards (Ind AS) specified under Section 133 of the Act. This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding of the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the standalone financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the standalone financial statements, the Management and Board of Directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the Board of Directors either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Registered Office:

B S R & Co. (a partnership firm with Registration No. BA61223) converted into B S R & Co. LLP (a Limited Liability Partnership with LLP Registration No. AAB-8181) with effect from October 14, 2013

14th Floor, Central B Wing and North C Wing, Nesco IT Park 4, Nesco Center, Western Express Highway, Goregaon (East), Mumbai - 400063

Independent Auditor's Report (Continued)

Pine Labs Limited (formerly known as Pine Labs Private Limited)

The Board of Directors is also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Standalone Financial Statements

Our objectives are to obtain reasonable assurance about whether the standalone financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these standalone financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the standalone financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under Section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has adequate internal financial controls with reference to financial statements in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the Management and Board of Directors.
- Conclude on the appropriateness of the Management and Board of Directors use of the going concern basis of accounting in preparation of standalone financial statements and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the standalone financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the standalone financial statements, including the disclosures, and whether the standalone financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

Report on Other Legal and Regulatory Requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of Section 143(11) of the Act, we give in the "Annexure A" a statement on the matters specified in paragraphs 3 and 4 of the Order, to the extent applicable.
- 2 A. As required by Section 143(3) of the Act, we report that:

Independent Auditor's Report (Continued)

Pine Labs Limited (formerly known as Pine Labs Private Limited)

- a. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
 - b. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books, except for the matter stated in the paragraph 2(B)(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 and that the back-up of one accounting software which form part of the "books of account and other relevant books and papers in electronic mode" has not been maintained on a daily basis.
 - c. The standalone balance sheet, the standalone statement of profit and loss (including other comprehensive income), the standalone statement of changes in equity and the standalone statement of cash flows dealt with by this Report are in agreement with the books of account.
 - d. In our opinion, the aforesaid standalone financial statements comply with the Ind AS specified under Section 133 of the Act.
 - e. On the basis of the written representations received from the directors as on 31 March 2025 and 01 April 2025 taken on record by the Board of Directors, none of the directors is disqualified as on 31 March 2025 from being appointed as a director in terms of Section 164(2) of the Act.
 - f. the modification relating to the maintenance of accounts and other matters connected therewith are as stated in the paragraph 2A(b) above on reporting under Section 143(3)(b) of the Act and paragraph 2B(f) below on reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014.
 - g. With respect to the adequacy of the internal financial controls with reference to financial statements of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B".
- B. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
- a. The Company has disclosed the impact of pending litigations as at 31 March 2025 on its financial position in its standalone financial statements - Refer Note 42 to the standalone financial statements.
 - b. The Company did not have any long-term contracts including derivative contracts for which there were any material foreseeable losses.
 - c. There were no amounts which were required to be transferred to the Investor Education and Protection Fund by the Company.
 - d (i) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 37(b)(vi) to the standalone financial statements, no funds have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person(s) or entity(ies), including foreign entities ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
 - (ii) The management has represented that, to the best of their knowledge and belief, as disclosed in the Note 37(b)(vii) to the standalone financial statements, no funds have been received by the Company from any person(s) or entity(ies), including foreign entities ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Parties ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.

Independent Auditor's Report (Continued)

Pine Labs Limited (formerly known as Pine Labs Private Limited)

(iii) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (i) and (ii) above, contain any material misstatement.

e. The Company has neither declared nor paid any dividend during the year.

f. Based on our examination which included test checks, the Company has used accounting softwares for maintaining its books of account which has a feature of recording audit trail (edit log) facility and the same has operated throughout the year for all relevant transactions recorded in the softwares, except that:

(a) audit trail was not enabled at database and application levels for one accounting software relating to certain revenue processes; (b) audit trail was not enabled at the application level for certain fields/ tables relating to various revenue, general ledger and other processes (as applicable) in relation to two accounting softwares; (c) due to inherent limitation in one accounting software relating to revenue and inventory processes, we are unable to comment whether audit trail was enabled at the application level throughout the year; (d) in absence of sufficient and appropriate audit evidence and absence of reporting on compliance with the audit trail requirements in the service organization report with respect to database level, in respect of one accounting software relating to revenue process, we are unable to comment whether audit trail (edit log) facility was enabled and operated throughout the year.

Further, during the course of our audit, where audit trail (edit log) facility was enabled and operated at the application and database levels, we did not come across any instance of audit trail feature being tampered with, except in respect of five softwares relating to revenue, general ledger and other processes (as applicable), where due to deficiencies in certain general IT controls, we are unable to comment whether the audit trail feature was tampered with.

Additionally, other than the periods/accounting softwares where audit trail was not enabled in the prior year, the audit trail has been preserved by the Company as per the statutory requirements for record retention.

C. With respect to the matter to be included in the Auditor's Report under Section 197(16) of the Act:

In our opinion and according to the information and explanations given to us, the Company is not a public company as at 31 March 2025. Accordingly, the provisions of Section 197 of the Act are not applicable to the Company. The Ministry of Corporate Affairs has not prescribed other details under Section 197(16) of the Act which are required to be commented upon by us.

For B S R & Co. LLP

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Kunal Kapur

Partner

Place: Hyderabad

Membership No.: 509209

Date: 23 July 2025

ICAI UDIN:25509209BMTEMV2840

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Pine Labs Limited (formerly known as Pine Labs Private Limited) for the year ended 31 March 2025

(Referred to in paragraph 1 under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

- (i) (a) (A) The Company has maintained proper records showing full particulars, including quantitative details and situation of Property, Plant and Equipment except for location of certain Plant and Machinery such as Point of Sale ('POS') devices for which separate records are maintained.
- (B) The Company has maintained proper records showing full particulars of intangible assets.
- (i) (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has a regular programme of physical verification of its Property, Plant and Equipment by which all property, plant and equipment (except certain Point of Sale ('POS') and related assets provided to various merchants) are verified once in every three years. In accordance with this programme, property, plant and equipment were verified during the year. In our opinion, this periodicity of physical verification is reasonable having regard to the size of the Company and the nature of its assets. No material discrepancies were noticed on such verification. In respect of POS devices lying with merchants, as explained to us, the Company does not have a specific frequency to carry out physical verification as these are monitored separately through their systems which track the operational status of the POS devices.
- (c) The Company does not have any immovable property (other than immovable properties where the Company is the lessee and the leases agreements are duly executed in favour of the lessee). Accordingly, clause 3(i)(c) of the Order is not applicable.
- (d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not revalued its Property, Plant and Equipment (including Right of Use assets) or intangible assets or both during the year.
- (e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there are no proceedings initiated or pending against the Company for holding any benami property under the Prohibition of Benami Property Transactions Act, 1988 and rules made thereunder.
- (ii) (a) The inventory has been physically verified by the management during the year. In our opinion, the frequency of such verification is reasonable and procedures and coverage as followed by management were appropriate. No discrepancies were noticed on verification between the physical stocks and the book records that were more than 10% in the aggregate of each class of inventory.
- (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has been sanctioned working capital limits in excess of five crore rupees, in aggregate, from banks or financial institutions on the basis of security of current assets. In our opinion, the quarterly returns or statements filed by the Company with such banks or financial institutions are in agreement with the books of account of the Company.
- (iii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any investments, provided guarantee or security or advances in the nature of loans, secured or unsecured, to companies, firms, limited liability partnership or any other parties during the year. However, the Company has granted loans to the Companies and other parties during the year in respect of which the requisite information is as below.
- (a) Based on the audit procedures carried on by us and as per the information and explanations

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Pine Labs Limited (formerly known as Pine Labs Private Limited) for the year ended 31 March 2025 (Continued)

given to us the Company has provided loans to parties as below:

Particulars	Loans (INR. in Millions)
Aggregate amount during the year	
Subsidiaries*	125.80
Joint ventures*	-
Associates*	-
Others	464.41
Balance outstanding as at balance sheet date	
Subsidiaries*	129.97
Joint ventures*	-
Associates*	-
Others*	13.40

* As per the Companies Act, 2013

- (b) According to the information and explanations given to us and based on the audit procedures conducted by us, in our opinion the terms and conditions of the grant of loans during the year are, prima facie, not prejudicial to the interest of the Company. Further, the Company has not made any investments, provided guarantee or security and granted advances in the nature of loans during the year.
- (c) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in the case of loans given to certain fellow subsidiaries and employees, in our opinion the repayment of principal and payment of interest (except for interest-free loans given to employees) have been stipulated and the repayments or receipts have been regular, where due and applicable. However, for other loans given to subsidiaries and a fellow subsidiary, there is no stipulation of period of repayment of principal and payment of interest and accordingly we are unable to comment on the regularity of repayment of principal and payment of interest. Further, the Company has not given any advance in the nature of loan to any party during the year.
- (d) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no overdue amount for more than ninety days in respect of loans given. Further, the Company has not given any advances in the nature of loans to any party during the year.
- (e) According to the information and explanations given to us and on the basis of our examination of the records of the Company, there is no loan or advance in the nature of loan granted falling due during the year, which has been renewed or extended or fresh loans granted to settle the overdues of existing loans given to same parties.
- (f) According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion the Company has not granted any loans or advances in the nature of loans either repayable on demand or without specifying any terms or period of repayment except for the following loans to its related parties as defined in Clause (76) of Section 2 of the Companies Act, 2013 ("the Act"):

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Pine Labs Limited (formerly known as Pine Labs Private Limited) for the year ended 31 March 2025 (Continued)

	All Parties	Promoters	Related Parties
Aggregate of loans/advances in nature of loan			
- Repayable on demand (A)	125.80	-	125.80
- Agreement does not specify any terms or period of Repayment (B)	-	-	-
Total (A+B)	125.80	-	125.80
Percentage of loans to the total loans	21.31%	-	21.73%

Further, the Company has not given any advances in nature of loans to any party during the year.

- (iv) According to the information and explanations given to us and on the basis of our examination of records of the Company, in respect of investments made and loans given by the Company, in our opinion the provisions of Section 186 of the Companies Act, 2013 ("the Act") have been complied with. The Company has not made any investments, given any loans, or provided any guarantee or security as specified under Section 185 of the Companies Act, 2013 ("the Act").
- (v) The Company has not accepted any deposits or amounts which are deemed to be deposits from the public. Accordingly, clause 3(v) of the Order is not applicable.
- (vi) According to the information and explanations given to us, the Central Government has not prescribed the maintenance of cost records under Section 148(1) of the Act for the services provided by it. Accordingly, clause 3(vi) of the Order is not applicable.
- (vii) (a) The Company does not have liability in respect of Service tax, Duty of excise, Sales tax and Value added tax during the year since effective 1 July 2017, these statutory dues has been subsumed into GST.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, in our opinion, the undisputed statutory dues including Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues have generally been regularly deposited by the Company with the appropriate authorities, though there have been delays in few cases of Provident Fund, Professional tax and Labour Welfare Fund.

According to the information and explanations given to us and on the basis of our examination of the records of the Company, no undisputed amounts payable in respect of Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues were in arrears as at 31 March 2025 for a period of more than six months from the date they became payable, except as mentioned below:

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Pine Labs Limited (formerly known as Pine Labs Private Limited) for the year ended 31 March 2025 (Continued)

Name of the statute	Nature of the dues	Amount (INR in Millions)	Period to which the amount relates	Due date	Date of payment	Remarks, if any
Provident Fund	Provident Fund Liability	0.17	FY 2022-2023	Multiple	Not paid	As informed to us by the management, the Company is not able to deposit this due to administrative reasons.
Provident Fund	Provident Fund Liability	0.03	Apr-23 to Sep-23	Multiple	Not paid	

- (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, statutory dues relating to Goods and Service Tax, Provident Fund, Employees State Insurance, Income-Tax, Duty of Customs or Cess or other statutory dues which have not been deposited on account of any dispute are as follows:

Name of the statute	Nature of the dues	Amount (INR in millions)	Period to which the amount relates	Forum where dispute is pending	Remarks, if any
Finance Act, 1994	Service Tax	275.80	Oct 2012 to Mar 2016	Directorate General of Goods and Services Tax Intelligence, Bengaluru	Out of total amount, INR 10.30 millions has been paid under protest
Income Tax Act, 1961	Income Tax	2.80	2016-17	Commissioner of Income Tax (Appeals)	
CGST Act, 2017	GST	6.60	2017-18	Appellate Authority	
KGST Act, 2017	GST	366.31	2019-20	Appellate Authority	Out of total amount, INR 19.3 millions has been paid under protest
CGST Act, 2017	GST	0.32	2017-20	Appellate Authority	
CGST Act, 2017	GST	4,282.23	2017-24	Appellate Authority	

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Pine Labs Limited (formerly known as Pine Labs Private Limited) for the year ended 31 March 2025 (Continued)

- (viii) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not surrendered or disclosed any transactions, previously unrecorded as income in the books of account, in the tax assessments under the Income Tax Act, 1961 as income during the year.
- (ix) (a) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not defaulted in repayment of loans and borrowing or in the payment of interest thereon to any lender.
 - (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not been declared a wilful defaulter by any bank or financial institution or government or government authority.
 - (c) In our opinion and according to the information and explanations given to us by the management, the Company has not obtained any term loans during the year and the term loans obtained in the previous periods were fully utilised in the respective periods. Accordingly, clause 3(ix)(c) of the Order is not applicable.
 - (d) According to the information and explanations given to us and on an overall examination of the standalone financial statements of the Company, we report that no funds raised on short-term basis have been used for long-term purposes by the Company.
 - (e) According to the information and explanations given to us and on an overall examination of the standalone financial statements of the Company, we report that the Company has not taken any funds from any entity or person on account of or to meet the obligations of its subsidiaries companies as defined under the Act. The Company does not hold any investment in any associates or joint ventures (as defined under the Act) during the year ended 31 March 2025.
 - (f) According to the information and explanations given to us and procedures performed by us, we report that the Company has not raised loans during the year on the pledge of securities held in its subsidiaries companies (as defined under the Act). The Company does not hold any investment in any associates or joint ventures (as defined under the Act) during the year ended 31 March 2025.
- (x) (a) The Company has not raised any moneys by way of initial public offer or further public offer (including debt instruments). Accordingly, clause 3(x)(a) of the Order is not applicable.
 - (b) According to the information and explanations given to us and on the basis of our examination of the records of the Company, the Company has not made any preferential allotment or private placement of shares or fully or partly convertible debentures during the year. Accordingly, clause 3(x)(b) of the Order is not applicable.
- (xi) (a) During the course of our examination of the books and records of the Company and according to the information and explanations given to us, no fraud by the Company or on the Company has been noticed or reported during the year.
 - (b) According to the information and explanations given to us, no report under sub-section (12) of Section 143 of the Act has been filed by the auditors in Form ADT-4 as prescribed under Rule 13 of the Companies (Audit and Auditors) Rules, 2014 with the Central Government.
 - (c) As represented to us by the management, there are no whistle blower complaints received by the Company during the year.
- (xii) According to the information and explanations given to us, the Company is not a Nidhi Company. Accordingly, clause 3(xii) of the Order is not applicable.
- (xiii) The Company was a private limited company as at 31 March 2025 and accordingly the requirements as stipulated by the provisions of Section 177 of the Act are not applicable to the Company. In our opinion and according to the information and explanations given to us and on the basis of our examination of records of the Company, transactions with the related parties

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Pine Labs Limited (formerly known as Pine Labs Private Limited) for the year ended 31 March 2025 (Continued)

are in compliance with Section 188 of the Act where applicable and details of such transactions have been disclosed in the standalone financial statements as required by the applicable accounting standards.

- (xiv) (a) Based on information and explanations provided to us and our audit procedures, in our opinion, the Company has an internal audit system commensurate with the size and nature of its business.
- (b) We have considered the internal audit reports of the Company issued till date for the period under audit.
- (xv) In our opinion and according to the information and explanations given to us, the Company has not entered into any non-cash transactions with its directors or persons connected to its directors and hence, provisions of Section 192 of the Act are not applicable to the Company.
- (xvi) (a) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(a) of the Order is not applicable.
- (b) The Company is not required to be registered under Section 45-IA of the Reserve Bank of India Act, 1934. Accordingly, clause 3(xvi)(b) of the Order is not applicable.
- (c) The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India. Accordingly, clause 3(xvi)(c) of the Order is not applicable.
- (d) According to the information and explanations provided to us by the management of the Company, the Group (as per the provisions of the Core Investment Companies (Reserve Bank) Directions, 2016) does not have any CICs as detailed in Note 37(b) of the standalone financial statements. We have not, however, separately evaluated whether the information provided by the management is accurate and complete.
- (xvii) The Company has not incurred cash losses in the current and in the immediately preceding financial year.
- (xviii) There has been no resignation of the statutory auditors during the year. Accordingly, clause 3(xviii) of the Order is not applicable.
- (xix) According to the information and explanations given to us and on the basis of the financial ratios, ageing and expected dates of realisation of financial assets and payment of financial liabilities, our knowledge of the Board of Directors and management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that the Company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.
- (xx) The requirements as stipulated by the provisions of Section 135 are not applicable to the

B S R & Co. LLP

Annexure A to the Independent Auditor's Report on the Standalone Financial Statements of Pine Labs Limited (formerly known as Pine Labs Private Limited) for the year ended 31 March 2025 (Continued)

Company. Accordingly, clauses 3(xx)(a) and 3(xx)(b) of the Order are not applicable.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Kunal Kapur

Partner

Place: Hyderabad

Date: 23 July 2025

Membership No.: 509209

ICAI UDIN:25509209BMTEMV2840

Annexure B to the Independent Auditor's Report on the standalone financial statements of Pine Labs Limited (formerly known as Pine Labs Private Limited) for the year ended 31 March 2025

Report on the internal financial controls with reference to the aforesaid standalone financial statements under Clause (i) of Sub-section 3 of Section 143 of the Act

(Referred to in paragraph 2(A)(g) under 'Report on Other Legal and Regulatory Requirements' section of our report of even date)

Opinion

We have audited the internal financial controls with reference to financial statements of Pine Labs Limited (formerly known as Pine Labs Private Limited) ("the Company") as of 31 March 2025 in conjunction with our audit of the standalone financial statements of the Company for the year ended on that date.

In our opinion, the Company has, in all material respects, adequate internal financial controls with reference to financial statements and such internal financial controls were operating effectively as at 31 March 2025, based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India (the "Guidance Note").

Management's and Board of Directors' Responsibilities for Internal Financial Controls

The Company's Management and the Board of Directors are responsible for establishing and maintaining internal financial controls based on the internal financial controls with reference to financial statements criteria established by the Company considering the essential components of internal control stated in the Guidance Note. These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditor's Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls with reference to financial statements based on our audit. We conducted our audit in accordance with the Guidance Note and the Standards on Auditing, prescribed under Section 143(10) of the Act, to the extent applicable to an audit of internal financial controls with reference to financial statements. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls with reference to financial statements were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls with reference to financial statements and their operating effectiveness. Our audit of internal financial controls with reference to financial statements included obtaining an understanding of internal financial controls with reference to financial statements, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the standalone financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls with reference to financial statements.

Annexure B to the Independent Auditor's Report on the standalone financial statements of Pine Labs Limited (formerly known as Pine Labs Private Limited) for the year ended 31 March 2025 (Continued)

Meaning of Internal Financial Controls with Reference to Financial Statements

A company's internal financial controls with reference to financial statements is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial controls with reference to financial statements include those policies and procedures that (1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the company; (2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the company are being made only in accordance with authorisations of management and directors of the company; and (3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls with Reference to Financial Statements

Because of the inherent limitations of internal financial controls with reference to financial statements, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls with reference to financial statements to future periods are subject to the risk that the internal financial controls with reference to financial statements may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

For **B S R & Co. LLP**

Chartered Accountants

Firm's Registration No.:101248W/W-100022

Kunal Kapur

Partner

Place: Hyderabad

Date: 23 July 2025

Membership No.: 509209

ICAI UDIN:25509209BMTEMV2840

Pine Labs Limited (formerly known as Pine Labs Private Limited)
Standalone Balance Sheet as at 31 March 2025
(Amount in INR millions, except per share data, unless otherwise stated)

	Notes	As at 31 March 2025	As at 31 March 2024
Assets			
Non-current assets			
Property, plant and equipment	3	3,048.27	3,803.65
Capital work-in-progress	3	407.51	1,169.90
Right-of-use assets	5(a)	1,021.61	846.81
Goodwill	4	4,590.96	4,590.96
Other intangible assets	4	760.01	613.27
Intangible assets under development	4	934.14	840.48
Financial assets			
i. Investments	6	211.79	163.88
ii. Other financial assets	8	569.97	411.20
Deferred tax assets (net)	12	1,522.60	1,583.74
Non-current tax assets (net)	9	1,575.84	1,398.24
Other non-current assets	11	117.78	93.40
Total non-current assets		14,760.48	15,515.53
Current assets			
Inventories	10	151.54	227.25
Financial assets			
i. Trade receivables	13	6,649.76	5,037.21
ii. Cash and cash equivalents	14	6,128.29	5,111.00
iii. Bank balances other than (ii) above	15	50,710.97	43,271.20
iv. Loans	7	143.69	577.85
v. Other financial assets	8	9,768.86	6,249.52
Current tax assets	9	12.04	758.22
Contract assets	25	302.41	768.14
Other current assets	11	1,855.74	1,510.22
Total current assets		75,723.30	63,510.61
Total assets		90,483.78	79,026.14
Equity and liabilities			
Equity			
Equity share capital	16	839.95	839.95
Other equity	17	19,871.04	19,607.51
Total equity		20,710.99	20,447.46
Liabilities			
Non-current liabilities			
Financial liabilities			
i. Borrowings	18	471.82	1,135.90
ii. Lease liabilities	5(b)	1,035.18	865.77
iii. Other financial liabilities	20	73.04	184.20
Contract liabilities	25	58.11	32.88
Deferred government grants	21	137.86	142.13
Provisions	22	421.60	323.30
Total non-current liabilities		2,197.61	2,684.18
Current liabilities			
Financial liabilities			
i. Borrowings	18	6,833.61	3,634.20
ii. Lease liabilities	5(b)	140.01	113.32
iii. Trade payables	23		
-total outstanding dues of micro enterprises and small enterprises		380.22	137.18
-total outstanding dues of creditors other than micro enterprises and small enterprises		4,712.59	5,630.10
iv. Liabilities towards prepaid cards	19	47,717.71	-
v. Other financial liabilities	20	6,887.17	6,252.20
Contract liabilities	25	238.67	39,447.09
Deferred government grants	21	143.52	177.70
Provisions	22	198.82	165.50
Other current liabilities	24	322.86	337.21
Total current liabilities		67,575.18	55,894.50
Total liabilities		69,772.79	58,578.68
Total equity and liabilities		90,483.78	79,026.14

Material accounting policies 2.2
The accompanying notes referred above form an integral part of these
Standalone Financial Statements. 1 to 50
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
ICAI Firm Registration No.: 101248W/W-100022

For and on behalf of the Board of Directors of
Pine Labs Limited (formerly known as Pine Labs Private Limited)
CIN: U67100HR1998PLC113312

Kunal Kapur
Partner
Membership No.: 509209
Place: Hyderabad
Date: 23 July 2025

Bairavarasu Amrith Rau
Managing Director and CEO
DIN No.: 02008811
Place: Singapore
Date: 23 July 2025

Kush Mehra
Whole-time Director
DIN No.: 08154941
Place: Gurugram
Date: 23 July 2025

Marc Kay Mathenz
Chief Financial Officer
Place: Bengaluru
Date: 23 July 2025

Neerav Mehta
Company Secretary
M No.: A20949
Place: Mumbai
Date: 23 July 2025

Pine Labs Limited (formerly known as Pine Labs Private Limited)
Standalone Statement of Profit and Loss for year ended 31 March 2025
(Amount in INR millions, except per share data, unless otherwise stated)

	Notes	Year ended 31 March 2025	Year ended 31 March 2024
Income			
Revenue from operations	25	15,973.10	13,331.32
Other income	26	978.70	416.39
Total income		16,951.80	13,747.71
Expenses			
Transaction and related costs	27	1,837.51	1,732.29
Purchases of stock-in-trade		481.73	384.76
Changes in inventories of stock-in-trade	28	74.74	(5.65)
Employee benefits expense	29	6,589.84	6,253.51
Finance costs	30	703.12	576.24
Depreciation and amortisation expenses	31	2,017.44	2,659.92
Impairment of non-current assets	32	83.52	617.63
Impairment losses on financial assets and contract assets	35	207.14	168.98
Other expenses	33	4,372.13	3,761.65
Total expenses		16,367.17	16,149.33
Profit/(loss) before tax		584.63	(2,401.62)
Tax expenses	12		
Current tax		-	-
Deferred tax		149.21	(530.00)
Total tax expense/(credit)		149.21	(530.00)
Profit/(loss) for the year		435.42	(1,871.62)
Other comprehensive income (OCI)			
<i>Items that will not be reclassified subsequently to profit or loss</i>			
Remeasurement of defined benefit liability		(30.36)	28.70
Fair value changes on equity investments through OCI		47.91	35.20
Income tax relating to these items		0.79	(15.30)
Other comprehensive income for the year, net of tax		18.34	48.60
Total comprehensive income/(loss) for the year		453.76	(1,823.02)
Earning per equity share - Basic and Diluted (in INR)	41	0.52	(2.23)
(Face value of share - INR 1 each)			

Material accounting policies 2.2
The accompanying notes referred above form an integral part of these 1 to 50
Standalone Financial Statements.
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
ICAI Firm Registration No.: 101248W/W-100022

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Place: Singapore
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Chief Financial Officer

Place: Bengaluru
Date: 23 July 2025

Neerav Mehta
Company Secretary
M No.: A20949
Place: Mumbai
Date: 23 July 2025

Pine Labs Limited (formerly known as Pine Labs Private Limited)
Standalone Statement of Cash flows for year ended 31 March 2025
(Amount in INR millions, except per share data, unless otherwise stated)

	Notes	Year ended 31 March 2025	Year ended 31 March 2024 (Restated)#
Cash flow from operating activities			
Profit/(loss) before tax		584.63	(2,401.62)
Adjustments for :			
Depreciation and amortisation expenses		2,017.44	2,659.92
Impairment of non-current assets		83.52	617.63
Gain on sale of property, plant and equipment		(3.76)	(35.39)
Advances written off		10.03	-
Write down for obsolete and slow moving inventory		56.34	21.93
Write-off of property, plant and equipment		0.34	1.88
Impairment losses on financial assets and contract assets		207.14	168.98
Interest income under the effective interest method on financial assets carried at amortised cost			
-Bank deposits		(110.95)	(159.53)
-Security deposits		(8.43)	(5.64)
-Unsecured loans given to related parties		(51.70)	(35.93)
Interest on income tax refunds		(76.37)	(127.41)
Finance costs		703.12	576.24
Foreign exchange loss (net) (unrealised)		94.84	58.53
Liabilities and provisions no longer required written back		(84.96)	(38.06)
Government grants income		(234.54)	(224.42)
Net gain on lease termination		(6.48)	(2.71)
Operating profit before working capital adjustments		3,180.21	1,074.40
Working capital adjustments			
Increase in trade receivables		(1,763.63)	(373.90)
Decrease in inventories		270.74	27.50
Increase in other financial assets		(3,548.19)	(1,522.73)
Increase in other assets		(436.30)	(105.00)
Decrease in contract assets		465.40	352.13
(Increase)/decrease in loans		(3.10)	2.14
Increase in other bank balances (earmarked balances with banks)		(7,049.44)	(5,140.70)
Increase in trade payables		1,482.83	1,961.57
Increase in provisions		101.38	81.28
Increase in other financial liabilities		453.64	333.58
Increase in contract liabilities		100.31	67.27
Decrease in other current liabilities		(14.29)	(38.84)
Increase in liabilities towards prepaid cards		6,349.68	2,905.03
Cash used in operations		(410.76)	(376.27)
Income taxes paid (net of refunds)		708.29	36.33
Net cash generated from/(used in) operating activities (A)		297.53	(339.94)
Cash flows from investing activities			
Purchase of property, plant and equipment and intangibles assets		(922.30)	(2,211.47)
Proceeds from disposal of property, plant and equipment and intangible assets		13.86	93.63
Loans given to related parties		(578.80)	(662.45)
Repayment of loans given to related parties		1,020.54	396.65
Investment in bank deposits		(3,762.32)	(933.50)
Proceeds from maturity of bank deposits		3,241.78	2,806.24
Interest received		146.45	242.33
Proceeds from government grants		191.01	376.54
Net cash (used in)/generated from investing activities (B)		(649.78)	107.97

Pine Labs Limited (formerly known as Pine Labs Private Limited)
Standalone Statement of Cash flows for year ended 31 March 2025
(Amount in INR millions, except per share data, unless otherwise stated)

	Notes	Year ended 31 March 2025	Year ended 31 March 2024 (Restated)#
Cash flows from financing activities			
Proceeds from issues of shares		-	414.65
Payments for recharge cost of share based payments		(346.78)	-
Proceeds from borrowings		-	628.60
Principal repayments of borrowings		(932.35)	(1,161.79)
Principal payment of lease liabilities		(115.90)	(101.35)
Interest paid		(702.09)	(570.75)
Net cash used in financing activities (C)		(2,097.12)	(790.64)
Net decrease in cash and cash equivalents (A+B+C)		(2,449.37)	(1,022.61)
Cash and cash equivalents at the beginning of the financial year		5,111.01	3,905.52
Cash credit and bank overdraft facilities at the beginning of the financial year		(2,705.60)	(477.50)
Cash and cash equivalents at end of the year*		(43.96)	2,405.41
Cash and cash equivalents as per above comprise the following :			
Balance with banks			
- In current accounts (refer note 14)		6,126.25	5,110.01
- In deposit accounts (refer note 14)		2.04	1.00
Less: Cash credit and bank overdraft facilities (refer note 18)		(6,172.25)	(2,705.60)
Balance as per statement of cash flows		(43.96)	2,405.41

#Refer note 49.

*Cash and cash equivalents are netted off with bank overdraft and cash credit facilities that are repayable on demand and form an integral part of the Company's cash management.

For non-cash additions and deletions in Right-of-use-assets and financing activities, refer note 5 (a) and 5(b).

Material accounting policies 2.2
The accompanying notes referred above form an integral part of these Standalone Financial Statements. 1 to 50
As per our report of even date attached

For B S R & Co. LLP
Chartered Accountants
ICAI Firm Registration No.: 101248W/W-100022

For and on behalf of the Board of Directors of
Pine Labs Limited (formerly known as Pine Labs Private Limited)
CIN: U67100HR1998PLC113312

Kunal Kapur
Partner
Membership No.: 509209
Place: Hyderabad
Date: 23 July 2025

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Managing Director and CEO
DIN No.: 02008811
Place: Singapore
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Whole-time Director
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Chief Financial Officer
Place: Bengaluru
Date: 23 July 2025

Neerav Mehta
Company Secretary
M No.: A20949
Place: Mumbai
Date: 23 July 2025

Pine Labs Limited (formerly known as Pine Labs Private Limited)
Standalone Statement of Changes in Equity for year ended 31 March 2025
(Amount in INR millions, except per share data, unless otherwise stated)

I) Equity share capital

	Notes	Amounts
Balance as at 1 April 2023		139.61
Issuance of equity shares for cash	16	0.38
Issuance of bonus equity shares		699.96
Balance as at 31 March 2024		839.95
Issuance of equity shares		-
Balance as at 31 March 2025	16	839.95

II) Other equity

	Notes	Reserves and surplus		Items of other comprehensive income (OCI)	Total
		Securities premium	Retained earnings	Equity instruments through OCI	
Balance as at 1 April 2023	17	23,715.89	(2,049.28)	38.70	21,705.31
Loss for the year		-	(1,871.62)	-	(1,871.62)
Other comprehensive income for the year					
Remeasurement of defined benefit liability (net of tax)		-	21.48	-	21.48
Fair value changes on equity investments through OCI (net of tax)		-	-	27.12	27.12
Total comprehensive income for the year			(1,850.14)	27.12	(1,823.02)
Transfer on account of lapse of unexercised options		-	10.90	-	10.90
Transactions with owners in their capacity as owners:					
Issuance of equity shares for cash		414.28	-	-	414.28
Issuance of bonus equity shares		(699.96)	-	-	(699.96)
Balance as at 31 March 2024		23,430.21	(3,888.52)	65.82	19,607.51
Balance as at 1 April 2024	17	23,430.21	(3,888.52)	65.82	19,607.51
Profit for the year		-	435.42	-	435.42
Other comprehensive income for the year					-
Remeasurement of defined benefit liability (net of tax)		-	(22.72)	-	(22.72)
Fair value changes on equity investments through OCI (net of tax)		-	-	41.06	41.06
Total comprehensive income for the year			412.70	41.06	453.76
Transfer on account of lapse of unexercised options		-	69.26	-	69.26
Transactions with owners in their capacity as owners:					
Recharge cost of share based payments by erstwhile Holding Company (net of tax) (refer note 46)		-	(259.49)	-	(259.49)
Balance as at 31 March 2025	17	23,430.21	(3,666.05)	106.88	19,871.04

Material accounting policies 2.2
The accompanying notes referred above form an integral part of these Standalone Financial Statements. 1 to 50
As per our report of even date attached

For **B S R & Co. LLP**
Chartered Accountants
ICAI Firm Registration No.: 101248W/W-100022

For and on behalf of the Board of Directors of
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Place: Bengaluru
Date: 23 July 2025

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Company Secretary
M No.: A20949
Place: Mumbai
Date: 23 July 2025

Pine Labs Limited (formerly known as Pine Labs Private Limited)
Notes to the Standalone Financial Statements for the year ended 31 March 2025
(Amount in INR millions, except per share data, unless otherwise stated)

1. Reporting entity

Pine Labs Limited (formerly known as Pine Labs Private Limited) (the 'Company') is incorporated under the provisions of the Companies Act, 2013 ("the Act") and is domiciled in India. The registered office of the Company is located at Unit No 408, 4th Floor, Time Tower, MG Road, DLF QE, Gurugram-122002, Haryana.

The Company is primarily engaged in providing digital payments, issuing solutions, affordability solutions and software applications to its customers.

Pursuant to the Scheme of arrangement ("Scheme") as approved by Hon'ble National Company Law Tribunal ("NCLT") Chandigarh bench on 09 April 2025, on completion of all conditions precedent as envisaged under the Scheme, the Erstwhile Pine Labs Limited, Singapore ("erstwhile Holding Company") has been merged with the Company from the effective date of 06 June 2025 which is also the appointed date as defined in the Scheme and upheld by the National Company Law Appellate Tribunal (NCLAT), in its order dated 01 May 2025.

Since, the appointed and effective date of Scheme is subsequent to 31 March 2025, these Standalone Financial Statements have been prepared without giving effect of the Scheme. Refer note 45.

2.1 Basis of Preparation

i Statement of compliance

These Standalone Financial Statements of the Company have been prepared in accordance with Indian Accounting Standards (Ind AS) as per the Companies (Indian Accounting Standards) Rules, 2015 notified under Section 133 of Companies Act, 2013, (the 'Act') and other relevant provisions of the Act.

These Standalone Financial Statements are authorised for issue by the Board of Directors of the Company at their meeting held on 23 July 2025.

ii Basis of measurement

The Standalone Financial Statements have been prepared on a historical cost basis, except for the following items:

- a. certain financial assets and liabilities measured at fair value where Ind AS requires a different accounting treatment (refer accounting policy regarding financial instruments);
- b. defined benefit asset/ (liability) measured at fair value of plan assets (if any) less the present value of defined benefit obligation;
- c. share-based payments, and
- d. assets and liabilities arising in a business combination.

iii Functional and presentation currency

The Standalone Financial Statements are presented in Indian Rupees (INR), which is also the Company's functional currency. All amounts have been rounded-off to the nearest millions upto two decimals, unless otherwise indicated.

iv Use of estimates and judgements

In preparing these Standalone Financial Statements, management has made judgements, estimates and assumptions that affect the application of accounting policies and the reported amounts of assets, liabilities, income and expenses. Actual results may differ from these estimates.

Estimates and underlying assumptions are reviewed on an ongoing basis. Revisions to accounting estimates are recognised prospectively.

Judgments

In the process of applying the accounting policies, management has made the following judgements, which have the most significant effect on the amounts recognised in the Standalone Financial Statements:

a) Revenue from contracts with customers

The determination of gross versus net recognition of revenue requires judgment that depends on whether the Company controls the good or service before it is transferred to the customer or whether the Company is acting as an agent of a third party in accordance with Ind AS 115. The Company has generally concluded that it is the principal in its revenue arrangements, because it typically controls the services before transferring them to the client, except primarily of revenue in case of transaction processing and related settlement services as 'Payment Aggregator' and distribution revenue from prepaid cards.

The Company applied judgements that significantly affect the determination of the amount and timing of revenue from contracts with customers, such as identifying performance obligations.

Before including any amount of variable consideration in the transaction price, the Company considers whether the amount of variable consideration is constrained. The Company determined that the estimates of variable consideration are not constrained based on its historical experience, business forecast and the current economic conditions. In addition, the uncertainty on the variable consideration will be resolved within a short time frame.

b) Determining lease term

The Company determines the lease term as the non-cancellable term of the lease, together with any periods covered by an option to extend the lease if it is reasonably certain to be exercised, or any periods covered by an option to terminate the lease, if it is reasonably certain not to be exercised. The Company has some property lease arrangements with its vendors that include option to renew or terminate the contract by the Company or either party by giving advance notice. The Company applied judgment in evaluating whether it is reasonably certain for the Company to renew or terminate the property lease contract before the lease term. It considered all the factors that create economic incentive for the Company to continue with lease or renew or terminate including alternatives available for the office lease, use of underlying property, location of the office, leasehold improvements made and accordingly determined lease term.

The lease term is reassessed if an option is actually exercised (or not exercised) or the Company becomes obliged to exercise (or not exercise) it. The assessment of reasonable certainty is only revised if a significant event or a significant change in circumstances occurs, which affects this assessment, and that is within the control of the lessee.

c) Determining sale and leaseback transactions

The Company applies the requirements for determining when a performance obligation is satisfied in Ind AS 115 to determine whether the transfer of an asset is accounted for as a sale of that asset. If control of an underlying asset passes to the buyer-lessor, the transaction is accounted for as a sale of the asset and a lease. If not, both the seller-lessee and the buyer-lessor account for the transaction as a financing transaction. Judgement is required to determine whether the transferred asset to buyer-lessor constitutes sale (i.e. transfer of control) or not. Management considers the nature and commercial substance of the arrangement, option to extend a lease for substantially all of the remaining economic life of the underlying asset or option to repurchase the asset after end of the lease term at nominal value, if any and other parameters of determining control in assessing the assessment.

d) Income taxes

The Company's current tax provision relates to management's assessment of the amount of tax payable on open tax positions where the liabilities remain to be agreed with the relevant Tax Authority. Uncertain tax items for which a provision is made, relate principally to the interpretation of tax legislation regarding arrangements entered into by the Company. Due to the uncertainty associated with such tax items, there is a possibility that, on conclusion of open tax matters at a future date, the final outcome may differ significantly.

Deferred tax assets are recognised for unused tax losses to the extent that it is probable that future taxable profit will be available against which the losses can be utilised. In assessing the probability, the Company considers whether the Company entity has sufficient taxable temporary differences relating to the same taxation authority and the same taxable entity, which will result in taxable amounts against which the unused tax losses can be utilised before they expire. Significant management judgement is required to determine the amount of deferred tax assets that can be recognised, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

e) Determination of Cash Generating Unit (CGU)

For the purpose of impairment testing, assets are grouped together into the smallest group of assets that generates cash inflows from continuing use that are largely independent of the cash inflows of other assets or CGUs. Judgement is involved in determining the CGU/grouping of CGUs for allocation of the goodwill and other assets.

Estimates and assumptions

The key assumptions concerning the future and other key sources of estimation uncertainty at the reporting date, that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year, are described below. The Company based its assumptions and estimates on parameters available when the Standalone Financial Statements were prepared. Existing circumstances and assumptions about future developments, however, may change due to market changes or circumstances arising that are beyond the control of the Company. Such changes are reflected in the assumptions when they occur.

a) Recognition of revenue from One-time fees

The recognition of revenue from One-time fees included preparation of estimates to determine the average customer relationship period, with the objective to recognize revenue on a straight line basis. The estimates are related to the average time that the merchant will process the transactions with the Company.

b) Estimating breakage revenue

The Company is entitled to breakage revenue majorly arising from unutilised amount of prepaid cards upon expiry. The Company estimates such amounts using historical data and customer behaviour patterns. (Refer accounting policy regarding revenue from contracts with customers, for further details.)

c) Impairment of Goodwill

Goodwill has arisen on the acquisition of an erstwhile subsidiary (erstwhile Qwiksilver Solutions Private Limited which was merged with the Company in year 2022). Goodwill is tested for impairment on an annual basis on 31 March and whenever there is an indication that the recoverable amount of a cash generating unit (CGUs) is less than its carrying amount. For the impairment test, goodwill is allocated to the CGU or group of CGUs which benefit from the synergies of the acquisition and which represent the lowest level at which goodwill is monitored for internal management purposes. The recoverable amount of CGUs is determined based on higher of value-in-use and fair value less cost to sell. Key assumptions in the cash flow projections are prepared based on current economic conditions and comprises estimated perpetuity growth rates, weighted average cost of capital and average free cash flows to equity. Refer note 47 for further details.

d) Loss allowance of trade receivables and contract assets

In calculating expected credit loss, the Company uses judgment in making these assumptions and selecting the inputs to expected credit loss calculation based on the Company's past history of collections, existing market conditions as well as forward looking estimates at the end of each reporting period. Management also exercises judgment in specific cases and basis past experience estimates additional impairment loss provisions. These include trade receivables associated with litigations, balances related to customer who have not transacted/paid for more than a specific period and other reasons. Refer note 35 for further details.

e) Useful life of property, plant and equipment

The Company depreciates property, plant and equipment on a straight-line basis over the estimated useful life of the assets. The charge in respect of periodic depreciation is derived based on an estimate of an asset's expected useful life and the expected residual value at the end of its life. The life is based on historical experience with similar assets as well as anticipation of future events, which may impact their life, such as changes in technology. The estimated useful life is reviewed at least annually.

f) Useful life of intangibles

The Company amortizes intangible assets on a straight-line basis over estimated useful life of the assets. The useful life is estimated based on a number of factors including the effects of obsolescence, demand, competition and other economic factors such as the stability of the industry and known technological advances and the level of maintenance expenditures required to obtain the expected future cash flows from the assets. The estimated useful life is reviewed at least annually.

g) Defined benefits plan and other long-term benefits

The obligations arising from defined benefit plan and other long-term benefits are determined on the basis of actuarial assumptions and other estimates. Key actuarial assumptions include discount rate, trends in salary escalation, actuarial rates and life expectancy. The discount rate is determined by reference to market yields at the end of the reporting period on government bonds. The period to maturity of the underlying bonds correspond to the probable maturity of the employee benefit obligations. Due to complexities involved in the valuation and its long-term nature, employee benefit obligation is sensitive to changes in these assumptions. All assumptions are reviewed at each reporting period. Refer note 40 for further details.

h) Leases – Estimating the incremental borrowing rate

The Company cannot readily determine the interest rate implicit in the lease, therefore, it uses its incremental borrowing rate ("IBR") to measure lease liabilities. The IBR is the rate of interest that the Company would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value to the right-of-use asset in a similar economic environment. The IBR therefore reflects what the Company 'would have to pay', which requires estimation when no observable rates are available or when they need to be adjusted to reflect the terms and conditions of the lease. The Company estimates the IBR using observable inputs (such as market interest rates) when available and is required to make certain entity-specific estimates.

i) Share-based payments

The employees of the Company are entitled to share options of the erstwhile Holding Company (subsequently merged with the Company, refer note 45). Estimating fair value for share-based payment transactions requires determination of the most appropriate valuation model, which depends on the terms and conditions of the grant. This estimate also requires determination of the most appropriate inputs to the valuation model including the expected life of the share options, volatility and dividend yield and making assumptions about them. For the measurement of the fair value of equity-settled with employees at the grant date and cash settled and at each reporting date until settlement, the Company uses a Black-Scholes model and Monte Carlo simulation model respectively. The assumptions and models used for estimating fair value for share-based payment transactions are disclosed in note 46.

j) Recognition and measurement of provisions and contingencies

The amount recognized as a provision is the best estimate of the consideration required to settle the present obligation at reporting date, taking into account the risks and uncertainties surrounding the obligation. The Company is involved in various legal matters, the outcome of which may not be favourable to the Company. Management in consultation with the legal, and other advisers assess the likelihood that a pending claim will succeed. The Company has recognised liabilities based on whether additional amounts will be payable and has included contingent liabilities where economic outflows are considered possible but not probable.

k) Government Grants

Government grants are recognised at their fair value when there is a reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to an expense item, it is deferred and recognised as income in the statement of profit and loss on a systematic basis over the periods necessary to match the related costs, which they are intended to compensate. When the grant relates to an asset or a non-monetary item, it is recognised as deferred income under liabilities and is recognised as income in the statement of profit and loss on a straight line basis over the expected useful life of the related asset or a non-monetary item.

v Measurement of fair values

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either:

- In the principal market for the asset or liability; or
- In the absence of a principal market, in the most advantageous market for the asset or liability.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximizing the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the Standalone Financial Statements are categorized within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

The Company uses the following hierarchy to determine and disclose the fair value of financial instruments through the following measurement techniques:

- Level I - quoted prices in active markets for identical assets or liabilities;
- Level II - other techniques for which all inputs that have a significant effect on the recorded fair value are observable, either directly or indirectly; and
- Level III - techniques using inputs that have a significant effect on the recorded fair value that are not based on observable market data.

For assets and liabilities that are recognized in the Standalone Financial Statements at fair value on a recurring basis, the Company determines whether transfers have occurred between levels in the hierarchy by re-assessing categorization (based on the lowest level input that is significant to the fair value measurement as a whole) at the end of each reporting period.

2.2 Material accounting policies

A Foreign currency transactions

Transactions in foreign currencies are translated into functional currency of the Company at the exchange rates at the dates of the transactions or an average rate if the average rate approximates the actual rate at the date of the transaction.

Monetary assets and liabilities denominated in foreign currencies are translated into the functional currency at the exchange rate at the reporting date. Non-monetary assets and liabilities that are measured at fair value in a foreign currency are translated into the functional currency at the exchange rate when the fair value was determined. Non-monetary assets and liabilities that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of the transaction. Exchange differences are recognised in the statement of profit and loss in the period in which they arise.

B Financial instruments

Initial recognition and measurement

Financial assets and financial liabilities are recognised in the Company's balance sheet when the Company becomes a party to the contractual provisions of the instrument. Financial assets and financial liabilities are initially measured at fair value, except for trade receivables that do not have a significant financing component which are measured at transaction price. Trade receivables that do not contain a significant financing component or for which the Company has applied the practical expedient are measured at the transaction price determined under Ind AS 115 – Revenue from Contracts with Customers. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit and loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit and loss are recognised immediately in the statement of profit and loss.

Financial assets

The classification of financial assets at initial recognition depends on the financial asset's contractual cash flow characteristics and the Company's business model for managing them. For a financial asset to be classified and measured at amortised cost or Fair value through other comprehensive income (FVTOCI), it needs to give rise to cash flows that are solely payments of principal and interest ("SPPI") on the principal amount outstanding. This assessment is referred to as the SPPI test and is performed at an instrument level. Financial assets with cash flows that are not SPPI are classified and measured at Fair value through profit and loss (FVTPL), irrespective of the business model.

The Company's business model for managing financial assets refers to how it manages its financial assets in order to generate cash flows. The business model determines whether cash flows will result from collecting contractual cash flows, selling the financial assets, or both. Financial assets classified and measured at amortised cost are held within a business model with the objective to hold financial assets in order to collect contractual cash flows while financial assets classified and measured at FVTOCI are held within a business model with the objective of both, holding to collect contractual cash flows and selling.

Financial assets at FVTPL include financial assets held for trading, financial assets designated upon initial recognition at FVTPL, or financial assets mandatorily required to be measured at fair value. Financial assets are classified as held for trading if they are acquired for the purpose of selling or repurchasing in the near term. Notwithstanding the criteria for debt instruments to be classified at amortised cost or at FVTOCI, as described above, debt instruments may be designated at FVTPL on initial recognition if doing so eliminates, or significantly reduces, an accounting mismatch.

Subsequent measurement

All recognised financial assets are measured subsequently in their entirety at either amortised cost or fair value, depending on the classification of the financial assets.

a) Classification, recognition and measurement of financial assets

The Company classifies its financial assets in the following measurement categories:

- Financial assets at amortised cost (debt instruments);
- Financial assets at FVTOCI with recycling of cumulative gains and losses (debt instruments);
- Financial assets at FVTOCI with no recycling of cumulative gains and losses upon derecognition (equity instruments); or
- Fair value through profit or loss (FVTPL).

Financial assets at amortised cost (debt instruments)

Financial assets at amortised cost are subsequently measured using the effective interest rate ("EIR") method and are subject to impairment. Gains and losses are recognized in profit or loss when the asset is derecognized, modified or impaired.

The Company's financial assets at amortised cost include trade receivables, bank deposits, security deposits, earmarked balances with banks, interest accrued on bank deposits, receivable for cash back schemes, loans to employees and other receivables .

The effective interest method is a method of calculating the amortised cost of a debt instrument and of allocating interest income over the relevant period.

Effective interest rate is the rate that exactly discounts estimated future cash receipts (including all fees and points paid or received that form an integral part of the effective interest rate, transaction costs and other premiums or discounts) excluding expected credit losses, through the expected life of the debt instrument, or, where appropriate, a shorter period, to the gross carrying amount of the debt instrument on initial recognition.

The amortised cost of a financial asset is the amount at which the financial asset is measured at initial recognition minus the principal repayments, plus the cumulative amortisation using the effective interest method of any difference between that initial amount and the maturity amount, adjusted for any loss allowance. The gross carrying amount of a financial asset is the amortised cost of a financial asset before adjusting for any loss allowance.

Interest income is recognised using the effective interest method for debt instruments measured subsequently at amortised cost. Interest income is calculated by applying the effective interest rate to the gross carrying amount of a financial asset.

Interest income is recognised in the statement of profit and loss and is included under the head "Other income" except for interest on funds held for customers which is included under the head "other operating revenue".

Financial assets at FVTOCI (debt instruments)

For debt instruments at FVTOCI, interest income, foreign exchange revaluation and impairment losses or reversals are recognized in the statement of profit and loss similar to financial assets measured at amortised cost. The remaining fair value changes are recognized in OCI. Upon derecognition, the cumulative fair value change recognized in OCI is recycled to statement of profit and loss.

Financial assets at FVTOCI (equity instruments)

Upon initial recognition, the Company can elect to classify irrevocably its equity investments as equity instruments designated at FVTOCI when they meet the definition of equity under Ind AS 32 – Financial Instruments: Presentation and are not held for trading. The classification is determined on an instrument-by-instrument basis.

Gains and losses on these financial assets are never recycled to profit or loss. Dividends are recognized as other income in the statement of profit and loss when the right of payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the financial asset, in which case, such gains are recorded in OCI. Equity instruments designated at FVTOCI are not subject to impairment assessment.

Financial assets at FVTPL

Financial assets at fair value through profit or loss are carried in the standalone balance sheet at fair value with net changes in fair value recognised in the standalone statement of profit and loss under Other income, if any.

Derecognition

A financial asset (or, where applicable, a part of a financial asset or part of a group of similar financial assets) is primarily derecognized (i.e., removed from the Company's balance sheet) when:

- The contractual rights to receive cash flows from the asset have expired; or
- The Company has transferred its contractual rights to receive cash flows from the asset or has assumed a contractual obligation to pay the received cash flows in full without material delay to a third party under a 'pass-through' arrangement; and either
 - (a) the Company has transferred substantially all the risks and rewards of the asset, or
 - (b) the Company has neither transferred nor retained substantially all the risks and rewards of the asset but has transferred control of the asset.

When the Company has transferred its contractual rights to receive cash flows from an asset or has entered into a pass-through arrangement, it evaluates if, and to what extent, it has retained the risks and rewards of ownership. When it has neither transferred nor retained substantially all the risks and rewards of the asset, nor transferred control of the asset, the Company continues to recognize the transferred asset to the extent of its continuing involvement.

In that case, the Company also recognizes an associated liability. The transferred asset and the associated liability are measured on a basis that reflects the rights and obligations that the Company has retained.

b) Impairment of financial assets and contract assets

The Company recognises a loss allowance for expected credit losses ('ECL') on trade receivables and contract assets. The amount of expected credit losses is updated at each reporting date to reflect changes in credit risk since initial recognition of the respective financial instrument.

For trade receivables and contract assets, the Company applies a simplified approach in calculating ECL, whereby a loss allowance is computed based on lifetime ECL at each reporting date. The Company has established a flow rate approach that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the receivables and the economic environment.

Management also exercises judgment in specific cases and based on past experience makes additional impairment loss provisions. These include trade and other receivables associated with litigations, balances related to customer who have not transacted/ paid for more than a specific period and other reasons.

Measurement and recognition of expected credit losses

For financial assets, the expected credit loss is estimated as the difference between all contractual cash flows that are due to the Company in accordance with the contract and all the cash flows that the Company expects to receive, computed by using a loss rate.

The Company recognises an impairment gain or loss in the statement of profit and loss for all financial instruments with a corresponding adjustment to their carrying amount through a loss allowance account.

c) Write off policy

The Company writes off a financial asset when there is information indicating that the receivables are in severe financial difficulty and there is no realistic prospect of recovery. Financial assets written off may still be subject to enforcement activities under the Company's recovery procedures, taking into account legal advice where appropriate. Any recoveries made are recognised in the statement of profit and loss.

Financial liabilities and equity

Classification as debt or equity

Debt and equity instruments are classified as either financial liabilities or as equity in accordance with the substance of the contractual arrangements and the definitions of a financial liability and an equity instrument.

Equity instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognized at the proceeds received, net of direct issue costs.

Repurchase of the Company's own equity instruments is derecognized and deducted directly in equity. No gain or loss is recognized in the statement of profit and loss on the purchase, sale, issue or cancellation of the Company's own equity instruments.

Initial recognition and measurement

Financial liabilities are classified, at initial recognition, as financial liabilities at FVTPL, amortised cost or as derivatives designated as hedging instruments in an effective hedge, as appropriate.

All financial liabilities are recognized initially at fair value and, in the case of amortised cost, net of directly attributable transaction costs.

The Company's financial liabilities include borrowings, lease liabilities, trade payables, liabilities towards prepaid cards, employee payables, payable towards cashback schemes and payable to merchants.

Subsequent measurement

The measurement of financial liabilities depends on their classification, as described below:

Financial liabilities at FVTPL

Financial liabilities at FVTPL include financial liabilities held for trading and financial liabilities designated upon initial recognition as at FVTPL.

Financial liabilities are classified as held for trading if they are incurred for the purpose of repurchasing in the near term.

Gains or losses on liabilities held for trading are recognized in the statement of profit and loss.

Financial liabilities designated upon initial recognition at FVTPL are designated at the initial date of recognition, and only if the criteria in Ind AS 109 are satisfied. This category includes only derivative financial instruments.

Financial liabilities at amortised cost

After initial recognition, interest-bearing loans and borrowings are subsequently measured at amortised cost using the EIR method. Gains and losses are recognized in statement of profit and loss when the liabilities are derecognized as well as through the EIR amortization process. This category is the most relevant to the Company. Amortised cost is calculated by considering any discount or premium on acquisition and fees or costs that are an integral part of the EIR. The EIR amortization is included as finance costs in the statement of profit and loss.

Derecognition

The Company derecognises financial liabilities when, and only when, the Company's obligations are discharged, cancelled or have expired. The difference between the carrying amount of the financial liability derecognised and the consideration paid and payable is recognised in the statement of profit and loss.

Offsetting of financial instruments

Financial assets and financial liabilities are offset and the net amount is reported in the balance sheet if there is a currently enforceable legal right to offset the recognized amounts and there is an intention to settle on a net basis, to realize the assets and settle the liabilities simultaneously.

C Property, plant and equipment

All items of property, plant and equipment, are initially recorded at cost. Subsequent to recognition, property, plant and equipment are measured at cost less accumulated depreciation and accumulated impairment losses, if any. The cost includes directly attributable expenses incurred to bring the asset to the location and condition necessary for it to be capable of being operated in the manner intended by management and initial estimate of decommissioning, restoring and similar liabilities.

Subsequent costs related to an item of property, plant and equipment are recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Company and the cost of the item can be measured reliably. The carrying amount of any component accounted for as a separate asset is derecognized when replaced. All other repairs and maintenance are recognized in the statement of profit and loss during the reporting period when they are incurred.

Depreciation methods, estimated useful life and residual value

Depreciation on property, plant and equipment is calculated on a straight line basis using the rates arrived at based on the useful life estimated by the management. Depreciation on additions/(disposals) is provided on a pro-rata basis i.e. from/ (upto) the date on which asset is ready for use/ (disposed off). The Company has used the following rates to provide depreciation on its property, plant and equipment:

Particulars	Useful life estimated by the management (in years)
Furniture and fixtures	5 to 10
Plant and machinery	1.5 to 5
Office equipment	2 to 5
Computers	3
Servers and networks	3 to 6
Vehicles	3

Leasehold improvements are depreciated over lower of lease term or 7 years.

Capital work-in-progress includes cost of property, plant and equipment under installation/under development as at the balance sheet date and are not depreciated as these assets are not yet available for use.

The useful life and depreciation method are reviewed at each financial year-end to ensure that the amount, method and period of depreciation are consistent with previous estimates and the expected pattern of consumption of the future economic benefits embodied in the items of property, plant and equipment. The effect of changes in estimates, if any, is taken on a prospective basis.

An item of property, plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. The gain or loss arising on the disposal or retirement of an asset is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of profit and loss.

D Intangible assets

Intangible assets acquired separately are measured on initial recognition at cost. The cost of intangible assets acquired in a business combination is their fair value at the date of acquisition. Following initial recognition, intangible assets are carried at cost less any accumulated amortisation and accumulated impairment losses. Internally generated intangibles, excluding capitalised development costs, are not capitalised and the related expenditure is reflected in the statement of profit and loss in the period in which the expenditure is incurred.

Software and development cost

Certain direct development costs associated with internally developed software and software enhancements of the Company technology platform are capitalized. Capitalized costs, which occur post determination by management of technical feasibility, include external services and internal payroll costs. These costs are recorded as intangible assets when development is complete and the asset is ready for use, and are amortised on a straight-line basis, generally over a period of 3 to 5 years. Development activities involve a plan or design for the production of new or substantially improved products and processes. Development expenditure is capitalized only if development costs can be measured. Research and pre-feasibility development costs, as well as maintenance and training costs, are expensed as incurred. In certain circumstances, management may determine that previously developed software and its related expense no longer meets management's definition of feasible, which could then result in the impairment of such asset. Incidental operations are not necessary to bring an asset to the condition necessary for it to be capable of operating in the manner intended by management, the income and related expenses of incidental operations are recognized immediately in the statement of profit and loss, and included in their respective classifications of income and expense.

The useful life of other intangible assets are assessed as either finite or indefinite.

An intangible asset is derecognised on disposal, or when no future economic benefits are expected from use or disposal. Gains or losses arising from derecognition of an intangible asset, measured as the difference between the net disposal proceeds and the carrying amount of the asset, are recognised in the statement of profit and loss, when the asset is derecognized.

The estimated useful life and amortization method are reviewed at the end of each reporting period.

Amortization is recognized on a straight-line basis and prorated from/ (upto) the date on which asset is ready for use/ (disposed off) over their estimated useful life, which are as follows:

Particulars	Useful life estimated by the management (in years)
Computer software	3
Customer relationship	5
Technology	3-5
Non compete	4.25

E Leases

The Company assesses whether a contract is or contains a lease, at inception of the contract. The Company recognizes a right-of-use asset and a corresponding lease liability with respect to all lease arrangements in which it is the lessee, except for short-term leases (defined as leases with a lease term of 12 months or less) and leases of low value assets (such as office equipment). For these leases, the Company recognizes the lease payments as an operating expense on a straight-line basis over the term of the lease unless another systematic basis is more representative of the time pattern in which economic benefits from the leased assets are consumed.

Lease liabilities

The lease liability is initially measured at the present value of the lease payments that are not paid at the commencement date, discounted by using the rate implicit in the lease. If this rate cannot be readily determined, the Company uses its incremental borrowing rate, being the rate that the individual lessee would have to pay to borrow the funds necessary to obtain an asset of similar value to the right-of-use asset in a similar economic environment with similar terms, security and conditions.

To determine the incremental borrowing rate, the Company, where possible, uses recent bank borrowings as a starting point, adjusted to reflect changes in financing conditions since the borrowing was received.

Lease payments included in the measurement of the lease liability comprise:

- Fixed lease payments (including in-substance fixed payments), less any lease incentives receivable;
- Variable lease payments that depend on an index or rate, initially measured using the index or rate at the commencement date;
- The amount expected to be payable by the lessee under residual value guarantees;
- The exercise price of purchase options, if the lessee is reasonably certain to exercise the options; and
- Payments of penalties for terminating the lease, if the lease term reflects the exercise of an option to terminate the lease.

The lease liability is presented as a separate line in the balance sheet.

The lease liability is subsequently measured by increasing the carrying amount to reflect interest on the lease liability (using the effective interest method) and by reducing the carrying amount to reflect the lease payments made.

Lease payments are allocated between principal and finance cost. The finance cost is charged to the statement of profit and loss over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period.

The Company remeasures the lease liability (and makes a corresponding adjustment to the related right-of-use asset) whenever:

- The lease term has changed or there is a significant event or change in circumstances resulting in a change in the assessment of exercise of a purchase option, in which case the lease liability is remeasured by discounting the revised lease payments using a revised discount rate.
- The lease payments change due to changes in an index or rate or a change in expected payment under a guaranteed residual value, in which case the lease liability is remeasured by discounting the revised lease payments using an unchanged discount rate (unless the lease payments change is due to a change in a floating interest rate, in which case a revised discount rate is used).
- A lease contract is modified and the lease modification is not accounted for as a separate lease, in which case the lease liability is remeasured based on the lease term of the modified lease by discounting the revised lease payments using a revised discount rate at the effective date of the modification.

Right-of-use assets

Right-of-use assets comprise the initial measurement of the corresponding lease liability, lease payments made at or before the commencement date, less any lease incentives received and any initial direct costs. They are subsequently measured at cost less accumulated depreciation and impairment losses.

Whenever the Company incurs an obligation for costs to dismantle and remove a leased asset, restore the site on which it is located or restore the underlying asset to the condition required by the terms and conditions of the lease, a provision is recognised and measured under Ind AS 37. To the extent that the costs relate to a right-of use asset, the costs are included in the related right-of-use asset, unless those costs are incurred to produce inventories.

Right-of-use assets are depreciated over the period of the lease term. If a lessor transfers ownership of the underlying asset or the cost of the right-of-use asset reflects that the Company expects to exercise a purchase option, the related right-of-use asset is depreciated over the useful life of the underlying asset.

The Company applies Ind AS 36 to determine whether a right-of-use asset is impaired and accounts for any identified impairment loss as described in the 'Impairment of non-financial assets' policy.

F Impairment of non-financial assets

Goodwill

Goodwill is not amortised but is reviewed for impairment at least annually. For the purpose of impairment testing, goodwill is allocated to each of the Company's cash-generating units (or group of cash-generating units) expected to benefit from the synergies of the combination.

If the recoverable amount of the cash-generating unit is less than the carrying amount of the unit, the impairment loss is allocated first to reduce the carrying amount of any goodwill allocated to the unit and then to the other assets of the unit pro-rata on the basis of the carrying amount of each asset in the unit. An impairment loss recognised for goodwill is not reversed in a subsequent period. Refer note 47 for a discussion of the model and key assumptions.

On disposal of a cash-generating unit, the attributable amount of goodwill is included in the determination of the profit or loss on disposal.

Intangible assets, property, plant and equipment and right-of-use assets

At each reporting date, the Company reviews the carrying amounts of its property, plant and equipment, intangible assets and right-of-use assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated to determine the extent of the impairment loss (if any). Where the asset does not generate cash flows that are independent from other assets, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest group of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Recoverable amount is the higher of fair value less costs of disposal and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognised immediately in the statement of profit and loss.

Where an impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognised immediately in the statement of profit and loss to the extent that it eliminates the impairment loss which has been recognised for the asset in prior years.

G Inventories

Inventories are stated at the lower of cost and net realisable value. Costs comprise direct material, pre-purchased prepaid cards cost, direct labour cost and direct overheads incurred (as applicable), in bringing the inventories to their present location and condition. Inventory is valued on weighted average cost basis. Net realisable value is the estimated selling price in the ordinary course of business less estimated cost necessary to make the sale.

Where necessary, allowance is provided for damaged, obsolete and slow-moving items to adjust the carrying value of inventories to the lower of cost and net realisable value.

H Employee benefits

Employee benefits include provident fund, employee state insurance scheme, gratuity, compensated absences and other incentives to employees.

a. Post-employment and termination benefit costs

Payments to defined contribution retirement benefit plans, such as provident fund, employee state insurance scheme and pension schemes, are recognised as an expense when employees have rendered service entitling them to the contributions.

For defined benefit retirement benefit plans such as gratuity, the cost of providing benefits is determined using the Projected Unit Credit Method, with actuarial valuations being carried out at the end of each annual reporting period. Remeasurements comprising actuarial gains and losses are recognised immediately in the balance sheet with a charge or credit to other comprehensive income in the period in which they occur. Remeasurements recognised in other comprehensive income are not reclassified. Past service cost is recognised in the statement of profit and loss when the plan amendment or curtailment occurs. Gains or losses on settlement of a defined benefit plan are recognised when the settlement occurs. Net interest is calculated by applying a discount rate to the net defined benefit liability or asset. Defined benefit costs are split into three categories:

- service costs, which includes current service cost, past service cost and gains and losses on curtailments and settlements
- interest expense or income; and
- remeasurements.

The Company recognises service costs within statement of profit and loss under employee benefits expense.

Net interest expense or income is recognised within employee benefits expense.

b. Short term and other long-term employee benefits

A liability is recognised for benefits accruing to employees in respect of salaries, annual leave and sick leave, performance incentives etc. in the period the related service is rendered at the undiscounted amount of the benefits expected to be paid in exchange for that service.

Liabilities recognised in respect of short-term employee benefits are measured at the undiscounted amount of the benefits expected to be paid in exchange for the related service. Accumulated leave, which is expected to be utilized within the next twelve months, is treated as short-term employee benefit.

The Company treats accumulated leave and long-term service award expected to be carried forward beyond twelve months, as long-term employee benefit for measurement purposes. Such long-term compensated absences and long-term service award are provided for based on the actuarial valuation using the projected unit credit method at the year-end. Actuarial gain/loss are immediately taken to the statement of profit and loss and are not deferred.

c. Share-based payments

The employees of the Company have been granted stock options by erstwhile Holding Company (subsequently merged with the Company, refer note 45).

The Company recognizes and measures compensation expense for all share-based awards based on the grant date fair value as per Ind AS 102, share based payments. For option awards, grant date fair value is determined under the option-pricing model (Black-Scholes-Method). The Company recognizes compensation expense for share based awards net of estimated forfeitures. Share-based compensation recognized in the Statement of Profit and Loss is based on options ultimately expected to vest. As a result, the expense has been reduced for estimated forfeitures. Forfeitures are estimated at the time of grant and revised, if necessary, in subsequent periods if actual forfeitures differ from those estimates. The cost is recognised, together with a corresponding increase in liability towards payable to erstwhile Holding Company (subsequently merged with the Company), over the period in which the performance and/or service conditions are fulfilled in employee share option expense under employee compensation. The movement in cumulative expense recognised as at the beginning and end of that period is recognised in employee share option expense under employee benefits expense in the statement of profit and loss.

I Provisions and contingent liabilities

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and the amount of the obligation can be estimated reliably.

The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation.

Provisions are reviewed at the end of each reporting period and adjusted to reflect the current best estimate. If it is no longer probable that an outflow of economic resources will be required to settle the obligation, the provision is reversed.

Where the Company expects some or all of a provision to be reimbursed, the reimbursement is recognised as a separate asset but only when the reimbursement is virtually certain. The expense relating to any provision is presented in the statement of profit and loss net of any reimbursement.

Contingent liability

A contingent liability is:

- a) a possible obligation that arises from past events and whose existence will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the Company; or
- b) a present obligation that arises from past events but is not recognised because:
 - (i) It is not probable that an outflow of resources embodying economic benefits will be required to settle the obligation; or
 - (ii) The amount of the obligation cannot be measured with sufficient reliability.

The Company does not recognise a contingent liability but discloses its existence in the Standalone Financial Statements.

J Revenue recognition

The Company derives revenue primarily from the following major sources:

- A. Digital infrastructure and transaction platform
- B. Issuing and acquiring platform

Revenue from contracts with customers is recognized when control of the goods or services is transferred to the customer at an amount that reflects the consideration to which the Company expects to be entitled in exchange for those goods or services, excluding taxes or duties collected on behalf of Government.

The Company follows the requirements of Ind AS 115 Revenue from Contracts with Customers—Principal versus Agent Considerations, which states that the determination of whether the Company should recognize revenue based on the gross amount collected from a customer or the net amount retained is a matter of judgment that depends on the facts and circumstances of the arrangement. The determination of gross versus net recognition of revenue requires judgment that depends on whether the Company controls the good or service before it is transferred to the merchant or whether the Company is acting as an agent of a third party. The assessment is performed separately for each performance obligation identified.

Arrangements may contain multiple performance obligations, such as, transaction processing services solution implementation and integration services and installation of hardware/ software services. Revenues are allocated to each performance obligation based on the standalone selling price of each good or service.

No significant element of financing is deemed present as the sales are made with credit terms consistent with market practice.

A. Digital infrastructure and transaction platform

The revenue under Digital infrastructure and transaction platform is derived from the following:

(a) Transaction processing and related services

The Company's core performance obligations with respect to transaction and processing services for digital payments are to stand ready to provide continuous access to in-store or online digital/ electronic payment infrastructure for transaction processing, payment authorization, and settlement to be able to process as many transactions as clients require on a daily/ periodic basis over the contract term. Transaction processing services revenue is comprised of: 1) fees calculated based on percentage of the monetary value of transaction processed; 2) fees calculated based on number of transactions processed; 3) Fee from fixed monthly subscription; 4) combinations thereof that are associated with transaction processing services. The Company typically contracts with financial institutions, merchants, brand owners or affiliates of these parties. These contracts stipulate the types of processing services and articulate how fees will be incurred and calculated.

These services are stand ready services for the series of distinct transaction processing and qualifies for single performance obligation to be recognized over-time. Accordingly, the service of standing ready is substantially the same each day/ each transaction and has the same pattern of transfer to the client. The Company has determined that its stand-ready performance obligation comprises a series of distinct days/ transaction of service. The performance obligation to stand ready to provide continued access to transactions and processing services is satisfied over time and therefore, the progress is measured on a time basis. The Company observes that it has a right to consideration from clients for each transaction processed for transaction-based billing and each transaction corresponds directly with the value to client of the stand-ready services provided and to be recognized based on the contractual right to bill. In case of fixed monthly amounts, revenue is recognised as and when it is accrued based on the contractual rates agreed with customers.

One-time fee charged in the form of installation of hardware/ software or both, including solution implementation and integration services to facilitate digital payment transaction processing and related services is recognized on a straight-line basis over a period-of-time (i.e. either the contractual term or estimated period of customer relationship, as the case may be). Further, in case of certain standalone solutions and integration services, revenue is recognized at a point in time when the related performance obligation is satisfied.

The Company also provides transaction processing and related settlement services as 'Payment Aggregator' where under the agreements, the Company incurs assessment fees and interconnect or network pass-through charges from the card issuers and card networks, related to the provision of payment authorization and settlement services. In these arrangements, transaction processing and settlement fees are recognized net of assessment fees and card association fees (i.e. interconnect or interchange fees charged by intermediaries like Visa/Master card) paid to the acquiring banks / financial institutions, since the Company does not control these services as aggregator and merely acts as an agent to collect and transfer such fee to acquirer banks for their part of services rendered to merchants. In situations, where the assessment fees and card association fees is higher than the transaction processing and settlement fees earned from the merchant, the excess amount is classified as "transaction and client services costs" under "transaction and related cost".

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In respect of transaction, processing and settlement services, wherein the merchant/issuer bank/brand partners run various cash back schemes for eligible cardholders, the Company has a performance obligation to provide its platform for running the schemes for the participating brands and issuer banks. Pending settlement, the related receivables and payables are reflected as receivable for cashback schemes under other financial assets and payable under cashback schemes under other financial liabilities respectively.

Revenue from other services such as maintenance services is recognized in accordance with the terms of the contract.

(b) Revenue from sale of POS (Digital checkout points) devices, sale of hardware and other peripherals

The Company also generates revenue from selling of POS devices and recognizes the revenue at its transaction price when the customer obtains control of the POS devices.

The Company also sells hardware and other peripherals as part of its contracts with customers in respect of digitization of fuel stations. The Company recognizes the revenue at its transaction price when the customer obtains control of the hardware/other peripherals and accepts the installation.

B. Issuing and acquiring platform

The Company is in the business of providing issuing and acquiring technology which enables merchants, consumer brands and enterprises to create prepaid products that help them drive sales and enables financial institutions to issue credit, debit, forex and prepaid instruments to their end consumers and to offer merchant acquiring services. Revenue is earned from merchants/ brand vendors for processing and distribution of prepaid cards/ stored value cards.

The revenue is derived from following:

(a) Processing and distribution services

Processing services revenue majorly comprise of fee for prepaid cards program management services offered on Software as a service i.e. “SaaS” solution to merchants or brand vendors. The Company also earns one-time program initiation and implementation fee for integration and migration of data between merchants/ brand vendors’ platform and the Company’s platform.

The Company’s core performance obligations include (may be all or combination of any) issue of cards redeemable on merchants or brand vendor’s website, application or stores; establish, maintain and administer the prepaid card program to facilitate issuance and redemption of prepaid cards issued; and provision of dedicated IT infrastructure and related maintenance.

Processing fee is charged on the value of prepaid cards/vouchers activated or reloaded or redeemed (as per the arrangements with merchant or brand vendors) and billed to the merchants or brand vendors. These services are stand ready obligations and the timing and volume of prepaid cards/ vouchers to be processed is not determinable. However, the service is substantially the same at each point in time the prepaid cards/ vouchers are activated or reloaded or redeemed and has the same pattern of transfer to the merchants or brand vendors, comprising a series of distinct services satisfied equally over time and therefore, the progress is measured on a time basis. Processing fee for these services represent variable consideration for which the criteria for permitting allocation of the variable consideration to distinct days of service that forms part of the single performance obligation are met, as the terms of the variable payment relate specifically to its efforts to satisfy the distinct service on a particular day (i.e. it reflects the value of prepaid cards/ vouchers activated or reloaded or redeemed on a particular day). The Company observes that it has a right to consideration from clients for each prepaid card processed for transaction-based billing and each transaction corresponds directly with the value to client of the stand-ready services provided and to be recognized based on the contractual right to bill.

Distribution revenue majorly comprises net margin/commission income from merchants or brand vendors for facilitating distribution of prepaid cards to retail or corporate customers. Margin/commission income is charged on the value of prepaid cards/vouchers activated or reloaded or redeemed (as per the arrangements with merchant or brand vendors) and billed to the merchants or brand vendors. Margin/commission income are recognized at a point in time when such sale is made.

Vouchers and cards may be partially or fully redeemed, and the unused amount (i.e. the amount attributable to a customer’s unexercised rights to future goods or services) which is not ultimately redeemed is often referred to as breakage.

The Company recognises the expected breakage amount as revenue in proportion to the pattern of rights not exercised by the customer. The Company estimates the breakage it expects to be entitled to as the amount for which it is highly probable that a significant reversal will not occur in the future.

(b) Sale of prepaid cards

The Company generally does not carry any inventory risk/loss since these cards are issued on real time basis. However, for brand vendors wherein the Company maintains the inventory of the cards, the Company is acting as a principal, and revenue is recognized on a gross basis, for value of cards sold, at a point in time when such sale is made.

Variable consideration

If the consideration in a contract includes a variable amount, the Company estimates the amount of consideration to which it will be entitled in exchange for transferring the goods to the customer. The variable consideration is estimated at contract inception and constrained until it is highly probable that a significant revenue reversal in the amount of cumulative revenue recognized will not occur when the associated uncertainty with the variable consideration is subsequently resolved. Some prepaid card arrangements comprise the provision of payment of co-branding fee and efficiency payout to the merchants or brand vendor which give rise to variable consideration as explained below.

The Company also makes certain payments to co-branding partners, like co-branding fee and program promotion support fees which are considered as consideration payable to customer. Since these give rise to variable consideration, these are included in determining the transaction price i.e. recognised as a reduction from the underlying revenue. In case consideration payable to customer/ variable consideration is more than the contracted price with the customer, the net negative revenue is presented under revenue from contracts with customers.

Other operating revenue

Interest on funds held for customers

The Company also earns revenue from interest earned on funds held for customers in the Company’s escrow accounts. The Company’s escrow account is maintained separately from the Company’s operating cash accounts until these balances are cleared and credited to the intended recipient i.e. end user or merchant. Interest income is recognized using the effective interest method.

Government Grants

Government grants are recognised at their fair value when there is a reasonable assurance that the grant will be received and all attached conditions will be complied with. When the grant relates to an expense item, it is deferred and recognised as income in the standalone statement of profit and loss on a systematic basis over the periods necessary to match the related costs, which they are intended to compensate. In case the Grant is specifically identifiable against a particular expense item, it is netted off from related expense. When the grant relates to an asset or a non-monetary item, it is recognised as deferred income under liabilities and is recognised as income in the standalone statement of profit and loss on a straight line basis over the expected useful life of the related asset or a non-monetary item.

Such grant income is presented as other operating revenue, under revenue from operations, in the statement of profit and loss.

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Deferred revenue

The Company records deferred revenue when it receives income in advance of transferring control of promised goods or services to a customer. A significant portion of this balance relates to service contracts where the Company received services fees from customers for upfront subscription based and other services (as mentioned above) which do not transfer value to the customer but rather are used in fulfilling the related performance obligations that transfer over time.

The service fees received is deferred over the contract term or longer period if it provides the customer a material right. Revenue is recognized when underlying performance obligations are delivered.

Contract balances

Trade receivables

Trade receivables are amounts due from customers for services performed and goods delivered in the ordinary course of business and reflects Company's unconditional right to consideration (that is, payment is due only on the passage of time). Refer to accounting policies of financial assets in section 2.2.B of Financial instruments.

Contract liabilities

A contract liability is the obligation to transfer goods or services to a customer for which the Company has received consideration from the customer. If a customer pays consideration before the Company transfers goods or services to the customer, a contract liability is recognized when the payment is made. Related revenue is recognized when the Company performs its obligations under the contract. Contract liability comprises "advance from customers" and "Deferred revenue" in the financial statements.

Contract assets

A contract asset is the right to consideration in exchange of goods or services transferred to the customer which is conditional on something other than the passage of time. The Company performs its obligations by transferring goods or services to a customer however if invoicing and receipt of such consideration is conditional on substantive condition which is expected to be fulfilled later, are reported as contract assets.

K Recognition of interest income or expense

Interest income on financial assets measured at amortised cost and FVOCI, or interest expense on financial liabilities measured at amortised cost, is recognised using the effective interest method.

The 'effective interest rate' is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument to:

- the gross carrying amount of the financial asset; or
- the amortised cost of the financial liability.

In calculating interest income and expense, the effective interest rate is applied to the gross carrying amount of the asset (when the asset is not credit-impaired) or to the amortised cost of the liability. However, for financial assets that have become credit-impaired subsequent to initial recognition, interest income is calculated by applying the effective interest rate to the amortised cost of the financial asset. If the asset is no longer credit-impaired, then the calculation of interest income reverts to the gross basis.

L Transaction and related costs

The Company records transactions and related cost in the statement of profit and loss statement when incurred. These costs primarily consists of certain cost incurred to provided services to the customer and are variable or semi variable in nature. These cost includes switch fees paid to payment service providers, Terminal ID fees, product listing fees on e-commerce marketplace, payment gateway charges, connectivity cost, spares and consumables etc.

M Income taxes

The income tax expense represents the sum of the current tax and deferred tax.

Current income tax

The primary tax jurisdiction of the Company is India. The tax currently payable is based on taxable profit for the period. Taxable profit differs from net profit as reported in the statement of profit and loss because it excludes items of income or expense that are taxable or deductible in other years and it further excludes items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted or substantively enacted by the end of the reporting period.

A provision is recognized for those matters for which the tax determination is uncertain, but it is considered probable that there will be a future outflow of funds to a tax authority. The provisions are measured at the best estimate of the amount expected to become payable. The assessment is based on the judgement of tax professionals within the Company supported by previous experience in respect of such activities and in certain cases based on specialist independent tax advice.

Deferred tax

Deferred tax is the tax expected to be payable or recoverable on differences between the carrying amounts of assets and liabilities in the financial statements and the corresponding tax bases used in the computation of taxable profit. Deferred tax liabilities are generally recognised for all taxable temporary differences and deferred tax assets are recognised to the extent that it is probable that taxable profits will be available against which deductible temporary differences can be utilised. Such assets and liabilities are not recognised if the temporary difference arises from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

Deferred tax assets are recognised for unused tax losses, unused tax credits and deductible temporary differences to the extent that it is probable that future taxable profits will be available against which they can be used. Future taxable profits are determined based on the reversal of relevant taxable temporary differences. If the amount of taxable temporary differences is insufficient to recognise a deferred tax asset in full, then future taxable profits, adjusted for reversals of existing temporary differences, are considered, based on the business plans for the Company. Deferred tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised; such reductions are reversed when the probability of future taxable profits improves.

The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax is calculated at the tax rates that are expected to apply in the period when the liability is settled, or the asset is realised based on tax laws and rates that have been enacted or substantively enacted at the reporting date.

Deferred tax assets and liabilities are offset when there is a legally enforceable right to set off current tax assets against current tax liabilities and when they relate to income taxes levied by the same taxation authority and the Company intends to settle its current tax assets and liabilities on a net basis.

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Current tax and deferred tax

Current and deferred tax are recognised in the statement of profit and loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current tax or deferred tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

N Cash and cash equivalents

Cash and cash equivalents in the balance sheet comprises cash at bank and on hand, deposits and other short-term highly liquid investments with an original maturity of three months or less that are readily convertible to a known amount of cash and are subject to an insignificant risk of change in value.

O Earning per share

Basic earning/(loss) per share is computed using the weighted average number of equity shares and mandatorily convertible preference shares outstanding during the period. Diluted earning/(loss) per share is computed using the weighted-average number of equity shares and mandatorily convertible preference shares and dilutive equivalent shares outstanding during the period, except where the results would be anti-dilutive.

The number of equity shares, mandatorily convertible preference shares and potentially dilutive equity shares are adjusted retrospectively for all periods presented for any splits and bonus shares issues including for changes effected prior to the approval of the financial statements by the Board of Directors.

P Borrowing costs

Borrowing costs consist of interest and other costs that an entity incurs in connection with the borrowing of funds. Borrowing cost also includes, exchange differences to the extent regarded as an adjustment to the borrowing costs.

Borrowing costs directly attributable to the acquisition, construction or production of an asset that necessarily takes a substantial period of time to get ready for its intended use or sale are capitalised as part of the cost of the asset. Borrowing costs incurred for the period from commencement of activities relating to construction/development of the qualifying asset up to the date of capitalisation of such asset are added to the cost of the asset. All other borrowing costs are expensed in the period in which they occur.

In case of a specific borrowing taken for the purpose of acquisition, construction or production of a qualifying asset, the borrowing costs capitalised shall be the actual borrowing costs incurred during the period less any interest income earned on temporary investment of specific borrowing pending expenditure on qualifying asset.

In case funds are borrowed generally and such funds are used for the purpose of acquisition, construction or production of a qualifying asset, the borrowing costs capitalised are calculated by applying the weighted average capitalisation rate on general borrowings outstanding during the period, to the expenditures incurred on the qualifying asset.

If any specific borrowing remains outstanding after the related asset is ready for its intended use, that borrowing is considered part of the funds that are borrowed generally for calculating the capitalisation rate.

Q Liabilities towards prepaid gift cards

Liabilities towards prepaid cards represent funds that are collected from customers or on behalf of customers for payments to their suppliers. These funds are initially deposited in an escrow bank account, until remitted to the customer's suppliers on redemption of prepaid cards or to the customers on refund for cancellation of prepaid cards. The funds held for customers are restricted for the purpose of satisfying the customer's fund obligations and are not available for general business use by the Company.

R Current versus non-current classification

The Company presents assets and liabilities in the balance sheet based on current/non-current classification. An asset is current when it is:

- Expected to be realized or intended to be sold or consumed in the normal operating cycle
- Held primarily for the purpose of trading
- Expected to be realized within twelve months after the reporting period or
- Cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least twelve months after the reporting period

All other assets are classified as non-current.

A liability is current when:

- It is expected to be settled in the normal operating cycle
- It is held primarily for the purpose of trading
- It is due to be settled within twelve months after the reporting period or
- There is no unconditional right to defer the settlement of the liability for at least twelve months after the reporting period

The Company classifies all other liabilities as non-current.

Deferred tax assets and liabilities are classified as non-current assets and liabilities.

The operating cycle is the time between the acquisition of assets for processing/servicing and their realisation in cash and cash equivalents. The Company has identified a period less than twelve months as its operating cycle.

S Recent pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. For the year ended 31 March 2025, MCA has notified Ind AS – 117 Insurance Contracts and amendments to Ind AS 116 – Leases, relating to sale and leaseback transactions, applicable to the Company w.e.f. 01 April 2024. The Company has reviewed the new pronouncements and based on its evaluation has determined that it does not have any significant impact on its Standalone Financial Statements.

T Amendment issued but not effective:

The Ministry of Corporate Affairs (MCA) amended the Companies (Indian Accounting Standards) Rules, 2015, through a notification dated 07 May 2025, introducing changes to Ind AS 21 – The Effects of Changes in Foreign Exchange Rates, effective from 01 April 2025. These amendments provide guidance on assessing whether a currency is exchangeable into another currency and on estimating the spot exchange rate when a currency is not exchangeable.

The Company has considered these amendments and believe that there is no material impact on its Standalone Financial Statements.

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3 Property, plant and equipment

	Leasehold improvements	Computers	Office equipment	Vehicles	Furniture and fixtures	Servers and Networks	Plant and machinery	Total	Capital work-in-progress (CWIP)
Cost									
Balance as at 1 April 2023	134.31	388.95	26.69	0.64	31.61	444.54	8,599.47	9,626.21	2,059.95
Additions	-	17.34	11.98	-	1.17	22.66	77.40	130.55	371.44
Disposals/adjustments	-	(1.03)	(0.07)	-	(0.14)	-	(2,169.63)	(2,170.87)	-
Transfer to stock in trade	-	-	-	-	-	-	(31.16)	(31.16)	(46.89)
Transfer from capital work in progress	87.38	-	2.60	-	12.92	10.01	1,083.30	1,196.21	(1,196.21)
Balance as at 31 March 2024	221.69	405.26	41.20	0.64	45.56	477.21	7,559.38	8,750.94	1,188.29
Accumulated depreciation and impairment									
Balance as at 1 April 2023	80.11	206.98	15.19	0.64	23.19	206.30	4,504.77	5,037.18	-
Depreciation for the year	27.73	110.78	5.35	-	7.25	68.74	1,574.45	1,794.30	-
Impairment	-	-	-	-	-	-	283.69	283.69	18.39
Disposals/adjustments	-	(0.94)	(0.07)	-	(0.05)	-	(2,156.70)	(2,157.76)	-
Transfer to stock in trade	-	-	-	-	-	-	(10.12)	(10.12)	-
Balance as at 31 March 2024	107.84	316.82	20.47	0.64	30.39	275.04	4,196.09	4,947.29	18.39
Net carrying amount as at 31 March 2024	113.85	88.44	20.73	-	15.17	202.17	3,363.29	3,803.65	1,169.90
Cost									
Balance as at 1 April 2024	221.69	405.26	41.20	0.64	45.56	477.21	7,559.38	8,750.94	1,188.29
Additions	1.11	52.54	9.82	-	0.40	78.45	50.24	192.56	112.85
Disposals/adjustments	(26.85)	(54.28)	(0.48)	-	(6.99)	(7.65)	335.69	239.44	(6.25)
Transfer to stock in trade	-	-	-	-	-	-	(33.31)	(33.31)	(233.82)
Transfer from capital work in progress	85.61	-	5.69	-	26.36	-	527.01	644.67	(644.67)
Balance as at 31 March 2025	281.56	403.52	56.23	0.64	65.33	548.01	8,439.01	9,794.30	416.40
Accumulated depreciation and impairment									
Balance as at 1 April 2024	107.84	316.82	20.47	0.64	30.39	275.04	4,196.09	4,947.29	18.39
Depreciation for the year	43.05	84.91	7.57	-	8.75	71.89	1,287.41	1,503.58	-
Impairment	-	-	-	-	-	-	58.08	58.08	-
Disposals/adjustments	(26.85)	(54.23)	(0.47)	-	(6.96)	(7.65)	348.97	252.81	(9.50)
Transfer to stock in trade	-	-	-	-	-	-	(15.73)	(15.73)	-
Balance as at 31 March 2025	124.04	347.50	27.57	0.64	32.18	339.28	5,874.82	6,746.03	8.89
Net carrying amount as at 31 March 2025	157.52	56.02	28.66	-	33.15	208.73	2,564.19	3,048.27	407.51

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Note:

1. Refer note 44 for disclosure of capital commitments for acquisition of property, plant and equipment.
2. Refer note 5 for details related to Sale and leaseback transaction.
3. The Company has charged INR 58.08 millions (31 March 2024: INR 302.08 millions) for impairment of certain category of plant and machinery (Digital check out points) based on internal management evaluation on account of technology obsolescence, marketability, etc.
4. The Company has charged additional depreciation Nil (31 March 2024: INR 57.50 millions) on certain Digital Checkout points on account of revised estimated useful life from 5 years to 3.5 years.
5. Refer note 38 for charge on property, plant and equipment.

Ageing of capital work-in-progress is as below: #

As at 31 March 2025	Amount in CWIP for a period of				
Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress*	57.83	48.05	292.16	9.47	407.51
Projects temporarily suspended	-	-	-	-	-

As at 31 March 2024	Amount in CWIP for a period of				
Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress*	149.42	1,010.39	3.84	6.25	1,169.90
Projects temporarily suspended	-	-	-	-	-

* This primarily includes digital check out points not deployed at customer's locations as at balance sheet.

As of 31 March 2025 and 31 March 2024, there are no delayed projects in progress.

4 Goodwill, other intangible assets and intangible assets under development

Particulars	Computer software	Customer relationship	Technology	Non compete	Total intangible assets	Intangible assets under development	Goodwill
Cost							
Balance as at 1 April 2023	228.84	1,033.00	2,137.51	87.00	3,486.35	453.95	4,590.96
Additions	19.10	-	2.75	-	21.85	771.83	-
Disposals/adjustments	-	-	(176.18)	-	(176.18)	-	-
Transfers	7.10	-	212.03	-	219.13	(219.13)	-
Balance as at 31 March 2024	255.04	1,033.00	2,176.11	87.00	3,551.15	1,006.65	4,590.96
Accumulated amortisation and impairment							
Balance as at 1 April 2023	144.91	816.23	1,204.39	81.00	2,246.53	-	-
Amortisation for the year	50.41	207.07	454.68	6.00	718.16	-	-
Disposals/adjustments	-	-	(176.18)	-	(176.18)	-	-
Impairment	-	-	149.37	-	149.37	166.17	-
Balance as at 31 March 2024	195.32	1,023.30	1,632.26	87.00	2,937.88	166.17	-
Net carrying amount as at 31 March 2024	59.72	9.70	543.85	-	613.27	840.48	4,590.96
Cost							
Balance as at 1 April 2024	255.04	1,033.00	2,176.11	87.00	3,551.15	1,006.65	4,590.96
Additions	14.32	-	-	-	14.32	641.45	-
Disposals/adjustments	(57.94)	(1,033.00)	(1,540.77)	(87.00)	(2,718.71)	(44.15)	-
Transfers	11.06	-	511.29	-	522.35	(522.35)	-
Balance as at 31 March 2025	222.48	-	1,146.63	-	1,369.11	1,081.60	4,590.96
Accumulated amortisation and impairment							
Balance as at 1 April 2024	195.32	1,023.30	1,632.26	87.00	2,937.88	166.17	-
Amortisation for the year	42.64	9.70	288.61	-	340.95	-	-
Disposals/adjustments	(57.67)	(1,033.00)	(1,492.06)	(87.00)	(2,669.73)	(44.15)	-
Impairment	-	-	-	-	-	25.44	-
Balance as at 31 March 2025	180.29	-	428.81	-	609.10	147.46	-
Net carrying amount as at 31 March 2025	42.19	-	717.82	-	760.01	934.14	4,590.96

Notes :

- Refer note 47 for impairment testing of goodwill.
- The Company has charged INR 25.44 millions (31 March 2024: INR 315.54 millions) for impairment of certain intangibles based on internal management evaluation on account of technology obsolescence, marketability etc.

Ageing of intangible assets under development is as below:

As at 31 March 2025

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress	660.73	232.50	36.04	4.87	934.14
Projects temporarily suspended	-	-	-	-	-

As at 31 March 2024

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress	621.59	214.03	-	4.86	840.48
Projects temporarily suspended	-	-	-	-	-

The following table presents completion schedule of overdue project as on 31 March 2025:

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress					
-Pine Acquiring-FIS	107.18	-	-	-	107.18
Projects temporarily suspended	-	-	-	-	-

The following table presents completion schedule of overdue project as on 31 March 2024:

Particulars	Less than 1 year	1-2 years	2-3 years	More than 3 years	Total
Projects in progress	-	-	-	-	-
Projects temporarily suspended	-	-	-	-	-

5 Leases

This note provides information for leases where the Company is a lessee. The Company has taken certain commercial spaces on lease for office buildings, furniture & fixtures and certain vehicles. Lease contracts are typically entered for a term of 2 years to 15 years, including extension options. The Company had also entered into certain sale and leaseback transactions with a Financial Institution. As explained in detail in note 18, such transactions had not been recognized as leases as per the guidance provided in Ind AS 116 Leases.

Extension and termination options

Extension and termination options are included in a number of leases. These are used to maximise operational flexibility in terms of managing the assets used in the Company's operations. The Company has some property lease arrangements that include option to renew or terminate the contract by either party by giving advance notice.

a) Right of use assets

Particulars	Buildings	Furniture and fixtures	Vehicles	Total
Cost				
Balance as at 1 April 2023	1,002.24	2.04	30.04	1,034.32
Additions	221.12	13.53	52.91	287.56
Modifications /terminations/end of lease contracts	(84.94)	-	(1.41)	(86.35)
Balance as at 31 March 2024	1,138.42	15.57	81.54	1,235.53
Accumulated depreciation				
Balance as at 1 April 2023	299.98	1.34	3.20	304.52
Charge for the year	129.35	1.09	17.02	147.46
Modifications /terminations/end of lease contracts	(63.17)	-	(0.09)	(63.26)
Balance as at 31 March 2024	366.16	2.43	20.13	388.72
Net carrying amount as at 31 March 2024	772.26	13.14	61.41	846.81
Cost				
Balance as at 1 April 2024	1,138.42	15.57	81.54	1,235.53
Additions	405.70	-	18.51	424.21
Modifications /terminations/end of lease contracts	(98.12)	-	(18.16)	(116.28)
Balance as at 31 March 2025	1,446.00	15.57	81.89	1,543.46
Accumulated depreciation				
Balance as at 1 April 2024	366.16	2.43	20.13	388.72
Charge for the year	145.58	1.49	25.84	172.91
Modifications /terminations/end of lease contracts	(30.15)	-	(9.63)	(39.78)
Balance as at 31 March 2025	481.59	3.92	36.34	521.85
Net carrying amount as at 31 March 2025	964.41	11.65	45.55	1,021.61

b) Lease liabilities

(i) Amounts recognised in balance sheet

	As at 31 March 2025	As at 31 March 2024
Balance as at 1 April	979.09	830.33
Additions	395.57	275.53
Accretion of interest	105.83	88.16
Payments	(221.73)	(189.61)
Modifications/terminations/end of lease contracts	(83.57)	(25.32)
Balance as at 31 March	1,175.19	979.09
	Year ended 31 March 2025	Year ended 31 March 2024
Total payments including short term leases	235.41	202.69
	As at 31 March 2025	As at 31 March 2024
Current	140.01	113.32
Non-current	1,035.18	865.77
	1,175.19	979.09

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Contractual maturities of lease liabilities on as undiscounted basis are as given below:

	As at 31 March 2025	As at 31 March 2024
Not later than one year	242.07	201.53
Later than one year and not later than five years	759.26	611.71
Later than five years	749.10	619.99
	1,750.43	1,433.23

(ii) Amounts recognised in statement of profit and loss

	Year ended 31 March 2025	Year ended 31 March 2024
Depreciation charge on right-of-use assets	172.91	147.46
Interest expense	105.83	88.16
Expense related to short-term leases*	13.68	13.08

*** Short term leases**

Short term leases include certain leases of IT hardware products, co-working spaces, office spaces, including parking space with a lease term of 12 months or less.

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6 Investments

	As at 31 March 2025	As at 31 March 2024
Non-current		
Investments in equity instruments		
Equity investment in subsidiary carried at cost		
10,000 (31 March 2024: 10,000) shares of INR 10 each fully paid up in Mopay Services Private Limited	0.10	0.10
100,000 (31 March 2024: 100,000) shares of INR 10 each fully paid up in Grapefruit Payment Solutions Private Limited	1.00	1.00
Unquoted equity shares at Fair value through other comprehensive income (FVTOCI)*		
61,320 (31 March 2024: 61,320) shares of INR 100 each fully paid up in National Payments Corporation of India	210.79	162.88
Non-current investments	211.89	163.98
Less: Impairment allowance on equity investment in Mopay Services Private Limited	(0.10)	(0.10)
Total non-current investments	211.79	163.88
Aggregate value of unquoted investments	210.79	162.88
Aggregate amount of impairment in value of investments	0.10	0.10

*Investment in above equity instruments are not held for trading. Instead, they are held for long-term strategic purposes. Accordingly, the Company has elected to designate these investments in equity instruments as at FVTOCI as they believe that recognising short-term fluctuations in these investments' fair value in profit or loss would not be consistent with the Company's strategy of holding these investments for long-term purposes and realising their performance potential in the long run.

7 Loans

(unsecured, considered good)

	As at 31 March 2025	As at 31 March 2024
Loans to employees	8.63	4.80
Total loans - current (A)	8.63	4.80
Loans to related parties (refer note 39)#	136.65	574.14
Less: Impairment loss allowance	(1.59)	(1.09)
Total loans - current (B)	135.06	573.05
Total loans - current (A+B)	143.69	577.85

refer below for terms of loans.

These loans are given to utilise for working capital requirements and business expansion.

These loans carries a rate of interest at 9% per annum for the year ended 31 March 2025 (31 March 2024: 9% per annum)

These loans are repayable over a period of 9 months (31 March 2024: 6 months to 22 months). These loans are repayable by financial year 2025-2026. Particulars on loan transactions has been disclosed in note 39.

8 Other financial assets

	As at 31 March 2025	As at 31 March 2024
Non-current		
Bank deposits with remaining maturity of more than 12 months (including interest accrued)	504.72	333.94
Interest accrued on deposits with banks	-	5.92
Security deposits	63.83	69.24
Government grants receivable	1.42	2.10
Total other financial assets - non current	569.97	411.20
Current		
Interest accrued on earmarked balances with banks and bank deposits	-	18.42
Security deposits	11.07	19.00
Receivable from related parties (refer note 39)	810.49	30.00
Government grants receivable	68.15	62.40
Receivables from bank and others*	277.98	41.40
Total (A)	1,167.69	171.22
Receivable for cashback schemes	8,612.92	6,078.30
Less: Impairment loss allowance	(11.75)	-
Total (B)	8,601.17	6,078.30
Total other financial assets - current (A+B)	9,768.86	6,249.52

*Includes INR 267.36 millions (31 March 2024: Nil) for receivables from bank against settlement made to merchants.

For lien against above balances refer note 38.

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9 Income tax assets		
	As at	As at
	31 March 2025	31 March 2024
Non-current		
Advance income-tax (net of provision for taxation)	1,575.84	1,398.24
Total non-current income tax assets	1,575.84	1,398.24
Current	As at	As at
	31 March 2025	31 March 2024
Advance income-tax	12.04	758.22
Total current income tax assets	12.04	758.22
10 Inventories (at lower of cost or net realisable value)		
	As at	As at
	31 March 2025	31 March 2024
Traded goods	121.11	195.85
Spares and consumables	30.43	31.40
Total inventories	151.54	227.25
Notes:		
1. For lien against above balances refer note 38.		
2. The write-downs of inventories to net realisable value amounts to INR 56.34 millions for year ended 31 March 2025 (31 March 2024: INR 21.93 millions).		
11 Other assets		
	As at	As at
	31 March 2025	31 March 2024
Non-current		
<i>(Unsecured-considered good)</i>		
Prepayments	74.77	75.90
Capital advances	12.92	6.70
Balance with government authorities (paid under protest)	30.09	10.80
Total other assets - non-current	117.78	93.40
Current		
<i>(Unsecured-considered good, unless otherwise stated)</i>		
Prepayments	411.17	264.40
Balance with government authorities	474.19	495.68
Estimated breakages accrued	95.44	70.20
Advance to vendors	135.09	190.60
Others#	16.14	70.34
Total (A)	1,132.03	1,091.22
Advances towards purchase of prepaid cards	782.28	477.57
Less: Impairment loss allowance	(58.57)	(58.57)
Total Advance towards purchase of prepaid cards, net of allowance (B)	723.71	419.00
Total other current assets (A+B)	1,855.74	1,510.22
#Includes interest on income tax refund receivables Nil (31 March 2024: INR 63.39 millions).		
12 Income taxes		
	Year ended	Year ended
	31 March 2025	31 March 2024
(a) Income taxes		
Amount recognised in statement of profit and loss:		
Current income tax expense	-	-
Deferred tax expense	149.21	(530.00)
Income tax expense/ (credit)	149.21	(530.00)
(b) <i>Reconciliation of tax expense and the accounting profits/ (loss)</i>		
	Year ended	Year ended
	31 March 2025	31 March 2024
Profit/(loss) before income tax expense	584.63	(2,401.62)
Tax at the Indian tax rate of 25.168%	147.14	(604.44)
Adjustments:		
Adjustments in respect of current income tax of previous years	(0.73)	16.72
Effect of change in tax rate	(7.37)	-
Non-deductible expenses	10.42	55.53
Others	(0.25)	2.19
Income tax expense/ (credit)	149.21	(530.00)
Effective tax rate	25.52%	22.07%

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(c) **Amounts recognised directly in other equity**

	Year ended 31 March 2025	Year ended 31 March 2024
Recharge cost of share based payments by erstwhile Holding Company	87.28	-
Total	87.28	-

(d) **Amounts recognised directly in other comprehensive income/(loss)**

	Year ended 31 March 2025	Year ended 31 March 2024
Deferred tax related to items recognized in OCI during the year:		
Remeasurement of defined benefit liability	7.64	(7.22)
Fair value changes on equity investments through OCI	(6.85)	(8.08)
Total	0.79	(15.30)

(e) **Deferred tax assets (net)**

	As at 31 March 2025	As at 31 March 2024
Components of deferred tax assets/(deferred tax liabilities)		
Property, plant and equipment including other intangibles	849.05	764.13
Right-of-use assets	(257.12)	(213.10)
Lease liabilities	295.77	246.44
Employee benefit expenses disallowed, excluding employee share based payment expense	156.15	125.78
Impairment losses on financial assets and contract assets	143.29	121.73
Deferred government grants	53.31	64.30
Employee share based payment expense	2.57	13.83
Unabsorbed depreciation	184.62	333.90
Others (net)	94.96	126.73
Total deferred tax assets (net)	1,522.60	1,583.74

Movement in deferred tax assets/(deferred tax liabilities)

	As at 1 April 2024	(Charged) / Credited to Statement of profit and loss*	(Charged) / Credited to Other comprehensive income	Recognised directly in retained earnings	As at 31 March 2025
Property, plant and equipment including other intangibles	764.13	84.92	-	-	849.05
Right-of-use assets	(213.10)	(44.02)	-	-	(257.12)
Lease liabilities	246.44	49.33	-	-	295.77
Employee benefit expenses disallowed, excluding employee share based payment expense	125.78	22.73	7.64	-	156.15
Impairment losses on financial assets and contract assets	121.73	21.56	-	-	143.29
Deferred government grants	64.30	(10.99)	-	-	53.31
Employee share based payment expense	13.83	(11.26)	-	-	2.57
Unabsorbed depreciation	333.90	(236.56)	-	87.28	184.62
Others (net)	126.73	(24.92)	(6.85)	-	94.96
Total	1,583.74	(149.21)	0.79	87.28	1,522.60

*Includes the impact of temporary differences on account of finalisation of income tax return for assessment year 2024-25.

	As at 1 April 2023	(Charged) / Credited to Statement of profit and loss	(Charged) / Credited to Other comprehensive income	As at 31 March 2024
Property, plant and equipment including other intangibles	514.21	249.92	-	764.13
Right-of-use assets	(183.70)	(29.40)	-	(213.10)
Lease liabilities	208.96	37.48	-	246.44
Employee benefit expenses disallowed, excluding employee share based payment expense	112.45	20.55	(7.22)	125.78
Impairment losses on financial assets and contract assets	105.33	16.40	-	121.73
Deferred government grants	-	64.30	-	64.30
Employee share based payment expense	14.03	(0.20)	-	13.83
Unabsorbed depreciation	195.40	138.50	-	333.90
Others (net)	102.36	32.45	(8.08)	126.73
Total	1,069.04	530.00	(15.30)	1,583.74

The Company has recognized deferred tax assets on unabsorbed depreciation, as there is reasonable certainty basis the projections of the Company that sufficient taxable profit, will be available against which the unused tax credits can be utilized in future years.

Pine Labs Limited (formerly known as Pine Labs Private Limited)
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13 Trade receivables

	As at 31 March 2025	As at 31 March 2024
(Unsecured)		
Trade receivables (considered good)	6,867.70	5,296.09
Credit impaired	235.90	151.02
Less: Loss allowance	(453.84)	(409.90)
Total trade receivables	6,649.76	5,037.21

Notes:

1. Trade receivables are non-interest bearing and are generally on 7 to 90 days terms. These are recognised at transaction price on initial recognition.
2. Information about the Company's exposure to credit risk, foreign currency, market risks and impairment losses for trade receivables is included in note 35.
3. A portion of trade receivables amounting to INR 112.65 millions (31 March 2024: INR 53.94 millions) includes receivables from related parties as at 31 March 2025 (refer note 39).
4. For lien against above balances refer note 38.

Trade receivables ageing schedule

As at 31 March 2025	Outstanding for following periods from due date of payment						
Particulars	Not due	Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	Total
Trade receivables - billed							
Undisputed trade receivables- considered good	2,535.15	2,312.59	158.90	5.27	-	-	5,011.91
Undisputed trade receivables- credit impaired	0.48	16.64	20.22	79.33	21.39	26.83	164.89
Disputed trade receivables- credit impaired	-	-	2.18	5.04	13.03	50.76	71.01
	2,535.63	2,329.23	181.30	89.64	34.42	77.59	5,247.81
Trade receivables- unbilled							1,855.79
							7,103.60
Less: Allowance for credit losses							453.84
Total trade receivables							6,649.76

As at 31 March 2024	Outstanding for following periods from due date of payment						
Particulars	Not due	Less than 6 months	6 months-1 year	1-2 years	2-3 years	More than 3 years	Total
Trade receivables - billed							
Undisputed trade receivables- considered good	1,811.72	1,721.70	127.10	304.36	5.51	12.14	3,982.53
Undisputed trade receivables- credit impaired	2.12	10.22	16.23	29.00	21.23	7.92	86.72
Disputed trade receivables- credit impaired	-	-	1.11	11.11	28.99	23.09	64.30
	1,813.84	1,731.92	144.44	344.47	55.73	43.15	4,133.55
Trade receivables- unbilled							1,313.56
							5,447.11
Less: Allowance for credit losses							409.90
Total trade receivables							5,037.21

14 Cash and cash equivalents

	As at 31 March 2025	As at 31 March 2024
Balances with banks in current accounts	6,126.25	5,110.01
Bank deposits with original maturity of less than three months	2.04	0.99
Total cash and cash equivalents	6,128.29	5,111.00

15 Other bank balances

	As at 31 March 2025	As at 31 March 2024
Earmarked balances with banks*	49,398.44	42,349.00
Bank deposits with original maturity of more than three months and remaining maturities less than twelve months (including interest accrued)#	1,312.53	922.20
Total other bank balances	50,710.97	43,271.20

* (i) The Company is required to maintain certain outstanding balances, i.e. the money collected against issuance of prepaid cards in a separate account with a scheduled commercial bank. The Company has maintained such accounts with bank. The amount so maintained in these earmarked accounts can be used for making permitted payments which are payable to merchants for settlements and cannot be used for general purposes.

*(ii) The Company has entered into agreements with certain banks whereby it acts as aggregator by providing services to various merchants in relation to facilitating electronic payments by their customers using credit cards and debit cards. The Company settles these transactions through nodal bank accounts, where applicable as per local regulations. Amounts in these earmarked accounts, are payable to merchants for transaction settlement and cannot be used for general purposes.

*(iii) Include INR 75.00 millions deposited in an escrow account as per the consortium agreement entered with other consortium members as an upfront capital commitment for setting up a Pan India (National) Umbrella Entity ("NUE") with the primary business objective of establishing, operating, and managing retail payment systems. The amount deposited in the escrow account is refundable on termination of the consortium agreement.

For lien against above balances refer note 38.

16 Share capital

	As at 31 March 2025	As at 31 March 2024
Authorised share capital		
842,866,330 (31 March 2024 : 842,866,330) equity shares of INR 1 each	842.87	842.87
Issued, subscribed and fully paid up shares		
839,950,356 (31 March 2024 : 839,950,356) equity shares of INR 1 each	839.95	839.95
	<u>839.95</u>	<u>839.95</u>

(a) Reconciliation of number of shares and amount outstanding at the beginning and at the end of the reporting year

	As at 31 March 2025		As at 31 March 2024	
	Number of shares	Amount	Number of shares	Amount
Equity shares				
At beginning of the year	839,950,356	839.95	139,614,767	139.61
Issuance of equity shares for cash	-	-	376,959	0.38
Issuance of bonus equity shares	-	-	699,958,630	699.96
At the end of the year	<u>839,950,356</u>	<u>839.95</u>	<u>839,950,356</u>	<u>839.95</u>

(b) Terms and rights attached to equity shares

Each share holder of equity shares is entitled to one vote per share. In event of liquidation of the Company, the holders of equity shares would be entitled to receive remaining assets of the Company, after distribution of all preferential amounts. The distribution will be in proportion to the number of equity shares held by the shareholders.

(c) Shares of the company held by Holding company

	As at 31 March 2025		As at 31 March 2024	
	Number of shares	Amount	Number of shares	Amount
Equity shares				
Erstwhile Pine Labs Limited, Singapore (erstwhile Holding Company)*	838,993,350	838.99	838,993,350	838.99

(d) Details of shareholders holding more than 5% equity shares in the Company

	As at 31 March 2025		As at 31 March 2024	
	Number of shares	% Holding	Number of shares	% Holding
Equity shares				
Erstwhile Pine Labs Limited, Singapore (erstwhile Holding Company)*	838,993,350	99.89%	838,993,350	99.89%

(e) Disclosure of Shareholding of Promoters

Disclosure of shareholding of promoters as at 31 March 2025 is as follows:

	As at 31 March 2025		As at 31 March 2024		% Change during the year
	Number of shares	% Holding	Number of shares	% Holding	
Equity shares					
Erstwhile Pine Labs Limited, Singapore (erstwhile Holding Company)*	838,993,350	99.89%	838,993,350	99.89%	-

Disclosure of shareholding of promoters as at 31 March 2024 is as follows:

	As at 31 March 2024		As at 31 March 2023		% Change during the year
	% Holding	Number of shares	% Holding	during the year	
Equity shares					
Erstwhile Pine Labs Limited, Singapore (erstwhile Holding Company)*	838,993,350	99.89%	139,455,266	99.89%	0.01%

* Subsequently merged with the Company, refer note 45.

(f) Details of shares issued for consideration other than cash for last 5 years immediately preceding 31 March 2025

During the year ended 31 March 2024, the Company had issued 699,958,630 equity shares by way of bonus issue which is fully paid up and Nil in current year.

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17 Other equity

	As at 31 March 2025	As at 31 March 2024
Reserves & Surplus		
Securities premium	23,430.21	23,430.21
Retained earnings	(3,666.05)	(3,888.52)
Items of other comprehensive income (OCI)	106.88	65.82

Other equity	19,871.04	19,607.51
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a) Securities premium

	As at 31 March 2025	As at 31 March 2024
Opening balance	23,430.21	23,715.89
Issue of equity shares	-	414.28
Issue of bonus equity shares (refer note 16(f))	-	(699.96)

Closing balance	23,430.21	23,430.21
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b) Retained earnings

	As at 31 March 2025	As at 31 March 2024
Opening balance	(3,888.52)	(2,049.28)
Net profit/(loss) for the year	435.42	(1,871.62)

Items of other comprehensive income recognised directly in retained earnings

Remeasurement of defined benefit liability	(30.36)	28.70
Income tax relating to these items	7.64	(7.22)
Transfer on account of lapse of unexercised options	69.26	10.90
Recharge cost of share based payments by erstwhile Holding Company (net of tax) (refer note 46)	(259.49)	-

Closing balance	(3,666.05)	(3,888.52)
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c) Items of other comprehensive income (OCI)

	As at 31 March 2025	As at 31 March 2024
Opening balance	65.82	38.70
Fair value changes on equity investments through OCI	47.91	35.20
Income tax relating to these items	(6.85)	(8.08)

Closing balance	106.88	65.82
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Nature and purpose of other Reserves

Securities premium

Securities premium is used to record the premium on issue of shares. The securities premium is utilised in accordance with the provisions of the Companies Act 2013.

Retained earnings

Retained earnings are the accumulated profits/losses earned (incurred) by the Company till balance sheet date.

Items of other comprehensive income (equity instruments through OCI)

The Company has elected to recognise changes in the fair value of certain investments in equity instruments in other comprehensive income. The fair value change of the equity instruments measured at fair value through other comprehensive income is recognised in equity instruments through OCI. The Company transfers amounts therefrom to retained earnings when the relevant equity securities are derecognised.

18 Borrowings

	As at 31 March 2025	As at 31 March 2024
Non-current		
Secured		
Loan from banks		
Term loans (i)	471.82	1,135.90
Total non-current borrowings	471.82	1,135.90

Current

Secured		
Loan from banks		
Term loans (i)	661.36	847.40
Cash credit and bank overdraft (ii)	6,172.25	2,705.60
Loans from a financial institution (iii)	-	81.20
Total current borrowings	6,833.61	3,634.20

For all the borrowings stated above, the fair values are not materially different from their carrying amounts, since the interest payable on most of the borrowings is linked to current market rates or the borrowings are of a short-term nature. Information about the Company's exposure to interest rate and liquidity risks is included in note 35.

Pine Labs Limited (formerly known as Pine Labs Private Limited)**Notes to the Standalone Financial Statements for the year ended 31 March 2025**

(Amount in INR millions, except per share data, unless otherwise stated)

(i) Term loans from bank

Term loans are repayable in 45 to 64 (31 March 2024 : 45 to 64) monthly instalments with the interest rate ranging between 8.88% to 9.64% (31 March 2024 : 8.60% to 9.64%). These term loans are going to mature in financial year 2025-26 to 2027-28 (31 March 2024 : 2025-26 to 2027-28). The loans are secured against exclusive charge on property, plant and equipment acquired/created out of these term loans and proportionate bank deposits at agreed percentage of sanctioned and outstanding term loan amounts of the Company (refer note 38).

(ii) Cash Credit and bank overdraft

Cash Credits/ Bank Overdrafts are repayable on demand. All borrowings, except two bank overdraft facilities, are linked to respective bank MCLR/RBI repo rate of interest, including agreed spreads over and above such rates. The interest rates on the aforesaid two overdraft facilities are linked to interest rate of the contracted bank deposits, including agreed spread over and above such rates, on which lien has been marked in favour of the related banks. Such Borrowings are secured by:

(a) Bank deposits (amounts to the extent specified in sanctioned agreements), inventories, trade receivables and receivables from cashback schemes (exclusive/pari passu of the participating banks) and other current assets of the Company which have availed these limits. These charge are restricted to the outstanding balances of borrowings including interest and applicable charges if any.

(b) 100% cash margin in form of bank deposits lien marked in favour of the related bank for overdraft facilities.

(refer note 38).

(iii) Loans from a financial institution

The Company has entered into various arrangements for sale and lease back of certain property, plant and equipment with a financial institution (other than bank). Under the arrangements, the related assets have been sold to the financial institution at the carrying value in the books of the Company. Further, the related assets have been leased back to the Company at a monthly lease payment for a tenor ranging from 36 months to 48 months. Since, the sale of such assets do not meet the criterion of sale under Ind AS-115, the assets have not been derecognized in accordance with guidance under Ind AS-116. The amounts received by the Company have been, consequently, presented as loans from financial institution. The interest rates on these arrangements are fixed ranging from 9.25% p.a. to 11.08% p.a. These loans have been fully repaid in the current year.

(iv) The Company has borrowings from banks on the basis of security of certain current assets. For the year ended 31 March 2025, the statement file with the bank are in reconciliation with books of accounts and for the year ended 31 March 2024, below is the summary of quarterly reconciliation of statements of stock, debtors and creditors as filed by the Company to the bank and books of account:

Quarter ended	Particulars	Amount as per books of account (A)	Amount as reported in the original quarterly return/statement (B)	Amount as reported in the revised quarterly return/statement (C)	Amount of difference between books of accounts and revised quarterly statements (A-C)
31 March 2024	Stock	227.31	227.31	227.31	-
	Debtors*	10,219.93	10,230.22	10,219.93	-
	Creditors#	3,708.11	3,723.77	3,708.11	-
31 December 2023	Stock	246.90	235.54	246.90	-
	Debtors*	11,748.53	11,737.20	11,748.53	-
	Creditors#	5,483.39	3,896.60	5,483.39	-
30 September 2023	Stock	249.60	249.60	249.60	-
	Debtors*	10,097.81	10,071.80	10,097.81	-
	Creditors#	4,295.96	4,177.20	4,295.96	-
30 June 2023	Stock	229.81	229.82	229.81	-
	Debtors*	9,884.60	9,872.60	9,884.60	-
	Creditors#	5,124.56	5,147.80	5,124.56	-

* Debtors includes trade receivables, contract assets and receivable for cashback schemes.

Creditors includes trade payables, capital creditors and excludes creditors of prepaid card for which amount is maintained in earmarked funds.

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(Amount in INR millions, except per share data, unless otherwise stated)

Movement in liabilities arising from financing activities

	31 March 2025	31 March 2024
Cash credit and bank overdraft	(6,172.25)	(2,705.60)
Other borrowings (Term loans and loans from financial institution)	(1,133.18)	(2,064.50)
Lease liabilities	(1,175.19)	(979.09)
Net borrowing and lease liabilities	(8,480.62)	(5,749.19)

	Lease liabilities	Liabilities from financing activities Cash credit and bank overdraft	Other borrowings	Total
As at 1 April 2023	(830.33)	(477.52)	(2,592.07)	(3,899.92)
Proceeds from borrowings	-	-	(628.60)	(628.60)
Principal repayments of borrowings	-	-	1,161.79	1,161.79
Principal payment of lease liabilities	101.45	-	-	101.45
Interest paid	88.16	243.51	236.73	568.40
Modifications/terminations/end of lease contracts	25.32	-	-	25.32
Total changes from financing cash flows	(615.40)	(234.01)	(1,822.15)	(2,671.56)
Change in cash credit and bank overdraft (net)	-	(2,231.00)	-	(2,231.00)
Other changes				
New leases	(275.53)	-	-	(275.53)
Interest expense	(88.16)	(240.59)	(237.88)	(566.63)
Other non cash changes	-	-	(4.47)	(4.47)
As at 31 March 2024	(979.09)	(2,705.60)	(2,064.50)	(5,749.19)
As at 1 April 2024	(979.09)	(2,705.60)	(2,064.50)	(5,749.19)
Proceeds from borrowings	-	-	-	-
Principal repayments of borrowings	-	-	932.35	932.35
Principal payment of lease liabilities	115.90	-	-	115.90
Interest paid	105.83	416.23	150.59	672.65
Modifications/terminations/end of lease contracts	83.57	-	-	83.57
Total changes from financing cash flows	(673.79)	(2,289.37)	(981.56)	(3,944.72)
Change in cash credit and bank overdraft (net)	-	(3,466.65)	-	(3,466.65)
Other changes				
New leases	(395.57)	-	-	(395.57)
Interest expense	(105.83)	(416.23)	(146.76)	(668.82)
Other non cash changes	-	-	(4.86)	(4.86)
As at 31 March 2025	(1,175.19)	(6,172.25)	(1,133.18)	(8,480.62)

19 Liabilities towards prepaid cards

	As at 31 March 2025	As at 31 March 2024
Liabilities towards prepaid cards*	47,717.71	-
Total	47,717.71	

*This represents obligation of the Company for prepaid cards (activated or yet to be activated) issued to the customers, liable to be settled on redemption of prepaid cards. Against the liability pertaining to activated prepaid cards, an amount of INR 40,648.72 millions is maintained in earmarked balances, which is included in other bank balances (refer note 15).

During the year, the Company has re-evaluated the presentation of 'liability towards prepaid cards' before redemption of prepaid cards considering the contracts with brands/ vendors and the governing regulations which was earlier presented as contract liability. Basis the re-evaluation, the Company has concluded the nature of such 'liability towards prepaid cards' as financial liability. Considering that reclassification is not considered to be material to these financial statements, there is no change in the presentation of corresponding figures. Also refer note 25 (d).

20 Other financial liabilities

	As at 31 March 2025	As at 31 March 2024
Non current		
Payable to related parties (refer note 39)*	73.04	165.90
Security deposits received	-	18.30
Total other financial liabilities-non current	73.04	184.20
Current		
Creditors for capital goods (refer note 39)	75.30	30.00
Payable to employees	815.21	536.30
Payable to related parties (refer note 39)*	2,795.66	2,459.20
Security deposits received	29.63	4.80
Payable towards cashback schemes	3,053.45	2,321.50
Payable to merchants	117.92	900.40
Total other financial liabilities-current	6,887.17	6,252.20

* Payable to the erstwhile Holding Company (subsequently merged with the Company, refer note 45) with respect to employee share based payment expense.

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21 Deferred government grants

	As at 31 March 2025	As at 31 March 2024
Non-current	137.86	142.13
Current	143.52	177.70
Total	281.38	319.83

The Company has received grants for deployment of POS (Digital checkout points) machines in specified regions in India under Payments Infrastructure Development Fund (PIDF) Scheme issued by Reserve Bank of India. There are no conditions attached to 75% of the claim amount and balance 25% claim amount is subject to fulfilment of certain performance parameters (such as 'active' status of the device for a certain period in future, 'minimum usage of machines' criteria as defined in the scheme). Basis the past trend of performance, the Company has recognized income to the extent of 14.5% (31 March 2024: 14.5%) of such balance claim amount.

22 Provisions

	As at 31 March 2025	As at 31 March 2024
Non-current		
Provision for compensated absences	120.30	86.20
Provision for gratuity (refer note 40)	297.30	233.90
Provision for long service award	4.00	3.20
Total employee benefit obligations - Non-current	421.60	323.30
Current		
Provision for compensated absences	90.16	60.80
Provision for gratuity (refer note 40)	107.74	102.30
Provision for long service award	0.92	2.40
Total employee benefit obligations - Current	198.82	165.50

23 Trade payables

	As at 31 March 2025	As at 31 March 2024
Current		
Total outstanding dues of micro enterprises and small enterprises (refer note 43)	380.22	137.18
Total outstanding dues to enterprises other than micro enterprises and small enterprises	4,712.59	5,630.10
Total trade payables	5,092.81	5,767.28

1. These amounts are non-interest bearing. Trade payables are monthly settled on 0 to 60 days term.

2. A portion of trade payable amounting to INR 269.60 millions (31 March 2024: INR 372.21 millions) includes payable to related parties as at 31 March 2025. (refer note 39)

Trade payables ageing schedule*

As at 31 March 2025	Outstanding for following periods from due dates of payments						
Particulars	Not due	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	Accrued expenses	Total
Dues to micro and small enterprises (MSME)	79.78	34.58	15.38	-	-	250.48	380.22
Dues to others	1,128.51	1,232.78	9.48	6.03	2.20	2,333.59	4,712.59
Total	1,208.29	1,267.36	24.86	6.03	2.20	2,584.07	5,092.81

As at 31 March 2024	Outstanding for following periods from due dates of payments						
Particulars	Not due	Less than 1 year	1 to 2 years	2 to 3 years	More than 3 years	Accrued expenses	Total
Dues to micro and small enterprises (MSME)	20.78	9.92	-	-	-	106.48	137.18
Dues to others	109.39	3,741.71	16.39	24.33	6.03	1,732.25	5,630.10
Total	130.17	3,751.63	16.39	24.33	6.03	1,838.73	5,767.28

*There are no disputed dues payable to MSME and others.

24 Other current liabilities

	As at 31 March 2025	As at 31 March 2024
Current		
Statutory dues	303.79	324.35
Other liabilities	19.07	12.86
Total other liabilities - Current	322.86	337.21

25 Revenue from operations

	Year ended 31 March 2025	Year ended 31 March 2024
Revenue from contracts with customers		
Sale of services	11,544.36	9,441.49
Sale of traded goods	734.06	525.53
	<u>12,278.42</u>	<u>9,967.02</u>
Other operating revenue		
Interest on funds held for customers	3,448.17	3,118.13
Government grants	234.54	224.42
Gain on recoveries from customers	11.97	21.75
Total revenue from operations	15,973.10	13,331.32

25(a) Disaggregation of revenue from contracts with customers

Type of goods or services	Year ended 31 March 2025	Year ended 31 March 2024
Digital infrastructure and transaction platform		
Revenue from technology platform related services	10,517.16	8,330.35
Revenue from sale of traded goods	711.99	474.09
	<u>11,229.15</u>	<u>8,804.44</u>
Issuing and acquiring platform		
Processing and distribution of prepaid cards	1,027.19	1,111.21
Revenue from sale of prepaid cards	22.08	51.37
	<u>1,049.27</u>	<u>1,162.58</u>
Total revenue from contract with customers	12,278.42	9,967.02

25(b) Reconciliation of revenue recognised with the contracted price is as follows

Contracted price for revenue recognised with customers	20,523.63	17,299.80
Reduction towards variable consideration components*	(8,245.21)	(7,332.78)
Total Revenue from contract with customers	12,278.42	9,967.02

*The reduction towards variable consideration comprises of INR 7,774.80 millions (31 March 2024: INR 7,004.55 millions) for consideration paid to customers and INR 470.41 millions (31 March 2024: INR 328.23 millions) for discounts, penalties and incentives paid to customers, etc.

25(c) Timing of revenue recognition

	Year ended 31 March 2025	Year ended 31 March 2024
Goods and services transferred at a point in time	1,681.76	1,394.36
Services transferred over time	10,596.66	8,572.66
Total	12,278.42	9,967.02

25(d) Contracts assets and contract liabilities

Contract assets

	As at 31 March 2025	As at 31 March 2024
Unbilled revenue	302.75	783.24
Less: Loss allowance	(0.34)	(15.10)
Total contract assets	302.41	768.14
Non-current	-	-
Current	302.41	768.14
Total	302.41	768.14

For lien against above balances refer note 38.

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Contract liabilities

	As at 31 March 2025	As at 31 March 2024
Deferred revenue	216.31	151.04
Advance from customers and liabilities towards prepaid cards*	80.47	39,328.93
Total contract liabilities	296.78	39,479.97
Non-current	58.11	32.88
Current	238.67	39,447.09
Total	296.78	39,479.97

*As at 31 March 2024, it includes INR 35,731.31 millions which represents obligation of the Company for prepaid cards (activated or yet to be activated) issued to the customers, liable to be settled on redemption of prepaid cards. Against the liability pertaining to activated prepaid cards, an amount of INR 38,520.02 millions as at 31 March 2024, is maintained in earmarked balances, which is included in other bank balances (refer note 15).

During the year, the Company has re-evaluated the presentation of 'liability towards prepaid cards' before redemption of prepaid cards considering the contracts with brands/vendors and the governing regulations which was earlier presented as contract liability. Basis the re-evaluation, the Company has concluded the nature of such 'liability towards prepaid cards' as financial liability. Considering that reclassification is not considered to be material to these financial statements, there is no change in the presentation of corresponding figures. Also refer note 19.

Revenue recognised in relation to deferred revenue

The following table shows how much of the revenue recognised in the respective year relates to carried-forward deferred revenue from previous year

	Year ended 31 March 2025	Year ended 31 March 2024
Revenue recognised that was included in the deferred revenue balance at the beginning of the year	109.55	127.31

Transaction price allocated to remaining performance obligations:

The following table includes revenue expected to be recognised in the future related to performance obligations that are unsatisfied at the reporting date:

	As at 31 March 2025	As at 31 March 2024
Deferred revenue	216.31	349.05
Total	216.31	349.05

The Company expects to recognize revenue for unsatisfied performance obligations within 1 to 5 years for 31 March 2025 (31 March 2024: 1 to 5 years) from the reporting date.

26 Other income

	Year ended 31 March 2025	Year ended 31 March 2024
Interest income under the effective interest method on financial assets carried at amortised cost		
-Bank deposits	110.95	159.53
-Security deposits	8.43	5.64
-Unsecured loans given to related parties	51.70	35.93
Interest on income tax refunds	76.37	127.41
Liabilities and provisions no longer required written back	84.96	38.06
Gain on sale of property, plant and equipment	3.76	13.64
Net gain on lease termination	6.48	2.71
Service charges from related parties	634.81	29.41
Miscellaneous income	1.24	4.06
Total other income	978.70	416.39

27 Transaction and related costs

	Year ended 31 March 2025	Year ended 31 March 2024
Transaction and client services costs	1,138.63	1,111.73
Connectivity Costs	364.71	370.80
Spares and consumables	334.17	249.76
Total transaction and related costs	1,837.51	1,732.29

28 Changes in inventories of stock-in-trade

	Year ended 31 March 2025	Year ended 31 March 2024
Closing balance		
Stock-in-trade	121.11	195.85
Opening balance		
Stock-in-trade	195.85	190.20
Changes in inventories of stock-in-trade	74.74	(5.65)

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29 Employee benefits expense	Year ended 31 March 2025	Year ended 31 March 2024
Salaries, wages and bonus	5,711.17	5,239.97
Contribution to provident and other funds (refer note 40)	178.38	181.11
Employee share based payment expense (refer note 46)	457.77	579.86
Staff welfare expenses	242.52	252.57
Total employee benefits expense	6,589.84	6,253.51
30 Finance costs	Year ended 31 March 2025	Year ended 31 March 2024
Interest expenses on financial liabilities measured at amortised cost		
-Bank borrowings	562.19	461.86
-Loans from a financial institution	0.80	21.01
Interest expense on lease liabilities	105.83	88.16
Other finance costs	34.30	5.21
Total finance costs	703.12	576.24
31 Depreciation and amortisation expenses	Year ended 31 March 2025	Year ended 31 March 2024
Depreciation of property, plant and equipment (refer note 3)	1,503.58	1,794.30
Amortisation of intangible assets (refer note 4)	340.95	718.16
Depreciation of right-of-use assets (refer note 5)	172.91	147.46
Total depreciation and amortisation expenses	2,017.44	2,659.92
32 Impairment of non-current assets	Year ended 31 March 2025	Year ended 31 March 2024
Impairment of property, plant and equipment (refer note 3)	58.08	302.08
Impairment of other intangible assets/ intangible assets under development (refer note 4)	25.44	315.55
Total Impairment of non-current assets	83.52	617.63
33 Other expenses	Year ended 31 March 2025	Year ended 31 March 2024
Data centre and cloud storage expenses	680.74	439.96
Information technology expenses	740.88	595.18
Legal and professional expenses (refer note (a) below)	865.69	742.98
Third party manpower cost	697.63	576.98
Advertisement and business promotion expenses	549.98	570.67
Travel expenses	277.66	267.70
Facility maintenance expenses	124.91	106.58
Courier and forwarding charges	88.11	86.86
Rates and taxes	83.50	80.45
Communication costs	42.72	35.25
Insurance	36.84	38.31
Rent	13.68	13.08
Losses on digital payment transactions	35.74	121.85
Advances written off	10.03	-
Write-off of property, plant and equipment	0.34	1.88
Foreign exchange loss (net)	97.75	63.64
Miscellaneous expenses	25.93	20.28
Total other expenses	4,372.13	3,761.65
(a) Payments to auditor comprises (excluding applicable taxes)		
As auditor:		
Statutory audit fees#	16.35	11.45
Reimbursement of expenses	1.18	0.57
Tax audit	0.25	0.70
Other services	1.16	2.12
Total	18.94	14.84

Includes INR 3.68 millions in respect of prior years (31 March 2024: INR 1.7 millions).

34 Fair value measurements

a) Financial instruments by category

	As at 31 March 2025		As at 31 March 2024	
	Carrying amount	Fair value	Carrying amount	Fair value
Financial assets				
a) Measured at fair value through other comprehensive income (FVTOCI)				
Investment in equity instruments (refer (iii) below)	210.79	210.79	162.88	162.88
b) Measured at amortised cost				
Bank deposits (including interest accrued)	1,817.25		1,274.56	
Security deposits	74.90		88.24	
Earmarked balances with banks (including interest accrued)	49,398.44		42,349.00	
Loans	143.69		577.85	
Receivable for cashback schemes	8,601.17		6,078.30	
Trade receivables, net	6,649.76		5,037.21	
Cash and cash equivalents	6,128.29		5,111.00	
Receivable from related parties (refer note 39)	810.49		30.00	
Receivables from bank and others	277.98		41.40	
Government grants receivable	69.57		62.40	
Total financial assets at amortised cost	73,971.54		60,649.96	
Financial liabilities				
Measured at amortised cost				
Borrowings (Term loans and loan from financial institution) (refer (iii) below)	1,133.18	1,133.18	2,064.50	2,064.52
Borrowings (Cash credit and bank overdraft)	6,172.25		2,705.60	
Lease liabilities	1,175.19	1,177.69	979.09	979.09
Trade payables	5,092.81		5,767.28	
Liabilities towards prepaid cards	47,717.71		-	
Creditors for capital goods	75.30		30.00	
Payable to employees	815.21		536.30	
Payable to related parties (refer note 39)	2,868.70		2,625.10	
Security deposits received	29.63		23.10	
Payable towards cashback schemes	3,053.45		2,321.50	
Payable to merchants	117.92		900.40	
Total financial liabilities	68,251.35		17,952.87	

Fair value hierarchy

	Level 1	Level 2	Level 3	Total
As at 31 March 2025				
Financial assets				
Investment in equity instruments	-	-	210.79	210.79
Financial liabilities				
Borrowings (Term loan)	-	1,133.18	-	1,133.18
Lease liabilities	-	1,177.69	-	1,177.69
As at 31 March 2024				
Financial assets				
Investment in equity instruments	-	-	162.88	162.88
Financial liabilities				
Borrowings (Term loan)	-	2,064.52	-	2,064.52
Lease liabilities	-	979.09	-	979.09

The following tables shows a reconciliation from the beginning balances to the ending balances for fair value measurement in Level 3 of the fair value hierarchy:

	As at 31 March 2025	As at 31 March 2024
Opening balance	162.88	127.68
Total gain recognized in other comprehensive income for net change in fair value	47.91	35.20
Closing balance	210.79	162.88

The following methods and assumptions were used to estimate the fair values:

(i) The Company has not disclosed the fair value of Cash and cash equivalents, earmarked balances with banks, bank deposits (including interest accrued), trade receivables, receivables for cashback schemes, government grants receivable, loans, receivable from related parties, receivables from bank and others, liabilities towards prepaid cards, borrowings (cash credit and bank overdraft) trade payables and other financial liabilities mentioned above because their carrying amounts are a reasonable approximate of fair value largely due to the short-term nature of these instruments.

(ii) There have been no transfers between level 1, level 2 and level 3 fair value measurements.

(iii) Valuation techniques and significant unobservable inputs

The following tables show the valuation techniques used in measuring Level 2 and Level 3 fair values in the standalone balance sheet, as well as the significant unobservable inputs used in measuring Level 3 fair values for financial instruments. Related valuation processes are described:

		As at 31 March 2025	As at 31 March 2024
Investment in equity instruments			
Valuation technique		Net Asset Method: Net asset value is calculated as the book value of total assets after deduction of book value of total liabilities.	Net Asset Method: Net asset value is calculated as the book value of total assets after deduction of book value of total liabilities.
Significant unobservable inputs		Book value of total assets after deduction of book value of total liabilities.	Book value of total assets after deduction of book value of total liabilities.
Inter-relationship between significant unobservable inputs and fair value measurement		The estimated fair value would increase (decrease) if the book value increase/(decrease)	The estimated fair value would increase (decrease) if the book value increase/(decrease)
Borrowings (Term loan)			
Valuation technique		Discounted cash flow: the valuation model considers the present value of expected payments, discounted using a risk-adjusted discount rate.	Discounted cash flow: the valuation model considers the present value of expected payments, discounted using a risk-adjusted discount rate.
Leases			
Valuation technique		Discounted cash flow: the valuation model considers the present value of expected payments, discounted using a risk-adjusted discount rate.	Discounted cash flow: the valuation model considers the present value of expected payments, discounted using a risk-adjusted discount rate.

35 Financial risk management

The Company's activities expose it to a variety of financial risks: market risk (including currency risk and interest rate risk), credit risk and liquidity risk. The Company's senior management oversees the management of these risks. The senior professionals working to manage the financial risks and the appropriate financial risk governance framework for the Company are accountable to the Board. This process provides assurance to the Company's senior management that the Company's financial risk-taking activities are governed by appropriate policies and procedures and that financial risks are identified, measured and managed in accordance with the Company policies and risk objectives.

(A) Credit risk

Credit risk is the risk that a counter party will not meet its obligations under a financial instrument or customer contract, leading to a financial loss. The Company is exposed to credit risk from its operating activities (primarily trade receivables and contract assets) and from its financing activities, including deposits with banks, and financial institutions, and other financial assets. Management has a credit policy in place and the exposure to credit risk is monitored on an ongoing basis. Financial assets are written off when there are indicators that there is no reasonable expectation of recovery.

Trade receivables and contract assets

Trade receivables and contract assets are non interest bearing and are generally on 7 to 90 days credit term. The Company has no concentration of credit risk as the customer base is widely distributed both economically and geographically.

Credit risk has always been managed by the Company through credit approvals, establishing credit limits and continuously monitoring the creditworthiness of customers to which the Company grants credit terms in the normal course of business. In accordance with Ind AS 109, the Company applies expected credit loss model (ECL) for measurement and recognition of impairment loss. The Company follows 'simplified approach' for recognition of impairment loss allowance on trade receivables and contract assets. The Company determines the expected credit losses on these items by using flow rate, estimates based on historical credit loss experience of past due status of the debtors, adjusted as appropriate to reflect current conditions and estimates of future economic conditions. Management also exercises judgment in specific cases and basis past experience makes additional impairment loss provisions. These include trade receivables associated with litigations, balances related to customer who have not transacted/ paid for more than a specific period and are identified as credit impaired.

The carrying amounts of financial assets represent the maximum credit risk exposure. The Company does not hold collateral as security except in case of Issuing and acquiring platform business where the Company holds insurance cover for trade receivable basis internal assessment for specified customers of the Company.

The Company's credit risk exposure in relation to trade receivables and contract assets under Ind AS 109 as at 31 March 2025 and 31 March 2024 are set out as follows:

As at 31 March 2025

Particulars	Not due	0-6 months past due	6-12 months past due	More than 12 months past due	Total
Trade receivables and contract assets- gross carrying amount					
-Not impaired	4,693.69	2,312.59	158.90	5.27	7,170.45
-Credit impaired	0.48	16.64	22.40	196.38	235.90
	4,694.17	2,329.23	181.30	201.65	7,406.35
Loss allowances	(48.94)	(104.08)	(99.51)	(201.65)	(454.18)
Net carrying amount	4,645.23	2,225.15	81.79	-	6,952.17

As at 31 March 2024

Particulars	Not due	0-6 months past due	6-12 months past due	More than 12 months past due	Total
Trade receivables and contract assets- gross carrying amount					
-Not impaired	3,908.52	1,721.70	127.10	322.01	6,079.33
-Credit impaired	2.12	10.22	17.34	121.34	151.02
	3,910.64	1,731.92	144.44	443.35	6,230.35
Loss allowances	(89.06)	(73.28)	(82.43)	(180.23)	(425.00)
Net carrying amount	3,821.58	1,658.64	62.01	263.12	5,805.35

Movement in loss allowance of trade receivables and contract assets:

Particulars	As at 31 March 2025	As at 31 March 2024
At the beginning of year	425.00	364.50
Charge during the year	117.07	106.72
Written off	-	1.10
Utilised during the year	(87.89)	(47.32)
Balance at the end of the year	454.18	425.00

Impairment losses in statement of profit and loss

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Impairment losses on trade receivables and contract assets	117.07	106.72
Bad debts written off	39.66	53.80
Impairment losses on loans	0.50	1.19
Security deposits written off	10.36	-
Impairment losses on receivable for cashback schemes	11.75	2.52
Other financial assets	27.80	4.75
Impairment losses on financial assets and contract assets	207.14	168.98

The following table details the risk profile range of trade receivable and contract assets based on Company provision matrix. The management considers default period of 12 months or 24 months and above for different categories of customers based on the industry practice and the business environment in which Company operate. Management also consider historical experiences and business practices followed with such customers while considering default periods. The Company has established a flow rate approach that is based on its historical credit loss experience, adjusted for forward-looking factors specific to the receivables and the economic environment for different customer categories and segments.

	As at 31 March 2025	As at 31 March 2024
Ageing		
Not due	0.06% - 15.31%	0.08% - 14.8%
0-3 months	0.24% - 19.89%	0.31% - 19.69%
3-6 months	2.56% - 39.72%	2.86% - 41.21%
6-9 months	10.57% - 58.21%	11.73% - 60.58%
9-12 months	21.41% - 77.34%	22.31% - 79.52%
12-15 months	37.94% - 100%	41.8% - 100%
15-18 months	54.37% - 100%	59.54% - 100%
18-21 months	74.4% - 100%	81.13% - 100%
21-24 months	89.15% - 100%	94.33% - 100%
24 months & above	100%	100%

Other financial instruments and bank deposits

Credit risk from balances with banks and financial institutions is managed by Company's treasury. Investments of surplus funds are made only with approved counterparties who meet the minimum threshold requirements under the counterparty risk assessment process. The Company monitors ratings, credit spreads and financial strength of its counter parties. Based on its on-going assessment of counterparty risk, the Company adjusts its exposure to various counterparties. Counterparty credit limits are set to minimise the concentration of risks.

Cash and cash equivalents, earmarked balances with banks, bank deposits and interest accrued..

The Company held cash and cash equivalents of INR 6,128.29 millions (31 March 2024: INR 5,111.00 millions), earmarked balances with banks of INR 49,398.44 millions (31 March 2024: INR 42,349.00 millions) and deposits with original maturity of more than three months of INR 1,817.25 millions (31 March 2024: INR 1,256.14 millions) with banks which are considered to have low credit risk.

Security deposits

The Company monitors the credit rating of the counterparties on regular basis. These instruments carry very minimal credit risk based on the financial position of parties and Company's historical experience of dealing with the parties.

Receivable for cashback schemes

Receivable for cashback schemes represent amounts recoverable from banks and brand partners towards cashback offers extended to end customers under joint promotional schemes. These amounts are typically contractually agreed and reimbursable based on defined milestones. The Company evaluates credit risk on cashback receivables based on the creditworthiness of the counterparties and the contractual enforceability of the underlying arrangements. The counterparties include established financial institutions and brand partners with whom the Company has an ongoing business relationship and no history of default. The Company considers contractual terms and enforceability, historical payment patterns, ageing profile of the receivable, internal credit assessments, disputes, if any, and probability of recovery, in assessing the credit risk of these receivables:

As of the reporting date, receivable for cashback schemes are considered to have a low credit risk and are measured using the expected credit loss (ECL) model under IND AS 109, where appropriate, the Company uses provision matrices.

(B) Liquidity risk

Liquidity risk is the risk that the Company may not be able to meet its present and future cash and collateral obligations without incurring unacceptable losses. The Company manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows, and by matching the maturity profiles of financial assets and liabilities. The Company closely monitors its liquidity position and deploys a cash management system. It maintains adequate sources of financing including loans, cash credit, and overdraft from banks. It has access to domestic capital markets across debt, equity and hybrids. At the balance sheet date, among other bank balances, the Company held short term bank deposits of INR 1,312.53 millions (31 March 2024: INR 922.20 millions) that are expected to readily generate cash inflows for managing liquidity risk.

(i) Maturities of financial liabilities

The table below provides details regarding the contractual maturities of significant financial liabilities:

Contractual maturities of financial liabilities : (undiscounted cash flows)

	Carrying amount	Less than 1 year	1 to 2 years	2 to 5 Years	More than 5 years	Total
As at 31 March 2025						
Borrowings	7,305.43	6,908.73	467.14	25.84	-	7,401.71
Lease liabilities	1,175.19	242.07	229.08	530.18	749.10	1,750.43
Trade payables	5,092.81	5,092.81	-	-	-	5,092.81
Liabilities towards prepaid cards	47,717.71	47,717.71	-	-	-	47,717.71
Other financial liabilities	6,960.21	6,887.17	60.59	12.45	-	6,960.21
Total	68,251.35	66,848.49	756.81	568.47	749.10	68,922.87
As at 31 March 2024						
Borrowings	4,770.10	3,784.80	736.48	499.94	-	5,021.22
Lease liabilities	979.09	201.53	194.97	416.75	619.99	1,433.24
Trade payables	5,767.28	5,767.28	-	-	-	5,767.28
Liabilities towards prepaid cards	-	-	-	-	-	-
Other financial liabilities	6,436.40	6,252.20	142.46	41.74	-	6,436.40
Total	17,952.87	16,005.81	1,073.91	958.43	619.99	18,658.14

There is no undrawn amount against the term loan facility of the Company. The Company also has access to financing facilities (excluding term loans) including non-fund based facilities as described below. The Company expects to meet its other obligations from operating cash flows and proceeds of maturing financial assets.

	As at 31 March 2025	As at 31 March 2024
Secured cash credit facility:		
-amount used	6,172.25	2,705.60
-amount unused	767.75	3,359.36

(C) Market risk

Market risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in market prices. Market risk comprise three types of risk: foreign currency rate risk, interest rate risk and other price risks, such as equity risk. Market risk is attributable to all market risk sensitive financial instruments including foreign currency receivables, payables and borrowings. The Company has in place appropriate risk management policies to limit the impact of these risks on its financial performance.

The Company's activities expose it to a variety of financial risks, including the effects of changes in foreign currency exchange rates and interest rates. Currently, no interest rate swaps or forward contracts are taken to cover any foreign currency fluctuations and interest rate risk.

(i) Interest rate risk

Interest rate risk is the risk that the future cash flows of a financial instrument will fluctuate because of changes in market interest rates. The Company's exposure to the risk of changes in market interest rates relates primarily to the Company's debt interest obligations, except in case of borrowings from a financial institution. Further, the Company engages in financing activities at both fixed and market linked rates. Any changes in the market linked interest rates environment may impact future rates of market linked borrowing. The management continuously monitors the prevailing interest rates in the market and the amount of variable rate borrowings outstanding to decide how to mitigate interest rate risk.

The Company's deposits and earmarked balances with banks are primarily fixed rate interest bearing. Hence, the Company is not significantly exposed to interest rate risk on these deposits and earmarked balances.

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Sensitivity

With all other variables held constant, the following table demonstrates the sensitivity to a reasonably possible change in interest rates on floating rate portion of borrowings (excluding cash credit facilities):

	As at 31 March 2025	As at 31 March 2024
Borrowings (with floating interest rate excluding cash credit facilities)	1,133.18	1,983.30

Particulars	Impact on loss (increase/(decrease))	Impact on equity, net of tax (increase/(decrease))	Impact on loss (increase/(decrease))	Impact on equity, net of tax (increase/(decrease))
	Year ended 31 March 2025	Year ended 31 March 2025	Year ended 31 March 2024	Year ended 31 March 2024
Interest rate (increase by 100 basis points)	15.64	(11.70)	23.34	(17.46)
Interest rate (decrease by 100 basis points)	(15.64)	11.70	(23.34)	17.46

The assumed movement in basis points for interest rate sensitivity analysis is based on the currently observable market environment, assuming other variables to be constant.

(ii) Foreign currency risk

Foreign currency risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign currency exchange rates. Fluctuations in foreign currency exchange rates may have an impact on the standalone statements of profit and loss, the standalone statement of changes in equity, where any transaction references more than one currency or where assets/liabilities are denominated in a currency other than the functional currency of the Company.

The Company operates internationally and is exposed to foreign exchange risk arising from foreign currency transactions, primarily with respect to trade receivables, other financial assets, other financial liabilities and trade payables. The Company does not enter into derivative financial instruments (such as foreign currency forward contracts) for hedging of its foreign currency risk. The foreign currency exposure is reviewed periodically with reference to the foreign currency risk management policy followed by the Company.

Exposure to currency risk

The following table analyses foreign currency risk from financial assets and liabilities as of 31 March 2025 and 31 March 2024:

		As at 31 March 2025		As at 31 March 2024	
		Foreign currency (In millions)	INR	Foreign currency (In millions)	INR
Trade receivables	SGD	0.67	42.63	0.58	35.53
	USD	1.08	92.20	0.53	44.43
	AUD	0.92	49.02	0.14	7.73
	EURO	0.67	61.96	0.34	30.50
	IDR	-	-	4.78	0.03
	PHP	-	-	4.65	6.91
Other financial assets	USD	7.41	633.77	0.13	11.04
Other financial liabilities	USD	33.52	2,868.70	31.49	2,625.07
Trade payables	USD	1.86	159.17	2.66	221.59
	SGD	0.57	36.54	0.59	36.69
	AED	1.06	24.59	-	-
	AUD	0.45	24.07	0.07	3.66
	PHP	6.98	10.42	-	-
	EURO	0.57	52.32	0.16	14.01
	THB	0.17	0.43	-	-
Cash and cash equivalents	SGD	0.65	41.29	0.27	16.46
	USD	2.48	212.11	0.18	14.66
	EURO	0.01	0.60	0.02	1.41
	AUD	-	-	0.61	33.26

Sensitivity

The Company is mainly exposed to the fluctuations in USD, SGD, AUD and EURO.

The following table details the Company's sensitivity to a 5% increase and decrease in currency units against USD, SGD, AUD and EURO. 5% is the rate used in order to determine the sensitivity analysis, considering the past trends and represents management's assessment of the reasonably possible change in foreign exchange rates. The sensitivity analysis includes outstanding foreign currency denominated monetary items and adjusts their translation at the year-end for a 5% change in foreign currency rates.

A positive number below indicates an increase in profit and other reserves where INR strengthens 5% against USD, SGD, AUD and EURO. For a 5% weakening of INR against USD, SGD, AUD and EURO, there would be a comparable impact on the profit and other reserves, and the balances below would be negative.

Particulars	Impact on profit {increase/(decrease)}	Impact on equity, net of tax {(increase)/decrease}	Impact on loss {(increase)/decrease}	Impact on equity, net of tax {increase/(decrease)}
	Year ended 31 March 2025	Year ended 31 March 2025	Year ended 31 March 2024	Year ended 31 March 2024
USD sensitivity INR/USD - Increase by 5% INR/USD - Decrease by 5%	(104.49) 104.49	78.19 (78.19)	(138.83) 138.83	103.89 (103.89)
SGD sensitivity INR/SGD - Increase by 5% INR/SGD - Decrease by 5%	2.37 (2.37)	(1.77) 1.77	0.76 (0.76)	(0.57) 0.57
AUD sensitivity INR/AUD - Increase by 5% INR/AUD - Decrease by 5%	1.25 (1.25)	(0.93) 0.93	1.87 (1.87)	(1.40) 1.40
EURO sensitivity INR/EURO - Increase by 5% INR/EURO - Decrease by 5%	0.51 (0.51)	(0.38) 0.38	0.90 (0.90)	(0.67) 0.67

(iii) Equity price risk: The Company does not have any material exposures to equity price risk, other than those mentioned in note 34.

36 Capital management

Risk management

For the purpose of the Company's capital management, capital includes equity share capital and reserves attributable to the equity holders. The primary objective of the Company's capital management is to maximise the shareholder value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions. The Company focus is to keep strong total equity base to ensure independence, security, as well as a high financial flexibility for potential future borrowings, if required without impacting the risk profile of the Company. The Company is not subject to any externally imposed capital requirements.

The capital structure and total borrowings to equity ratio of the Company is as follows:

	Year ended 31 March 2025	Year ended 31 March 2024
Total equity attributable to shareholders (A)	20,710.99	20,447.46
Borrowings (refer note 18) (B)*	7,305.43	4,770.10
Total borrowings to equity ratio (%) (B/A)	35.27%	23.33%

* For the purpose of capital management review borrowings excludes lease liabilities.

37 Additional Regulatory Information

a) Analytical Ratios

Ratio	Numerator	Denominator	Year ended 31 March 2025	Year ended 31 March 2024	Variance (in %)
Current ratio (in times)	Current assets	Current liabilities	1.12	1.14	-1.38%
Debt equity ratio (in times) (refer note (ai))	Total debt=Borrowings+Lease liabilities	Shareholder equity	0.41	0.28	45.63%
Debt service coverage ratio (in times) (refer note (aii))	Earnings available for debt service	Debt service	2.01	1.20	67.20%
Return on equity (in %) (refer note (aiii))	Profit/(loss) after taxes	Average shareholders equity	2.12%	-8.85%	-123.90%
Inventory turnover ratio (in times)	Cost of goods sold	Average inventory	2.94	2.52	16.67%
Trade receivable turnover ratio (in times)	Revenue from operations	Average accounts receivable	2.50	2.23	12.31%
Trade payables turnover ratio (in times)	Purchase of stock in trade+Other expenses (excluding non cash expenses)	Average trade payable	1.21	1.21	0.58%
Net capital turnover ratio (in times)	Net Sales	Working capital	2.03	1.69	19.82%
Net profit ratio (in %) (refer note (aiv))	Profit/(loss) after taxes	Net sales	2.73%	-14.29%	-119.07%
Return on capital employed (in %) (refer note (av))	EBIT=Earning before interest and taxes	Capital employed = Tangible networkth + Total debt + Total deferred tax liability	5.62%	-9.06%	-162.06%

Remarks

(ai) Due to increase in borrowings.

(aii) Due to profits in current year (primarily on account of increase in total income and reduction of impairment loss on non current assets) as against losses in the previous year and repayment of principal elements of borrowings.

(aiii) Due to profits in current year (primarily on account of increase in total income and reduction of impairment loss on non current assets) as against losses in the previous year.

(aiv) Due to profits in current year (primarily on account of increase in total income and reduction of impairment loss on non current assets) as against losses in the previous year.

(av) Due to profit in current year (primarily on account of increase in total income and reduction of impairment loss on non current assets) as against loss in previous year and increase in loans.

b) Others

- The Company does not have any Benami property, where any proceedings have been initiated or pending against the Company for holding any Benami property.
- The Company does not have any charges which are yet to be registered with ROC.
- The Company has not revalued its property, plant and equipment (including right-of-use assets) or intangible assets or both during the current year.
- The Company does not have any such transaction which is not recorded in the books of accounts that has been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (such as search or survey or any other relevant provisions of the Income Tax Act, 1961).
- The Company has not traded or invested in Crypto currency or Virtual Currency during the period covered by this financial year.
- The Company have not advanced or loaned or invested funds to any other person(s) or entity(ies), including foreign entities (Intermediaries) with the understanding that the Intermediary shall:
 - directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company (Ultimate Beneficiaries) or
 - provide any guarantee, security or the like to or on behalf of the Ultimate Beneficiaries.
- The Company have not received any fund from any person(s) or entity(ies), including foreign entities (Funding Party) with the understanding (whether recorded in writing or otherwise) that the Company shall:
 - directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party (Ultimate Beneficiaries) or
 - provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries.
- The Company is not declared as wilful defaulter by any bank or financial institution (as defined under the Companies Act, 2013) or consortium thereof or other lender in accordance with the guidelines on wilful defaulters issued by the Reserve Bank of India.
- The Company has complied with the number of layers prescribed under the Companies Act, 2013.
 - The Company is not a Core Investment Company (CIC) as defined in the regulations made by the Reserve Bank of India.
 - The Company (as per the provisions of the Core Investment Companies (Reserve Bank) Directions, 2016) does not have any CICs.

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xi) Disclosure for struck off companies

The following table depicts the details of balances outstanding in respect of transactions undertaken with a company struck-off under section 248 of the Companies Act, 2013:

Nature of Transactions	Name of struck off company	Outstanding balance as at 31 March 2025	Outstanding balance as at 31 March 2024
Companies with outstanding balance of less than 1 million			
Receivables	21St Century Entertainment Private Limited, Accor Business & Travel Management (Opc)Private Limited, Adrenture Autotronic Private Limited, Ageless World Tours Private Limited, Alokik Concept Marketing Private Limited, Avana Healthcare Private Limited, Baron Electronics Private Limited, Bitet Research And Solutions Private Limited, Diazo Industries Limited, Duro Apparels Private Limited, Fortino Wellness Private Limited, Garnet Marketing Pvt Ltd, Green Electronics & Engineering India Private Limited, J T S Trade Mart Private Limited, Joy Supermarket Private Limited, Maa Antair Foods Private Limited, Mkp It Services Private Limited, Neelam Hotels Private Limited, Pepper & Tarragon Restaurant Private Limited, Sai Ram Silks Private Limited, Sree Suprabhath Townships Private Limited, Unlimited Technology Pvt Ltd, Yuvi Entertainment Private Limited	1.43	1.55
Advance from customers	Gamsa Hospitality Private Limited, Godwin Resorts & Hotels Private Limited, Oziwo Hospitality Private Limited, Sterling Enterprises Private Limited, Vegtara Tel Systems Private Limited, Visaag Technologies Private Limited	0.02	0.01
Companies with Nil outstanding balance			
Nil balance in current year	A K Unique Solution Private Limited, Aardi Solar Energy Private Limited, Abhi Repair Private Limited, Ace Sicurezza Private Limited, Aesthetica Aesthetic Cosmatic Private Limited, Apple Spring Reality And Services Private Limited, Applegadgets Technologies Private Limited, Avedenshi Services (Opc) Private Limited, Benivo Power Solutions Private Limited, Cloudone International Network Limited, Countywide Vacations (Opc) Private Limited, Dab Travels Private Limited, Dessi Dhaaba Private Limited, Dezso Marketing Private Limited, Ebuy Electronics Private Limited, Farmtoretail Concepts India (Opc) Private Limited, Femto I Care Private Limited, Gofit Wellness Private Limited, Gromo Systems Private Limited, Gym Zone India Private Limited, Hbm Food Services Private Limited, Hdmc Trading Private Limited, Hls Auto Mobiles Private Limited, I-Abroad Education & Immigration Services Private Limited, Impresa Hospitality Management Private Limited, Inglorious Gluttony Private Limited, Jr Prince Mall (Opc) Private Limited, Junkry Texretail Private Limited, Jyotikant Hypermart India Private Limited, Kaffee Concepts Gurgaon Private Limited, Konselect Educare Private Limited, Marques Automotive Private Limited, Moriah Retail Private Limited, Nnr Infra Projects India Private Limited, Nocsbiz Private Limited, Northern Aircool Private Limited, Npc Foods (Opc) Private Limited, Pengala Learning Pvt. Ltd., Pochies Security Services Private Limited, Principia Mathematica India Private Limited, Punjab Crockery House Private Limited, Rasol Solutions Private Limited, Regiis Resorts And Hotels Private Limited, Samal Classes Private Limited, Sanasri Builders And Developers Private Limited, Saraansh Health India Private Limited, September Moons Accessories Private Limited, Signature Stardom Private Limited, Swatheretail Consulting Private Limited, T & D Ventures Private Limited, Takbeer Tours & Travels Private Limited, Tenacious Retail Private Limited , Tip Top Metal Printers Private Limited, Ultimate Tactical And Combat Private Limited., Vascon Real Estate And Travel Management(Opc) Private Limited, Veelap Technologies Private Limited, Zaga Foods Private Limited	-	0.22
Nil balance in previous year	Auto Care, Cellcom Computers Solutions Pvt. Ltd., Cloud9 Ventures Private Limited, I Comp Solutions Pvt Ltd, Kloud Kuisine (Opc) Private Limited , Lakshmi Access Communications Pvt. Ltd., Mobac Retail Private Limited, Pride Wellness Pvt Ltd, Ram Infra Space Organiser Pvt Ltd, Rishiraj Fitness Gala Pvt Ltd, Sai Prabha Enterprises Private Limited, Savn Holidays Pvt Ltd, Sofiya And Berry Pvt Ltd, Tequila Bird Pvt Ltd, Unitedblack Cats Private Limited, Venkateshwara Distributors Private Limited	0.02	-
Nil balance in both current year and previous year but having transaction during the year.	Cherrytin Online Private Limited, Genius Consultants Pvt. Ltd, Rajashri Hotliers Private Limited, Rubicelle Scoop India Private Limited, S M Corporation, Sagar Business Private Limited, Source Smart, Sukhija Cafe And Lounge Private Limited, Sun Silver Concept Marketing Private Limited, Vinayak Hospitality Private Limited, Yashwantrao Mohite Krishna Ssk Ltd	-	-
None of the balances with above parties exceeds INR 1.0 million.			

38 Assets pledged as security

As at 31 March 2025, in respect of borrowings and other financing facilities from banks, the Company carries sanctioned limits of INR 9,055.00 millions (31 March 2024: INR 8,847.42 millions). Against these sanctioned limits, the outstanding loans amounted to INR 7,305.43 millions (31 March 2024: INR 4,688.93 millions). As per the terms of the agreements with the lenders, the company has pledged, as per the sanction/hypothecation letter certain property, plant and equipment having gross book value of INR 3,500.00 millions (31 March 2024: gross block INR 3,500.00 millions) and inventories, trade receivables including contract assets, bank deposits and receivable for cashback schemes having a total carrying value of INR 14,232.66 millions (31 March 2024: INR 11,091.90 millions) of the Company which have availed these limits. The repayment liabilities against these limits are restricted to the outstanding balances of borrowings including interest and applicable charges and other non fund based financing facilities, if any.

Further, the Company also carries a lien on deposits with banks amounting to INR 845.86 millions (31 March 2024: INR 496.00 millions) under cash and cash equivalents, other bank balances and other non-current financial assets in relation to issue of certain prepaid cards and other facilities obtained from such banks.

39 Related party disclosures:

(a) Parent entity and subsidiaries

Name of entity	Type
Erstwhile Pine Labs Limited, Singapore*	Erstwhile Holding Company
Mopay Services Private Limited	Subsidiary Company
Grapefruit Payment Solutions Private Limited	Subsidiary Company

(b) Fellow subsidiaries where the transactions have taken place during the year

Name of entity	Type
Pine Labs Payment Services Provider L.L.C	Fellow subsidiary
Pine Labs Digital Solutions Private Limited (formerly knowns as Pine Labs Finance Private Limited)	Fellow subsidiary
Pine Labs Investment Pte Limited	Fellow subsidiary
Beeconomic Singapore Pte Ltd	Fellow subsidiary
Fave Asia Sdn Bhd	Fellow subsidiary
Fave Asia Technologies Sdn Bhd	Fellow subsidiary
Qwikcilver Solutions Pte Ltd.	Fellow subsidiary
Pine Labs Private Limited, Thailand	Fellow subsidiary
Qwikcilver Solutions Pty Limited	Fellow subsidiary
PT Disdus Indonesia	Fellow subsidiary
Pine Payment Solutions SDN. BHD.	Fellow subsidiary
Pine Labs, Inc, Philippines	Fellow subsidiary
Brokentusk Technologies Private Limited	Fellow subsidiary
Synergistic Financial Networks Private Limited	Fellow subsidiary
Cashless Technologies India Private Limited	Fellow subsidiary
Qfix Infocomm Private Limited	Fellow subsidiary
Qwikcilver Solutions Inc	Fellow subsidiary

(c) Key managerial personnel:

Bairavarasu Amrith Rau (Chief Executive Officer and Managing Director) (w.e.f. 24 March 2025)
Marc Kay Mathenz (Chief Financial Officer) (w.e.f. 13 June 2025)
Kush Mehra (Whole-time Director)
Tanya Mohan Naik (Director) till 31 March 2025
Indresh Kumar Gupta (Director) till 31 March 2025
Maninder Singh Juneja (Director) (w.e.f. 24 March 2025)
Bharat Singh (Additional Director) (w.e.f. 24 March 2025 till 21 June 2025)
Smita Chandramani Kumar (Director) (w.e.f. 24 March 2025)
Amrita Gangotra (Director) (w.e.f. 24 March 2025)
Shailendra Jit Singh (Additional Non-Executive Director) (w.e.f. 13 June 2025)

(d) Key management personnel compensation:#

Remuneration Paid	Year ended 31 March 2025	Year ended 31 March 2024
Short-term employees benefits	62.11	53.17
Post-employment benefits**	1.58	2.50
Long-term employee benefits**	0.39	0.77
Employee share-based payment	16.49	23.80
Fees paid to independent directors	0.32	-
Total	80.89	80.24

The above relationships are on the basis of status at the reporting date. All the fellow subsidiaries mentioned above have become subsidiaries/step down subsidiaries of the Company, subsequent to the reporting date, consequent to merger of the erstwhile Holding Company with the Company (refer note 45).

*Subsequently merged with the Company w.e.f. 6 June 2025 (refer note 45).

#Compensation for key management personnel has been disclosed from the date they became key management personnel.

** Post employment benefits and long-term employee benefits have been disclosed from the actuarial valuation done for key management personnel separately.

(e) Details of related party transactions during the year:

Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Subscription for new equity shares by erstwhile Holding Company	-	0.38
Issue of bonus shares to erstwhile Holding Company	-	699.16
Securities premium received from erstwhile Holding Company	-	414.28
Sale of services		
Qwikcilver Solutions Inc	1.30	-
Pine Labs Private Limited, Thailand	0.14	0.38
Pine Payment Solutions SDN. BHD.	11.55	7.35
PT Disdus Indonesia	0.94	0.34
Qwikcilver Solutions Pte Ltd.	118.92	91.81
Qwikcilver Solutions Pty Ltd	105.51	96.15
Pine Labs, Inc, Philippines	10.97	8.55
Pine Labs Payment Services Provider L.L.C	0.44	0.07
Grapefruit Payment Solutions Private Limited	7.16	1.40

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Particulars	Year ended 31 March 2025	Year ended 31 March 2024
Income earned on behalf of related party		
Qwikcilver Solutions Pte Ltd	43.52	-
Service charges from related parties		
Pine Labs Payment Services Provider L.L.C	3.89	3.96
Qwikcilver Solutions Pte Ltd.	624.84	25.35
Brokentusk Technologies Private Limited	2.74	-
Qfix Infocomm Private Limited	1.31	-
Fave Asia Technologies Sdn Bhd	1.01	-
Beeconomic Singapore Pte Ltd	1.02	-
Interest on unsecured loans given to related parties		
Synergistic Financial Networks Private Limited	0.06	13.49
Cashless Technologies India Private Limited	42.37	20.91
Qfix Infocomm Private Limited	1.65	0.98
Mopay Services Private Limited	0.10	0.09
Grapefruit Payment Solutions Private Limited	7.51	0.46
Loans given to related parties during the year		
Mopay Services Private Limited	0.30	-
Cashless Technologies India Private Limited	400.00	610.00
Qfix Infocomm Private Limited	18.00	22.25
Grapefruit Payment Solutions Private Limited	125.50	29.20
Synergistic Financial Networks Private Limited	35.00	1.00
Loans repaid by related parties during the year		
Synergistic Financial Networks Private Limited	35.00	301.00
Cashless Technologies India Private Limited	920.00	90.00
Qfix Infocomm Private Limited	34.50	4.45
Grapefruit Payment Solutions Private Limited	30.00	-
Pine Labs Digital Solutions Private Limited	1.04	-
Sale of traded goods		
Pine Payment Solutions SDN. BHD.*	57.20	12.53
Synergistic Financial Networks Private Limited	2.05	-
*(Sold through third party vendor for the year ended 31 March 2025)		
Sale of intangible asset		
Pine Labs Digital Solutions Private Limited	48.63	-
Purchase of property, plant and equipment		
Synergistic Financial Networks Private Limited	2.29	54.95
Purchase of stock in trade		
Synergistic Financial Networks Private Limited	13.68	-
Expenses incurred by Company on behalf of related parties		
Erstwhile Pine Labs Limited, Singapore*	-	3.00
Qwikcilver Solutions Pte Ltd.	174.71	14.27
Pine Payment Solutions SDN. BHD.	-	0.59
Pine Labs Payment Services Provider L.L.C	-	0.11
Fave Asia Sdn Bhd	-	0.70
Brokentusk Technologies Pvt Ltd	71.83	1.57
Mopay Services Private Limited	0.27	-
Qfix Infocomm Private Limited	0.46	-
Expenses paid to related parties		
Erstwhile Pine Labs Limited, Singapore*	77.13	153.08
PT Disdus Indonesia	5.82	9.00
Pine Labs, Inc, Philippines	23.98	19.54
Qwikcilver Solutions Pte Ltd.	126.23	120.71
Pine Payment Solutions SDN. BHD.	26.77	29.44
Qwikcilver Solutions Pty Ltd	70.28	41.81
Pine Labs Payment Services Provider L.L.C	62.49	39.01
Pine Labs Private Limited, Thailand	1.21	0.69
Brokentusk Technologies Private Limited#	85.67	62.10
Fave Asia Sdn Bhd	-	38.66
Beeconomic Singapore Pte Ltd	-	9.59
Cashless Technologies India Private Limited##	536.06	260.47
Qwikcilver Solutions Inc	76.82	5.96
Qfix Infocomm Private Limited	2.32	-
Synergistic Financial Networks Private Limited	2.68	-
Pine Labs Investment Pte Limited	7.94	-

Netted of from revenue INR 62.76 millions (31 March 2024: INR 56.20 millions)

Netted of from revenue INR 536.06 millions (31 March 2024: INR 260.50 millions)

Pine Labs Limited (formerly known as Pine Labs Private Limited)
Notes to the Standalone Financial Statements for the year ended 31 March 2025
(Amount in INR millions, except per share data, unless otherwise stated)

	Year ended 31 March 2025	Year ended 31 March 2024
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Cashback recovered on behalf of and paid to related party

Cashless Technologies India Private Limited	-	118.74
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Purchase of investment from related party

Synergistic Financial Networks Private Limited	-	1.00
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Employee share based payment expense cross charged by Erstwhile holding Company

Erstwhile Pine Labs Limited, Singapore*	457.77	579.86
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Recharge cost of share based payments by erstwhile Holding Company

346.78	-
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(f) Outstanding balances arising :

	As at 31 March 2025	As at 31 March 2024
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Other financial liabilities

Erstwhile Pine Labs Limited, Singapore*	2,868.70	2,625.10
Synergistic Financial Networks Private Limited	-	9.94

Trade payables

Qwiksilver Solutions Pte Ltd.	80.06	35.76
Qwiksilver Solutions Pty Ltd	24.07	3.66
Pine Payment Solutions SDN. BHD.	8.72	16.66
Pine Labs Private Limited, Thailand	2.10	2.06
PT Disdus Indonesia	1.08	3.13
Pine Labs Payment Services Provider L.L.C	24.59	28.24
Fave Asia Sdn Bhd	-	10.36
Pine Labs, Inc, Philippines	10.56	11.75
Erstwhile Pine Labs Limited, Singapore*	13.42	137.41
Brokentusk Technologies Pvt Ltd	19.08	38.04
Cashless Technologies India Private Limited	46.85	78.71
Beeconomic Singapore Pte Ltd	-	0.95
Qwiksilver Solutions Inc	24.41	5.46
Synergistic Financial Networks Private Limited	3.93	-
Qfix Infocomm Private Limited	2.69	-
Pine Labs Investment Pte Limited	8.04	-

Unsecured loans to related parties

Mopay Services Private Limited (Net of impairment INR 1.66 millions (31 March 2023: INR 1 millions))	-	-
Qfix Infocomm Private Limited	5.08	22.35
Cashless Technologies India Private Limited	-	520.35
Pine Labs Digital Solutions Private Limited (formerly knowns as Pine Labs Finance Private Limited)	-	1.04
Grapefruit Payment Solutions Private Limited	129.97	29.24

Other financial assets

Erstwhile Pine Labs Limited, Singapore*	-	3.00
Pine Payment Solutions SDN. BHD.	-	1.72
Pine Labs Payment Services Provider L.L.C	3.97	8.58
Pine Labs Digital Solutions Private Limited (formerly knowns as Pine Labs Finance Private Limited)	57.45	0.09
Qfix Infocomm Private Limited	1.69	-
Mopay Services Private Limited (Net of impairment INR 0.27 millions (31 March 2024: Nil))	-	-
Qwiksilver Solutions Pte Ltd.	645.62	14.32
Brokentusk Technologies Private Limited	77.07	1.58
Fave Asia Sdn Bhd	0.71	0.71
Fave Asia Technologies Sdn Bhd	1.01	-
Beeconomic Singapore Pte Ltd	1.02	-
Cashless Technologies India Private Limited	21.95	-

Trade receivables

Qwiksilver Solutions Pte Ltd.	47.08	35.54
Qwiksilver Solutions Pty. Ltd.	49.62	7.73
PT Disdus Indonesia	1.43	0.80
Pine Labs, Inc, Philippines	8.12	8.55
Pine Labs Payment Services Provider L.L.C	0.06	0.07
Grapefruit Payment Solutions Private Limited	1.96	1.25
Pine Payment Solutions SDN. BHD.	1.74	-
Pine Labs Private Limited, Thailand	0.01	-
Qwiksilver Solutions Inc	2.63	-

	As at 31 March 2025	As at 31 March 2024
Investment		
Mopay Services Private Limited (Net of impairment of INR 0.1 millions (31 March 2024: INR 0.1 millions))	-	-
Grapefruit Payment Solutions Private Limited	1.00	1.00

*Subsequently merged with the Company w.e.f. 6 June 2025 (refer note 45).

(g) Terms and conditions
All transactions were made on normal commercial terms and conditions and at arm length prices. All balances receivables and payables are unsecured and to be settled in cash.

The Company has issued a letter of financial support to "Grapefruit Payment Solutions Private Limited" and "Brokentusk Technologies Private Limited" for their continuing operations and enable them to meet their liabilities.

Pine Labs Limited (formerly known as Pine Labs Private Limited)**Notes to the Standalone Financial Statements for the year ended 31 March 2025**

(Amount in INR millions, except per share data, unless otherwise stated)

40 Employee benefits**(a) Defined contribution plans**

The Company provides provident fund and employee's state insurance scheme for eligible employees as per applicable regulations where in both employees and the Company make monthly contributions at a specified percentage of the eligible employee's salary. The expense recognised during year ended 31 March 2025 towards defined contribution plan is INR 178.38 millions (31 March 2024: INR 181.11 millions).

(b) Defined benefit plan

The Company provides for gratuity for employees as per the Payment of Gratuity Act, 1972. The amount of gratuity payable on retirement/termination is the employees last drawn basic salary per month computed proportionately for 15 days salary multiplied for the number of years of service. The Company have an unfunded defined benefit gratuity plan as per Payment of Gratuity Act, 1972.

Details of changes and obligation under the defined benefit plan is given as below:-**I Expense recognized in the statement of profit and loss:**

	Year ended 31 March 2025	Year ended 31 March 2024
(i) Current service cost	65.38	73.06
(ii) Interest cost	20.22	20.88
Net expense recognized in the statement of profit and loss	85.60	93.94

II Remeasurement of (gain)/loss recognised in other comprehensive income

	Year ended 31 March 2025	Year ended 31 March 2024
(i) Actuarial changes arising from changes in demographic assumptions	3.28	(21.62)
(ii) Actuarial changes arising from changes in financial assumptions	(6.12)	(26.03)
(iii) Actuarial changes arising from changes in experience adjustments	33.20	18.95
Net loss/(gain) recognised in other comprehensive income	30.36	(28.70)

III Changes in obligation during the year:

	As at 31 March 2025	As at 31 March 2024
(i) Opening balance	336.20	313.41
(ii) Current service cost	65.38	73.06
(iii) Interest cost	20.22	20.88
(iv) Actuarial gain/(loss)	30.36	(28.70)
(v) Benefits paid	(47.12)	(42.45)
Present value of obligation as at year end	405.04	336.20

IV Net assets / liabilities recognised in the balance sheet:

	As at 31 March 2025	As at 31 March 2024
(i) Present value of obligation at the end of the year	405.04	336.20
(ii) Net liabilities / (assets) recognised in the standalone balance sheet		
- Current	107.74	102.30
- Non current	297.30	233.90
	405.04	336.20

V Experience adjustment

	As at 31 March 2025	As at 31 March 2024
Experience adjustment (gain) / loss on plan liabilities	33.20	18.95
Experience adjustment (loss) / gain on plan assets	-	-

Pine Labs Limited (formerly known as Pine Labs Private Limited)
Notes to the Standalone Financial Statements for the year ended 31 March 2025
(Amount in INR millions, except per share data, unless otherwise stated)

VI Actuarial assumptions

	As at 31 March 2025	As at 31 March 2024
(i) Discount rate (per annum)	6.55%	7.05% to 7.20%
(ii) Expected increase in salary costs (per annum)	7.00% until year 3 inclusive, then 9.00%	5% until year 1 inclusive, then 8% until year 3 inclusive, then 9.50%
(iii) Attrition rate	Age related & experience as given below: Age related & experience as given below:	
	Age (Years)	Rates %
	21-30	18.7 to 39.1
	31-40	20 to 39.1
	41-50	20 to 39.1
	51-58	20 to 39.1
	Age (Years)	Rates %
	21-30	20 to 41
	31-40	20 to 41
	41-50	20 to 41
	51-58	20 to 41
(iv) Mortality rate ; Published rates under the Indian Assured Lives Mortality (2012-14) Ult table and IALM table		
(v) Retirement age	58 years	58 years

VII Quantitative sensitivity analysis for significant assumptions is as below:

Increase / (decrease) on present value of defined benefits obligations at the end of the year	As at 31 March 2025	As at 31 March 2024
Discount Rate		
Increase by 0.5%	(7.35)	(6.38)
Decrease by 0.5%	7.63	5.10
Salary Increase		
Increase by 0.5%	7.50	5.04
Decrease by 0.5%	(7.30)	(6.38)

The above sensitivity analysis are based on a change in an assumption while holding all other assumptions constant. In practice, this is unlikely to occur, and changes in some of the assumptions may be correlated. When calculating the sensitivity of the defined benefit obligation to significant actuarial assumptions the same method (present value of the defined benefit obligation calculated with the projected unit credit method at the end of the reporting period) has been applied as when calculating the defined benefit liability recognised in the standalone balance sheet.

VIII Risk exposure

Through its defined benefit plans, The Company is exposed to a number of risks, the most significant of which are detailed below:

Interest rate risk: The defined benefit obligation calculated uses a discount rate based on government bonds. If bond yields fall, the defined benefit obligation will tend to increase.

Salary inflation risk: Higher than expected increases in salary will increase the defined benefit obligation.

Demographic risk : This is the risk of variability of results due to unsystematic nature of decrements that include mortality, withdrawal, disability and retirement. The effect of these decrements on the defined benefit obligation is not straight forward and depends upon the combination of salary increase, discount rate and vesting criteria. It is important not to overstate withdrawals because in the financial analysis the retirement benefit of a short career employee typically costs less per year as compared to a long service employee.

IX Maturity profile of defined benefit obligation (Undiscounted)

Particulars	As at 31 March 2025	As at 31 March 2024
Within the next 12 months	107.74	102.25
Between 1 and 6 years	293.64	241.70
Beyond 6 years	132.39	101.28
Total expected payments	533.77	445.23

X The average duration of the defined benefit plan obligation at the end of the reporting period is 2.71 to 4.93 years (31 March 2024: 2.58 to 4.68 years)

Pine Labs Limited (formerly known as Pine Labs Private Limited)
Notes to the Standalone Financial Statements for the year ended 31 March 2025
(Amount in INR millions, except per share data, unless otherwise stated)

41 Earnings/(loss) per share

	Year ended 31 March 2025	Year ended 31 March 2024
(a) Net profit/(loss) for calculation of basic and diluted EPS	435.42	(1,871.62)
(b) Weighted average number of equity shares of INR 1 each for both basic and dilutive shares	839,950,356	838,714,425
(c) Basic and diluted earnings/(loss) per share	0.52	(2.23)
Weighted average number of equity shares		
Opening number of shares	839,950,356	837,688,602
Effect of shares issued during the year	-	1,025,823
Weighted-average number of equity shares for the year	839,950,356	838,714,425

42 Contingent liabilities

	As at 31 March 2025	As at 31 March 2024
i) Bonus payable for the financial year 2014-15 (refer (a) below)	0.46	0.46
ii) Employee provident fund liability including interest (refer (b) below)	3.41	3.41
iii) Indirect tax matters (refer (c) below)	2,147.79	481.14
iv) Interest liability on matters stated in (iii) above (refer (c) below)	1,039.07	8.38
v) Legal compliance of labour laws and other civil matters	6.95	5.91
	3,197.68	499.30

(a) As per an additional requirement introduced under Payment of Bonus Act, 1965, from year 2016 onwards, the statutory bonus shall be included and paid as a part of the salary for all the eligible employees. Since it was not specifically called out if such requirement needs to be complied retrospectively, the excess amount of INR 0.46 millions relating to FY 2014-15 has been considered under contingent liabilities by the Company in consultation with their legal counsel.

(b) In February 2019, there was a judicial pronouncement in India with respect to defined contribution benefit payments interpreting certain statutory defined contribution obligations of employees and employers. It is not currently clear whether the interpretation set out in the pronouncement has retrospective application. If applied retrospectively, the interpretation would result in an increase in contributions payable by the Company for past periods for certain of its India-based employees. There are numerous interpretative challenges concerning the retrospective application of the judgment. Due to such challenges and a lack of interpretive guidance and based on legal advice the Company has obtained on the matter, it is currently impracticable to reliably estimate the timing and amount of any payments the Company may be required to make.

(c) In August 2018, one of the regulatory authorities in India, the Directorate General of Goods & Services Tax Intelligence ("Department"), issued a show cause notice ("Notice"), and subsequently passed an order dated 30 December 2021 confirming the demand of INR 138.71 millions (excluding interest and penalty) alleging non-payment of service tax on breakage revenue, service tax on reverse charge on services procured from non-taxable territory and service tax on common input reversal over a period of five years between 2012 and 2017. The Company has filed an appeal in Custom, Excise and Service Tax Appellate Tribunal (CESTAT) against the abovesaid order. Subsequently, GST council in its meeting in December 2024 has clarified that unredeemed vouchers (breakage) would not be considered as supply under GST and no GST is payable on income booked in the accounts in respect of breakage. Accordingly, on the basis of internal evaluation and in consultation with the legal counsel, the Company has considered an amount of INR 4.94 millions on account of service tax on reverse charge on services procured from non-taxable territory and service tax on common input reversal (excluding interest and penalty) under contingent liabilities, excluding the demand of service tax on breakage revenue of INR 133.76 millions. The Company had deposited INR 10.28 millions as payment under protest against order for aforesaid appeal filed. However, the CESTAT is yet to consider this clarification in the aforementioned matter and issue a final order.

Pursuant to GST audit of books of accounts vis-à-vis GST returns for the FY-2019-20, in August 2024, the Deputy Commissioner of Commercial Taxes ("Department") has issued an order confirming the total demand of INR 192.55 millions (excluding interest and penalty). The management, basis their consultation with the tax advisor is of the opinion that matters pertaining to demand of INR 192.55 millions (excluding interest and penalty) are remote and demand of INR 1.74 millions on non-payment of interest on delay issue of invoices is possible. The Company has filed an appeal before the First Appellate Authority. The Company has deposited INR 19.25 millions as payment under protest against aforesaid appeal filed.

In August 2024, the Directorate General of Goods and Services Tax intelligence ("Department"), Mumbai issued a show cause notice ("SCN") to Company alleging the non availability of GST credit on co-branding services, product listing fees on e-commerce marketplace and advertisement expenses from the period July 2017 to March 2024 incurred in relation to sale of gift cards amounting to INR 2,141.11 millions (excluding interest and penalty). In response to the SCN, the Company filed the submission in December 2024 to The Joint Commissioner, Bangalore ("JC"). Consequently, the JC passed an order in February 2025 confirming a demand of INR 2,141.11 millions (excluding interest and penalty). The Company has filed a writ petition to Honourable Karnataka High Court against the demand and the court has stayed the proceedings till next date of hearing. On the basis of internal evaluation and in consultation with the legal counsel, the Company has the high chances of winning the case at higher authorities.

In addition to above the management has estimated interest liabilities of INR 1,039.07 millions (31 March 2024: INR 8.38 millions) on above matters.

Pine Labs Limited (formerly known as Pine Labs Private Limited)

Notes to the Standalone Financial Statements for the year ended 31 March 2025

(Amount in INR millions, except per share data, unless otherwise stated)

d) In July 2019, a third party filed a lawsuit against Company, alleging infringement of a patent. The complaint, sought an injunction restraining the Company from using, including dealing in any manner directly or indirectly, with any system / product / technology covered by such patent. The City Civil Court, Bangalore granted an injunction in favor of third party, however, the Karnataka High Court dismissed third party's application for a temporary injunction, citing lack of evidence to establish functional similarity between the Company's CVS/server and third party's patented CVS/server. While the application for vacating the injunction has been disposed of, the main suit remains pending. Further, our Company has filed a caveat application before the Supreme Court of India with respect to any appeal that may be filed against the aforesaid order of the Karnataka High Court.

Based on our evaluation, the Company is of the view that the third party claim is untenable and the expected impact of pending legal proceedings and claims, should not have any material adverse effect on business operations, cash flows or standalone statement of assets and liabilities.

e) The Company is involved in certain lawsuits and proceedings, which arise in the ordinary course of business. The ultimate liability is not currently determinable because of considerable uncertainties that exist / pending the resolution of proceedings. However, based on facts currently available, management believes that the disposition of matters that are pending or asserted will not have a material adverse impact on the Standalone Financial Statements.

Pending resolution of the respective proceedings, it is not practicable for the Company to estimate the timings of cash outflows, if any, in respect of the above as it is determinable only on receipt of judgements/decisions pending with various forums/authorities.

43 Dues to micro and small enterprises

The Company has certain dues to suppliers registered under Micro, Small and Medium Enterprises Development Act, 2006 ('MSMED Act'). The disclosures pursuant to the said MSMED Act are as follows:

Particulars	As at 31 March 2025	As at 31 March 2024
(a) Principal amount remaining unpaid to any supplier as at the end of the year.	378.44	137.18
Interest due thereon remaining unpaid to any supplier as at the end of the year.	1.10	-
(b) Amount of interest paid by the buyer under MSMED Act, 2006 along with the amounts of the payment made to the supplier beyond the appointed day during the year	-	-
(c) Amount of interest due and payable for the period of delay in making payment (which has been paid but beyond the appointed day during the year) but without adding the interest specified under the MSMED Act, 2006)	0.68	-
(d) The amount of interest accrued and remaining unpaid at the end of the year;	1.78	-
(e) The amount of further interest remaining due and payable even in the succeeding year, until such date when the interest dues as above are actually paid to the small enterprise, for the purpose of disallowance as a deductible expenditure under section 23 of MSMED Act 2006.	-	-

44 Capital commitments

Capital expenditure contracted for at the end of the reporting year, but not recognised is as follow:

Particulars	As at 31 March 2025	As at 31 March 2024
Estimated amounts of contracts remaining to be executed on capital account and not provided for (refer note (i) and (ii) below)	274.96	97.03
	274.96	97.03

(i) During the current year, the Company has estimated amounts of contracts remaining to be executed and not provided for INR 192.89 millions (31 March 2024: INR 44.89 millions) for purchase of property, plant and equipment and INR 82.07 millions (31 March 2024: INR 52.14 millions) for intangibles.

(ii) Net of capital advances amounting to INR 12.92 millions (31 March 2024: INR 6.70 millions).

45 The Board of Directors of Pine Labs Limited (formerly known as Pine Labs Private Limited) (hereinafter referred to as "Transferee Company") and erstwhile Pine Labs Limited, Singapore (erstwhile Holding Company) (hereinafter referred to as "Transferor Company") on 08 February 2024 and 13 December 2023 (modification of the Scheme approved on 07 February 2024) respectively, have approved the draft Scheme of Arrangement ('Scheme') among Transferor Company, the Transferee Company and their respective shareholders under section 210 read with section 212 of the Companies Act 1967 of Singapore, sections 230 to 232, read with section 234 of the Companies Act, 2013 of India and other applicable provisions of the Companies Act 1967 of Singapore, the Companies Act, 2013 of India and rules thereunder to effect an amalgamation between Transferor Company and Transferee Company.

The said Scheme was approved by the General Division of the Hon'ble High Court of the Republic of Singapore (the "Court") on 09 May 2024 and by Hon'ble National Company Law Tribunal ('NCLT') Chandigarh bench on 09 April 2025. As mentioned in the Scheme and upheld by the National Company Law Appellate Tribunal ('NCLAT'), in its order dated 01 May 2025, appointed date will be considered as effective date dependent upon certain conditions to be fulfilled subsequently which have been completed on 06 June 2025, thus the Scheme has become effective from 06 June 2025.

Pursuant to the effectiveness of Scheme, subsequent to the balance sheet date, the Transferor Company have been transferred to and vested in the Transferee Company with effect from 06 June 2025, and

- (a) the relevant existing shares held by the Transferor Company in the Transferee Company has been cancelled;
- (b) the aggregate face value of the shares as per Scheme has been issued and allotted by the Transferee Company as a consideration to the equity share holders and preference share holders of the Transferor Company (in lieu of every 10,000 equity shares in the Transferor Company, 1,271,775 equity shares of face of INR 1 each and in lieu of every 10,000 preference shares in the Transferor Company, 1,271,775 preference shares of face of INR 1 each).

Since the appointed and effective date of the Scheme is subsequent to the balance sheet date, hence no condition existed which require any adjustment to be made, accordingly these Standalone Financial Statements have been prepared without giving effect of above Scheme.

46 Share-based payment arrangements

Employee stock option plan 2014 of Erstwhile Pine Labs Limited, Singapore ("erstwhile Holding Company")

Erstwhile Pine Labs Limited, Singapore ("erstwhile Holding Company") (subsequently merged with the Company, refer note 45) formulated the Employees Stock Option Plan 2014 ("2014 Plan") which was approved by the Board of directors of the erstwhile Holding Company. Subsequent to the year ended 31 March 2025, the erstwhile Holding Company has replaced the 2014 Plan with Employee Stock Option Plan 2024 ("2024 Plan") which has been approved by the Board of Directors of erstwhile Holding Company on 4 February 2025. However, there is no impact of the 2024 Plan on the share based payment expenses and related disclosures mentioned below. The options are denominated in US Dollars ("USD").

Vesting conditions

Options granted to a Participant(s), under each Grant, shall vest subject to the condition that the Participant continues to be in employment with the group during the term required as per their respective vesting schedule. Vesting period ranges from immediate vesting to vesting over 18 months, 18.5 months, 21 months, 22 months, 27 months, 33 months, 39 months, 40 months, 42 months, 43 months, 44 months, 45 months, 46 months, 47 months and 48 months based on their respective approved vesting schedule.

Further there are few options granted for which vesting is conditional upon certain performance measures/criteria. The performance of such grants are measured over vesting period of the options granted which ranges from 9 months to 45 months. The performance measures for these grants include probability of achievement of the individual performance and probability of achievement of the factors for the Company i.e. (net revenue and new product development).

Exercise period is the period from the vesting date, as may be determined by the Board of the erstwhile Holding Company from time to time, within which the vested options must be exercised, i.e. 60 months from each Vesting Date (120 months from the grant date as per 2024 plan) or 12 months (24 months as per 2024 plan) from each vesting date or 12 months from the date of termination of services for any reasons, including but not limited to, death and permanent disability, whichever is earlier or as may be determined by the Board in some specific cases. If the participant does not exercise his vested options during the exercise period, the vested options shall lapse.

Each option entitles the holder to one common share of the erstwhile Holding Company. On exercise of options the employees are issued shares of the erstwhile Holding Company.

The Group has entered into an agreement with the erstwhile Holding Company, whereby the Group will reimburse the erstwhile Holding Company for the share based compensation cost computed on the basis of grant date fair value in respect of options exercised by the employees of the Group. Accordingly, the Company has set up liability in respect of Share based compensation payable to the erstwhile Holding Company computed on the basis of fair value method in respect of all options granted to the employees of the Group.

The number and weighted average exercise prices of share options outstanding during the year are as follows :-

	31 March 2025			31 March 2024		
	Number of options	Weighted average exercise price	Weighted average exercise price	Number of options	Weighted average exercise price	Weighted average exercise price
	2025	INR	USD	2024	INR	USD
Options outstanding at the beginning of the year	363,952	635.90	8.65	348,153	628.85	9.00
Options granted during the year	44,178	4,425.31	52.90	51,113	663.26	8.00
Transfer in during the year*	50	666.26	8.00	-	-	-
Transfer (out) during the year*	(1,340)	645.21	8.00	(1,682)	582.45	7.72
Modified during the year#	22,793	15,965.51	191.20	-	-	-
Forfeited/expired during the year	(28,154)	633.86	8.00	(22,702)	607.34	8.00
Settled during the year#	(22,793)	1,975.25	28.02	-	-	-
Exercised during the year	(153,293)	282.02	3.96	(10,930)	600.77	8.00
Outstanding at the end of the year	225,393	2,906.00	35.66	363,952	635.90	8.65
Exercisable at the end of year	164,282	3,752.06	46.08	278,575	634.87	8.86

* pertains to employees transferred to/from other group companies.

During the year ended 31 March 2025, the erstwhile Holding Company has settled certain liability classified options and modified the same options into equity settled awards with revised exercise price. Therefore resulted in higher weighted average exercise price of outstanding options as at 31 March 2025.

The weighted average share price at the date of exercise for share options exercised during the year was INR 10,256.02 (31 March 2024: INR 11,530.01)

The share options outstanding at 31 March 2025 had exercise price ranging from INR 140.34 to INR 15,987.96 (31 March 2024: INR 80.62 to INR 3,368.19) and a weighted average remaining contractual life of 7.09 years (31 March 2024: 3.05 years)

The weighted average fair value of options granted during the year was INR 7,770.98 per option (31 March 2024: INR 11,825.42)

Inputs for measurement of grant date fair values

The fair value of the share options on date of grant was made using the Black-Scholes model with the following assumptions-

Particulars	31 March 2025	31 March 2024
Weighted average share price (INR)	9,736.67	12,371.76
Expected volatility	41.34%-52.85%	43.27%-54.90%
Expected life of share options	3.19-6.08	2.50-4.75
Risk Free Rate	3.44%-4.68%	3.61%-4.71%
Expected dividend yields	-	-

Employee share based payment expense for the year ended 31 March 2025 in respect of stock options amounting to INR 457.77 millions (31 March 2024: INR 579.86 millions) has been determined based on fair value method. As at 31 March 2025, outstanding liability towards the erstwhile Holding Company with respect to employee stock option are INR 2,868.70 millions (31 March 2024: INR 2,625.10 millions).

The erstwhile Holding Company was obliged to buy cash settled awards in two tranches (First tranche due in FY 2024-25 and second in FY 2025-26) from certain employees of the Company in accordance with the buy back agreement executed between the erstwhile Holding Company and certain employees of the Company in year FY 2019-20. During the year ended 31 March 2025, certain employees have renounced their rights for the first tranche Buy-Back by executing a renunciation agreement with the erstwhile Holding Company for consideration of INR 346.78 millions. Basis the cross-charge agreement entered with erstwhile Holding Company for payment of such consideration, amount of INR 346.78 millions has been debited in retained earnings (refer note 17). Upon renunciation of rights as mentioned above, the terms of options covered under renunciation agreement have been modified from cash settled to equity settled awards and the Company recorded an additional expense of INR 77.47 million for this modification.

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47 Impairment testing for cash generating units (CGU) containing goodwill

For the purpose of impairment testing, goodwill is allocated to a CGU representing the lowest level within the Company at which goodwill is monitored for internal management purposes and which is not higher than the Company's operating segment.

	As at 31 March 2025	As at 31 March 2024
Goodwill allocated to the 'Issuing and acquiring platform' CGU (refer note (i) below)	4,590.96	4,590.96
	4,590.96	4,590.96

Notes:

- (i) The acquisition of erstwhile Qwiksilver Solutions Private Limited ("Qwiksilver") in April 2019 resulted in the recognition of goodwill of INR 4,590.96 millions which was allocated to Issuing and acquiring platform CGU. As a result of the acquisition, management monitors operations of Issuing and acquiring platform business as a separate CGU and accordingly makes decisions for the same.
- (ii) As per the Company policy, Goodwill is tested for impairment on an annual basis on 31 March. The latest impairment testing was performed for the year end 31 March 2025.
- (iii) The recoverable amount of the CGU is determined based on the value-in-use calculations which require use of assumptions. The calculations are performed using cash flow projections based on financial budgets approved by senior management covering a five-year period. Cash flows beyond the five year period are incorporated in perpetuity using the estimated growth rates stated below, during which the business is expected to continue generating cash. The terminal growth rate, revenue growth rate and EBITDA margins were determined based on management's estimates.

- (iv) **Key assumptions used in estimation of value in use in 31 March 2025 and 31 March 2024 were as follows:**

The key assumptions used in the calculation of value in use are as follows:

	As at 31 March 2025	As at 31 March 2024
Issuing and acquiring platform business		
Discount rate (pre-tax)*	16.55%	18.05%
Terminal growth rate	4.5%	4.5%
Revenue growth rate	18% - 27%	27% - 34%
EBITDA margin	23% - 31%	24% - 36%

*The discount rate is based on the Weighted Average Cost of Capital (WACC) of the Company and has been calculated taking in account long-term interest rate, equity risk premium, asset specific risk premium and industry beta. These estimates are likely to differ from future actual results of operations and cash flows.

- (v) **Sensitivity Analysis**

The Company has conducted an analysis of the sensitivity of the impairment test to changes in the key assumptions used to determine the recoverable amount for the CGUs to which goodwill is allocated. The management believes that any reasonably possible change in the key assumptions on which the recoverable amount of CGUs is based would not cause the aggregate carrying amount to exceed the aggregate recoverable amount of the CGUs.

- (vi) Based on the above, no impairment was identified as of 31 March 2025 as the recoverable value of the CGUs exceeded their respective carrying value.

- 48** The Company has presented segment information in the Consolidated Financial Statements for the year ended 31 March 2025. Accordingly, in terms of Paragraph 4 of Ind AS 108 'Operating Segments', no disclosures related to segments are presented in these Standalone Financial Statements for the year ended 31 March 2025.

49 Change in classification

(a) During the year, the Company has made cash and cash equivalent reported in the Statement of Cash Flows consistent with the presentation in the balance sheet. Accordingly, movement in earmarked balances with banks, which are part of 'Other Bank Balances' in the balance sheet has now been presented in cash flow from operating activities. Further, the movement in the liability towards prepaid cards which was presented under financing activities in the previous year has now been reclassified and presented under operating activities. These adjustments have been presented as part of working capital adjustments. Accordingly, the corresponding figures have been restated.

The impact on previous year numbers have been mentioned below:

Particulars	For the year ended 31 March 2024 (as previously reported)	Adjustment	For the year ended 31 March 2024 (restated)
Net cash used in operating activities (A)	1,895.85	(2,235.79)	(339.94)
Net cash generated from investing activities (B)	107.97	-	107.97
Net cash used in financing activities (C)	2,114.35	(2,904.99)	(790.64)
Net decrease in cash and cash equivalents (A+B+C)	4,118.17	(5,140.78)	(1,022.61)
Cash and cash equivalents at the beginning of the financial year	3,905.52	-	3,905.52
Earmarked balances with banks at the beginning of the financial year	37,208.25	(37,208.25)	-
Cash credit and bank overdraft facilities at the beginning of the financial year	(477.50)	-	(477.50)
Cash and cash equivalents at end of the year	44,754.44	(42,349.03)	2,405.41
Cash and cash equivalents as per above comprise the following :			
Balance with banks			
- In current accounts	5,110.01	-	5,110.01
- Earmarked balances with banks	42,349.00	(42,349.00)	-
- In deposit accounts	1.00	-	1.00
Less: Cash credit and bank overdraft facilities	(2,705.60)	-	(2,705.60)
Balance as per statement of cash flows	44,754.41	(42,349.00)	2,405.41

Pine Labs Limited (formerly known as Pine Labs Private Limited)
Notes to the Standalone Financial Statements for the year ended 31 March 2025
(Amount in INR millions, except per share data, unless otherwise stated)

(b) During the current year ended 31 March 2025, following a review of its financial statements, the Company has revised the classification and presentation of its certain items, as mentioned in the table below, and certain disclosures related to revenue from contract with customers and certain other disclosures, which reflects a more appropriate selection and application of accounting policies.

Nature of reclassification	Financial statement caption as reported as per audited financial statements for the year ended 31 March 2024	Financial statement caption as reported as per comparative column of the financial statements for the year ended 31 March 2025	Amount (INR millions)
Certain costs like switch fee, third party service provider costs etc. directly linked to revenue transactions are reclassified under a different financial statement caption, deemed as more appropriate presentation keeping in mind the nature of business.	Other expenses - Transaction and client service costs	Transaction and related costs-Transaction and client services costs	205.52
Payment gateway charges being in the nature of transaction and client service costs	Other expenses - Payment gateway charges	Transaction and related costs-Transaction and client services costs	26.92
Programme management fees being in the nature of transaction and client service costs	Other expenses - Programme management fees	Transaction and related costs-Transaction and client services costs	29.64
E-commerce site listing fees being in the nature of transaction and client service costs	Other expenses - E-commerce site listing fees	Transaction and related costs-Transaction and client services costs	846.86
Others distribution and processing costs being in the nature of transaction and client service costs	Other expenses - Others distribution and processing costs	Transaction and related costs-Transaction and client services costs	2.79
Connectivity costs (e.g. GPRS costs) being in the nature of transaction and related costs	Other expenses - Communication costs	Transaction and related costs-Connectivity Cost	370.80
Spares and consumables costs reclassified deemed as more directly linked to revenue transactions and being in the nature of transaction and client service costs	Other expenses - Spares and consumables	Transaction and related costs-Spares and consumables	57.84
Costs related to consumption of paper roll more in the nature of transaction costs	Purchase of stock-in-trade	Transaction and related costs-spares and consumable	191.92
Advances written off reclassified to Impairment losses on financial assets and contract assets being similar in nature	Other expenses-Advances written offs	Impairment losses on financial assets and contract assets	1.16
Income from government grants now considered as incidental to revenue from operations basis historical trends and terms and conditions of the related grants	Other income-Government grant	Other operating revenue-Government grants	224.42
Recoveries from customers being made for POS machines as per the contractual terms with customers considered as incidental to revenue from operations basis historical trends	Other income-Gain on sale of property, plant and equipment	Other operating revenue-Gain on recoveries from customers	21.75
Liquidated damages for the performance of services netted off from revenue	Other expenses-Repairs and maintenance-Plant and machinery and software	Revenue from operations-Sale of services	10.73
Impairment of property, plant and equipment and intangible assets presented separately from depreciation and amortisation expenses to more appropriately reflect the nature of the expense	Depreciation, amortisation and impairment expenses	Impairment of non-current assets	617.63
Amounts receivable from government considered as financial assets in view of established historical trends and terms and conditions of the related grants	Other assets	Other financial assets	64.50
Expenses in the nature of printing and stationery clubbed under Miscellaneous expenses not deemed significant for separate presentation	Other expenses - Printing and stationery	Other expenses - Miscellaneous expenses	5.58
Losses incurred on digital payment transactions due to inability to recover from customers for various reasons, being presented separately to more appropriately reflect the nature of expenses	Transaction and client services costs	Other expenses-Losses on digital payment transactions	121.85
Certain promotional expenses being shown under related head and also as not considered as recurring direct transaction costs	Transaction and client services costs	Other expenses-Advertisement and business promotion expenses	27.69
Expenses incurred for the purposes of data centres and cloud storage being shown separately to more appropriately reflect the size and nature of the expense item	Other expenses-Communication costs	Other expenses-Data centre and cloud storage expenses	171.24
Expenses in the nature of hiring third party manpower for various purposes being shown separately to more appropriately reflect the size and nature of the expense item	Other expenses-Legal and professional expenses	Other expenses-Third party manpower cost	576.98
Expenses incurred on information technology platform being shown separately to more appropriately reflect the size and nature of the expense item	Other expenses-Legal and professional expenses	Other expenses-Information technology expenses	167.32
Reclass of certain expenses to more appropriately reflect the nature of the related expenses	Other expenses-Advertisement and business promotion expenses	Other expenses-Legal and professional expenses	189.46
Expenses relating to maintaining office premises/ office facilities being reclassified under a different nomenclature	Other expenses-Power and fuel	Other expenses-Facility maintenance expenses	26.29
Expenses relating to maintaining office premises/ office facilities being reclassified under a different nomenclature	Other expenses-Repairs and maintenance-Building	Other expenses-Facility maintenance expenses	80.29
Expenses incurred on information technology platform being shown separately to more appropriately reflect the size and nature of the expense item	Other expenses-Repairs and maintenance-Plant and machinery and software	Other expenses-Information technology expenses	438.60

Pine Labs Limited (formerly known as Pine Labs Private Limited)
Notes to the Standalone Financial Statements for the year ended 31 March 2025
(Amount in INR millions, except per share data, unless otherwise stated)

50 The amounts disclosed in financials as "0" are below the rounding off norm adopted by the Company.

For B S R & Co. LLP
Chartered Accountants
ICAI Firm Registration No.: 101248W/W-100022

For and on behalf of the Board of Directors of
Pine Labs Limited (formerly known as Pine Labs Private Limited)
CIN: U67100HR1998PLC113312

Kunal Kapur
Partner
Membership No.: 509209
Place: Hyderabad
Date: 23 July 2025

Bairavarasu Amrish Rau
Managing Director and CEO
DIN No.: 02008811
Place: Singapore
Date: 23 July 2025

Kush Mehra
Whole-time Director
DIN No.: 08154941
Place: Gurugram
Date: 23 July 2025

Marc Kay Mathenz
Chief Financial Officer
Place: Bengaluru
Date: 23 July 2025

Neerav Mehta
Company Secretary
M No.: A20949
Place: Mumbai
Date: 23 July 2025